

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-01

VISUAL COMFORT & CO v. COSCO SHIPPING LINES CO., LTD.

RESPONDENT'S APPENDIX

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EXHIBIT 1

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EXPERT REBUTTAL REPORT OF DANIEL HACKETT

*IN RESPONSE TO THE EXPERT REPORT OF
JOHN D. MCCOWN DATED JUNE 14th, 2024*

October 18th, 2024

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1. Qualifications and Relevant Experience

My name is Daniel Hackett and I am a Partner at Hackett Associates, LLC. I am active in the trade and transportation field with a focus on maritime-related issues, and specialize in port performance, forecasting, and planning analysis. I am a member of the American Institute of Certified Planners.

I edit the monthly Global Port Tracker report which projects container imports at the largest container ports in the U.S. and Canada, and produce the forecast utilized by the report. The report has had the support of the National Retail Federation since its launch in November 2009, and subscribers cover a broad spectrum of the maritime sector including ocean carriers, ports, railroad operators, and dray/chassis providers.

I am currently a Subject Matter Expert (“National Expert Transportation Specialist”) on a team led by The Tioga Group that has a multi-year Indefinite Delivery-Indefinite Quantity (IDIQ) Contract with the U.S. Department of Transportation with two task areas including the development and analysis of data and statistics on freight transportation systems and industries.

I served as a Subject Matter Expert to the U.S. Department of Transportation/Volpe National Transportation Systems Center on the Port Performance Freight Statistics Program from 2016 through 2021. The goal of the program is to provide nationally consistent measures of performance of the largest container, total tonnage, and dry bulk tonnage ports, and to report annually to Congress on port capacity and throughput. As part of this effort, I helped develop the metrics used to measure port capacity and throughput at the ports, assisted in the development and writing of the program’s Annual Report to Congress, and assisted with the development of informational profiles for the ports.

I served as the technical lead for a Commodity and Trade Route Database/Forecast produced quarterly for the U.S. Department of Transportation’s Maritime Administration between 2013 and 2020, and was responsible for running the forecast and providing accompanying analysis. The forecast focused on container imports and exports and covered 20 ports within the U.S., with data presented in tons and TEUs, divided into trade routes and commodity groups.

I have also developed short, medium, and long-range container trade forecasts and briefings for private sector clients focused on the maritime industry such as railroad operators, ocean carriers, and commercial real-estate. These reports incorporate assessments of current market conditions and industry trends. Examples of these projects include a business strategy assessment for service at a container port and an assessment of the diversion potential of North American container traffic as a result of the Panama Canal expansion for a Class I railroad; a 10-year import/export forecast and industry outlook for a commercial real estate firm; and a container market outlook for a major ocean carrier.

Before joining Hackett Associates in 2010, I worked as an independent consultant with a focus on maritime transportation and Geographic Information Systems analysis. Prior to this I worked at Cambridge Systematics from 2004 to 2007 in the Transportation Planning and Management practice where I performed logistical, economic, financial, and Geographic Information Systems analysis on a variety of freight transportation, transit, and highway safety projects. I was employed

as a consultant at AECOM (formerly KPMG Consulting) within the Transportation Consulting Practice (public sector) between 1999 and 2001. While there I performed financial and economic analyses of transportation investments, worked on benefit/cost and institutional analyses, and Geographic Information Systems analysis.

I am an active participant within the Transportation Research Board where I currently serve as the Chair for the International Trade and Transportation Committee and formerly served as the Chair of the Port Performance subcommittee within the Ports and Channels Committee.

I have been interviewed for articles in the national and international printed and broadcast news.

I have authored the following maritime industry-related publications and presentations in the past ten years:

Papers/Reports

- Global Port Tracker: North America Trade Outlook, ongoing monthly report since November 2009.
- Multiperspective Analysis of Pandemic Impacts on U.S. Import Trade: What Happened, and Why?, Transportation Research Record 2022, Volume 2677, Issue 2 (Smith, Daniel; Bingham, Paul; Hackett, Daniel; Smith, Jeffery)
- Port Performance Freight Statistics Program Annual Report to Congress, 2016 through 2020 (“major contributor”)
- Global Port Tracker: North Europe Trade Outlook (with Institute of Shipping Economics and Logistics), monthly report November 2010 through August 2019
- 2019-2050 Bay Area Seaport Forecast for the San Francisco Conservation and Development Commission (with The Tioga Group), 2019
- Global Trade Pulse, monthly report September 2015 through April 2016
- Port of Los Angeles Cargo News Briefing, Trade Forecast, May 20, 2024
- Presentation on the ocean cargo outlook for the National Association for Business Economics 2023 Air and Ocean Freight Outlook Webinar, October 25, 2022
- 2019-2050 Bay Area Seaport Forecast for the Seaport Planning Advisory Committee (with The Tioga Group), June 2019
- Container Shipping Outlook: How Long will the Gulf Rally Last? for the Journal of Commerce Gulf Shipping Conference, May 21, 2019
- 2019 Container Shipping Outlook for Journal of Commerce webinar, February 21st, 2019
- Global Liner Outlook for Cargo Logistics Canada North America Multimodal Supply Chain Expo, February 6, 2019
- Market Intelligence Briefing for Cargo Logistics Canada North America Multimodal Supply Chain Expo, February 5, 2019
- State of the Ports: A Deep Dive into North America’s Hot Spots for Journal of Commerce Port Performance North America Conference, December 11, 2018
- North American Freight Outlook: When Will the Market Turn? for Journal of Commerce Inland Distribution Conference, October 23, 2018

- Container Shipping Outlook for the Journal of Commerce Gulf Shipping Conference, April 17, 2018
- Overview and Background of Proposed Data Sources and Lists/Summary of Member Feedback on Data Sources, Bureau of Transportation Statistics Port Performance Freight Statistics Program Working Group, September 23, 2016
- Overview of Key Definitions to be Used for Data Collection and Reporting Performance Measures, Bureau of Transportation Statistics Port Performance Freight Statistics Program Working Group, July 15th, 2016
- Outlook for Containerized Imports and Exports for the International Propeller Club 2015 Convention, October 29th, 2015
- Outlook for Containerized Imports and Exports for Western Canada for the Western Transportation Advisory Council 2014 Spring Member Forum, April 2nd, 2014

I have a Bachelor of Arts (B.A.) in Geography: Urban Systems from McGill University and a Masters in Urban Planning (M.U.P.) from McGill University.

I have served as an expert witness in one previous instance, in ICTSI Oregon, Inc. v. International Longshore and Warehouse Union, et al., Case No. 3:12-cv-1058-SI, U.S. District Court for the District of Oregon.

My work specific to this report and any subsequent testimony is compensated at \$275 per hour. My compensation is not dependent on the outcome of this matter.

I reserve the right to supplement and/or amend my opinions if any additional information relevant to this report becomes available.

2. Purpose

This Rebuttal Report responds to the Expert Report of John D. McCown that was submitted June 14, 2024 and subsequently corrected July 8, 2024. Mr. McCown's Expert Report was focused on the shipping practices and performance of China COSCO SHIPPING Corporation Limited ("COSCO") in relation to containers shipped for Visual Comfort & Co. ("VCC") to the United States and the reasonableness of resulting accessorial charges including demurrage and detention. The broader issue of disputes arising from demurrage and detention fees during the global supply chain crisis falls outside my scope of analysis.

3. Response to Expert Report of John D. McCown, dated June 14, 2024

Mr. McCown was retained on behalf of VCC to prepare a report concerning the performance of COSCO in relation to containers shipped by VCC to the U.S. and the reasonableness of resulting accessorial charges including demurrage and detention. Mr. McCown puts forward seven assertions in his Expert Report in which he explains why he believes that COSCO underperformed other ocean carriers and relied on high demurrage and detention charges (at the expense of VCC) to generate additional revenue. This Rebuttal Report will show that this was not the case, and will demonstrate that:

- COSCO's financial performance was in line with many of its peers.
- COSCO's demurrage and detention charges were low relative to its peers both globally and within North America.
- The calculation of VCC's demurrage and detention fees by Mr. McCown incorrectly includes yard storage fees which significantly inflates their value.
- An analysis of demurrage and detention fees collected by the Federal Maritime Commission (FMC) by Mr. McCown is inaccurate and irrelevant.
- COSCO was not responsible for the terminal congestion that resulted in the demurrage and detention charges.

This Rebuttal Report will respond to each of the assertions that Mr. McCown outlined in his Expert Report, although in many instances the methodology, assumptions, and calculations made to support one assertion flow into subsequent assertions.

3.1.Assertion 1: COSCO Underperformed the Industry in Terms of Actual Financial Results Prior To COVID-19 and Performance During COVID-19 Points to Macro Pricing Practices Outside of Industry Norms

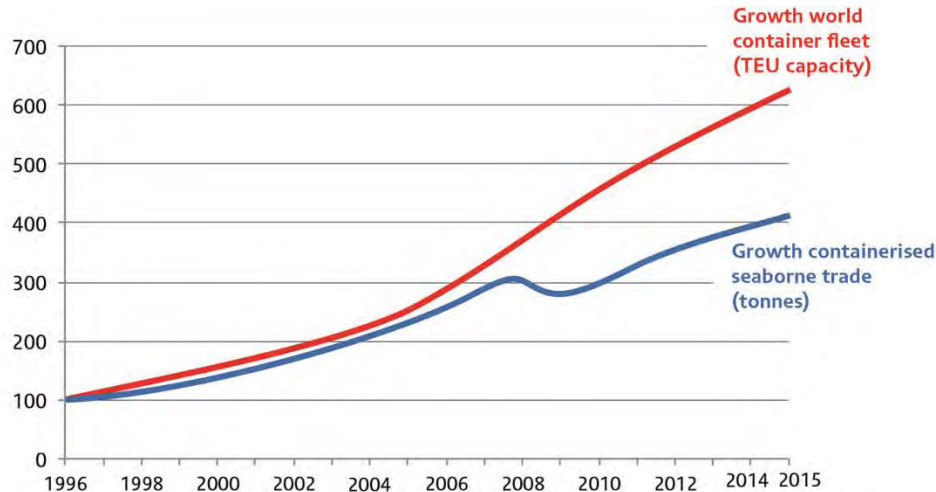
Mr. McCown is correct in noting that 2008 marked a downturn in the container shipping industry.¹

Exhibit 1 shows, the capacity of the global container fleet (measured in Twenty Foot Equivalent Units (TEU), the standard measurement of container trade that is equal to one twenty foot long

¹McCown Expert Report, Paragraph 35, page 11

container²) expanded at a faster pace than containerized trade tonnage. Since freight rates fluctuate as the ratio of vessel supply to cargo demand shifts, the period between 2008 and 2015 was marked by carriers cutting their rates in order to fill their vessels.

Exhibit 1: Containerized Seaborne Trade vs Container Fleet, 1996 to 2015



Source: ITF (2015), "The Impact of Mega-Ships", *International Transport Forum Policy Papers*, No. 10, OECD Publishing, Paris, <https://doi.org/10.1787/5jlwvzcm3j9v-en>. Accessed: 7/10/2024

One method of tracking the current price of exporting containers to the rest of the world is the Shanghai Containerized Freight Index (SCFI), as depicted in Exhibit 2. This index tracks the fluctuating spot rates for non-contracted export container cargo leaving Shanghai on 15 different trade routes. Although approximately three-quarters of containerized cargo is contracted, the SCFI is a useful measure of current balance of supply and demand and provides an indication of what carriers may intend to charge in future contract negotiations. Periods of low freight rates typically accompany periods of low profits for the ocean carriers, while periods of high freight rates typically see higher profits. Exhibit 2 illustrates the surge in the spot freight market during the Covid-19 pandemic and the accompanying supply chain crisis, with the index peaking at the start of 2022, although the index did not begin to drop substantially until the middle of 2022.

² Despite a TEU being the standard unit of measurement for container-related activities, forty-foot long containers dominate international trade and are equivalent to two TEUs.

Exhibit 2: Shanghai Containerized Freight Index, January 2015 to July 2023

Source: Alphaliner Monthly Monitor July 2023

In addition to cutting freight rates to secure more cargo, container carriers also entered into operational agreements with other carriers known as alliances. Alliance members can share routes and the vessels assigned to those routes, as well as the space available on operated vessels. Although alliances offer many advantages, the two primary benefits are that carriers are able to offer service between more ports than they could on their own, and that larger vessels that can be filled jointly can be utilized to leverage economies of scale that reduce shipping costs. At the start of 2016 the deep-sea container trade was dominated by four alliances (2M, CKYHE, G6, and Ocean 3), and by mid-2017 the carriers shifted into just three alliances (2M, THE Alliance, Ocean Alliance).

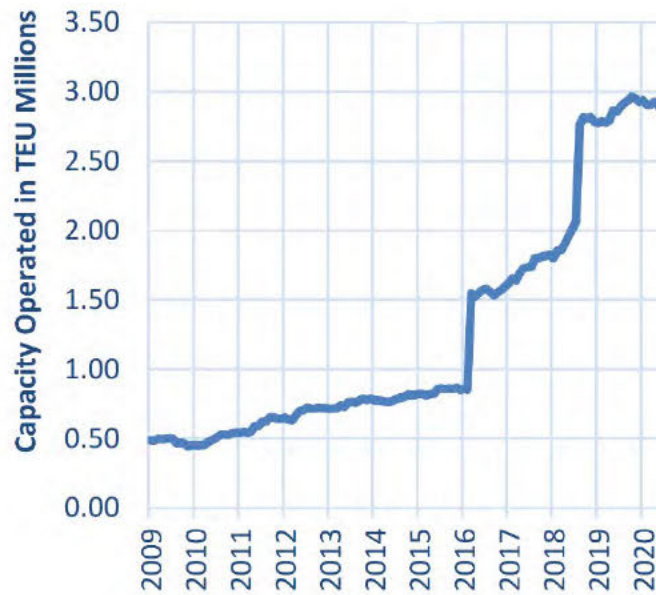
Mr. McCown paints COSCO as an underperforming carrier in the competitive container shipping industry. By aggregating numbers to the industry level, the nuance within the industry is overlooked. Mr. McCown begins his financial analysis in 2016³ and extends through 2019, a period in which he correctly notes was filled with financial losses throughout the industry. This was a period of consolidation. The third largest carrier, CMA CGM, acquired APL in 2015, while in 2016 the largest carrier at the time, Maersk, acquired Hamburg Sud, and three Japanese carriers (NYK, 'K' Line, and MOL) merged to form ONE. The low freight rates in 2015 and the first half of 2016 contributed to the bankruptcy of the seventh largest carrier, Hanjin Shipping, and industry executives believed that a second carrier bankruptcy was likely in the months that followed, highlighting how treacherous the industry was at the time.⁴

³ McCown Expert Report, Paragraph 36, page 11

⁴ Morley, Hugh (September 13, 2016) Others could follow Hanjin before container shipping rebound Journal of Commerce, https://www.joc.com/article/others-could-follow-hanjin-container-shipping-rebound_20160913.html, accessed 7/11/2024

COSCO itself was coming off a period of expansion during the period in question: China Shipping Container Lines (CSCL) was absorbed through merger with COSCO SHIPPING Holdings Co., LTD in the first quarter of 2016, and COSCO SHIPPING Holdings Co., LTD acquired majority shares of Orient Overseas Container Line (OOCL) in mid-2018. Exhibit 3 depicts the impact these mergers and acquisitions had on COSCO's operated capacity in addition to ongoing vessel purchases. COSCO also shifted alliances in 2017 as it switched from CYKHE to the Ocean Alliance.

Exhibit 3: COSCO Operated Capacity



Source: Alphaliner Monthly Monitor July 2020

Mr. McCown primarily focuses on the 2019 through 2022 period in his Expert Report, including in his comparison of COSCO to the industry in general in his financial analysis.⁵ As is the case through much of his analysis, by focusing on aggregated data Mr. McCown paints an incomplete picture. This is a period in which the global supply chain was plunged into chaos and, ultimately, resulted in record-high revenues for the container shipping industry as demand for liner services greatly exceeded available capacity.

The first impacts of Covid-19 were felt in China, and resulted in an extended closure of factories around the traditional Lunar New Year holidays in early 2020, creating a supply-side shock to the global supply chain. As the virus spread into a global pandemic the supply-side issues transitioned into demand-side issues as waves of lock-downs and store closures rolled through Europe and North America. In March 2020 the U.S. Government issued a series of Economic Impact Payments (commonly referred to as 'stimulus checks'), with each income tax filer receiving \$1,200 with an additional \$500 for each child. Combined with the shift to a work from home culture (and the accompanying savings on transportation costs) and the cutback in travel and entertainment expenses, the U.S. consumer turned to material goods for the home. Retail sales surged, and

⁵ McCown Expert Report, Paragraphs 38 through 44, pages 12 through 17

import volumes began to pick up as retailers attempted to stock up with in-demand goods and adjust warehouses filled with merchandise that was no longer desired. The surge in shipping volume coincided with Covid-19-related labor shortages throughout the supply chain. As such, the period in question was marked by record containerized freight volume and unprecedented supply-chain disruptions. The resiliency of the global supply chain was tested and found wanting, with warehouses, vessels, and container terminals all filled to capacity. As container carrier revenue is fundamentally a function of supply (restricted due to the crisis) and demand (surging as consumers spent), record profits within the industry followed.

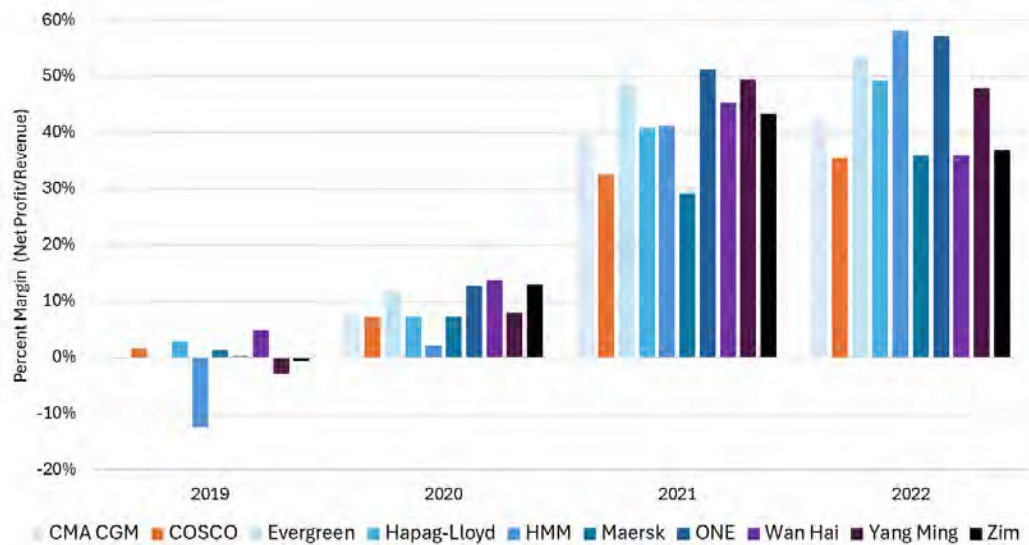
Mr. McCown suggests that his “review of industry results throughout the relevant periods has resulted in my conclusion that what occurred was a result of systemic supply chain issues such as equipment shortages, trucker shortages, transportation delays, port congestion and labor shortages. None of those circumstances were caused by shippers in general.”⁶ The global supply chain crisis was triggered by an unprecedented global pandemic, and blame for the congestion cannot be assigned to any one actor or sector. However, the notion that shippers did not contribute to the supply chain issue is of course false, as it was the surge in cargo volume (in response to surging consumer demand) that resulted in record volumes of cargo. Again, the shippers are no more to blame than the consumers for spending money, but the volume of cargo that shippers were moving on the carriers was directly related to the increased freight rates and congestion throughout the supply chain.

In his Table 1, Mr. McCown notes that COSCO’s margin lagged the industry in general during this period, but, as depicted in Exhibit 4, COSCO’s performance was either approximately in line with many other carriers (as was the case in 2019 and 2020) or was in a group of carriers that were unable to match the most successful in the industry (as was the case in 2022).⁷ The ten carriers included in the chart accounted for just over two thirds of total liner capacity at the start of 2020 when the pandemic began (and privately held MSC, which does not report financial results, accounted for a further 16%).⁸

⁶ McCown Expert Report, Paragraph 30, pages 9

⁷ The financial data in the chart was collected by Alphaliner, a shipping industry data specialist that publishes weekly and monthly reports as well as maintains an online platform. Although the carriers report revenue in a variety of currencies, as the focus is on percentage between revenue and net profit this is immaterial. Alphaliner, for example, presented COSCO’s data in renminbi whereas Mr. McCown relied on the dollar values included in the Annual Reports, but the percentages are identical.

⁸ Alphaliner Monthly Monitor January 2020

Exhibit 4: Revenue Margin of Major Carriers, 2019 to 2022

Data source: Alphaliner Monthly Monitors July 2020-2023

Mr. McCown writes that “the two most important factors in the actual financial results of a container shipping company are container volume and the pricing related to the container volume”.⁹ This in fact represents only a portion of the profit side of the equation and fails to take into account the substantial capital and operational costs (including fuel and terminal charges) of the container carrier industry.

For example, fuel costs are the most significant element of a voyage cost (estimated at between 45% and 50% of total voyage costs¹⁰) and so a carrier controls vessel speeds to assist with profitability: “a 10% speed reduction reduces the power need (resistance) and coherent fuel consumption by 27%”, although due to the additional voyage time the overall savings are approximately 19%.¹¹ Vessel speed often tracks the SCFI as shown in Exhibit 5, with carriers seeking to shorten travel times so they can move more containers when freight rates are high (thereby increasing revenue) or slow the vessels down to cut costs when freight rates are low.

⁹ McCown Expert Report, Paragraph 41, page 13

¹⁰ Rodrigue, Jean-Paul (2020) *The Geography of Transport Systems*
<https://transportgeography.org/contents/chapter5/maritime-transportation/container-ships-operating-costs-panamax-post-panamax/>, accessed 7/11/2024

¹¹ The International Maritime Organization, <https://glomeep.imo.org/technology/speed-management/>, accessed 7/10/2024

Exhibit 5: Average Speed of Global Cellular Fleet vs SCFI Index

Source: Alphaliner Monthly Monitor July 2023

Ocean carriers have also acquired stakes in or ownership of container terminals as additional sources of income and/or as part of a corporate strategic plan. Financial synergy can be created when a company owns the terminal at which their vessels call in addition to operational benefits that exist (such as prioritizing one's own vessels). The investment in terminals helps offset periods in which freight rates hurt the profitability of carrier operations. Terminal operations can also help carrier performance, with Alphaliner noting that APM Terminals' (a part of A.P. Moller-Maersk) "low operating margin contrasts with Maersk Line's outperformance compared to other shipping lines, with part of Maersk's shipping earnings gap attributed to lower port tariffs enjoyed by Maersk at the terminals operated by APMT."¹²

In 2016, COSCO Shipping Ports, a terminal operator whose largest shareholder is COSCO Shipping Holdings Co, whose parent company is COSCO Shipping, stated that it "benefits from the competitive advantages brought by its parent company and the synergies among COSCO SHIPPING group companies."¹³ Whether COSCO Shipping boosts COSCO Shipping Ports profitability or vice versa, considering only a portion of an integrated business leads to an incomplete understanding of that unit's contribution to the group as a whole.

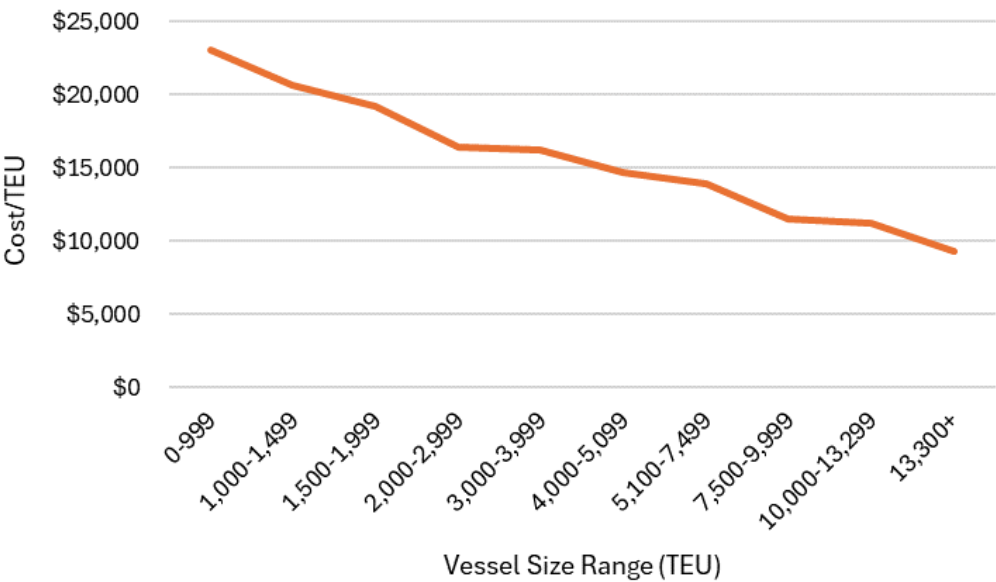
The cost of vessels combined with voyage costs has led ocean carriers to seek economies of scale by building larger vessels that decrease both the capital cost per TEU and the voyage cost per TEU, both of which can impact a carrier's profits over the long run. Exhibit 6 and Exhibit 7 illustrate how the construction cost per TEU and daily operating cost per TEU, respectively, decrease as the capacity of a vessel increases.

¹² Alphaliner Weekly (2014) Issue 23

¹³ COSCO Shipping Ports Limited, Annual Report 2016

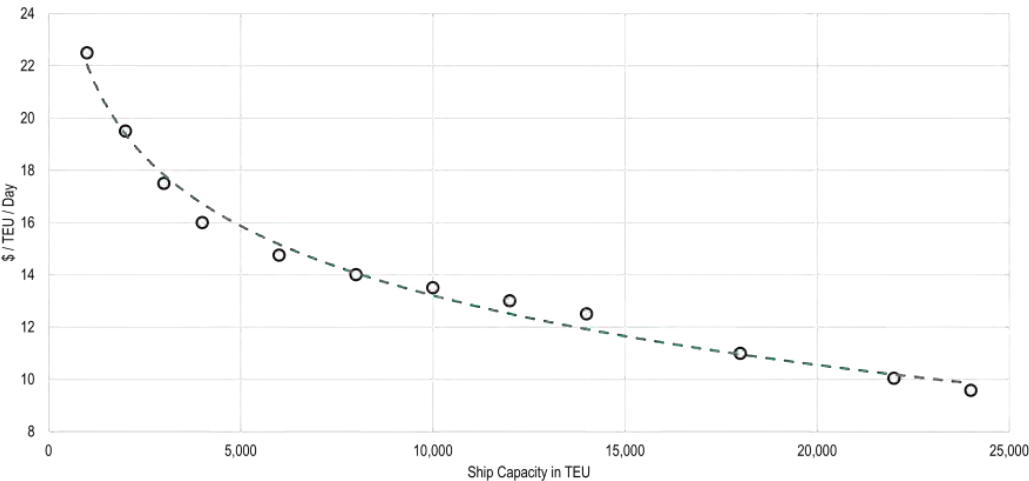
<https://ports.coscoshipping.com/en/Investors/IRHome/FinancialReports/pdf/ear2016.pdf> accessed 7/10/2024

Exhibit 6: Construction Costs per TEU by Vessel Size Category



Data source: Murray, William, *Economies of Scale in Container Ship Costs*, United States Merchant Marine Academy

Exhibit 7: Daily Operating Expenses per TEU by Vessel Size



Source: Alphaliner via <https://transportgeography.org/contents/chapter3/transport-costs/operating-costs-containerships/>, accessed 7/11/2024

Combined, the cost savings can be substantial. Research carried out by Ocean Shipping Consultants for Lloyd’s Register of Shipping studied the potential daily costs per TEU for various vessel sizes and the savings between a 22,000 TEU vessel and a 12,500 TEU vessel were close to 20% (Exhibit 8).¹⁴

¹⁴ Van Marle, Gavin (July 1, 2013) Small ports feel the heat from big box ships as cascade effect begins, <https://theloadstar.com/small-ports-feel-the-heat-from-big-box-ships-as-cascade-effect-begins/>, accessed 7/11/2024

Exhibit 8: Potential Reduction in Daily Slot Cost per TEU by Vessel Size

Vessel TEU Capacity	Daily Vessel Cost	Daily Slot Cost per TEU
12,500		\$12.43
18,000	\$197,198	\$10.96
22,000	\$220,892	\$10.04
24,000	\$229,693	\$9.57

Source: Van Marle, Gavin (July 1, 2013) *Small ports feel the heat from big box ships as cascade effect begins*, <https://theloadstar.com/small-ports-feel-the-heat-from-big-box-ships-as-cascade-effect-begins/>, accessed 7/11/2024

Ocean carriers clearly have a significant reason to acquire larger vessels, but this is not without an equally significant expense: it was reported in 2021 that Evergreen purchased 20 Neo-Panamax vessels with a capacity of 15,000 TEU at a cost of \$2.48 billion (or \$124 million each) while MSC purchased four Ultra Large Container Vessels with a capacity of 24,100 TEU at a cost of \$600 million (or \$150 million each).¹⁵ COSCO had already started to invest in 18,000+ TEU mega-vessels: at the start of 2020 it had 28 vessels in its fleet with a capacity of 18,000 TEU or greater, behind only MSC (with 30) and Maersk (with 31).¹⁶ In January 2020, COSCO had the largest share of capacity provided by 18,000+ TEU vessels of any ocean carrier, with 19% of its total capacity, and it operated almost one in four of the 18,000+ TEU vessels in service.¹⁷

As shown, selecting a single slice of a carrier's economic performance and then comparing it to the industry as a whole ignores the complexities of the industry. COSCO was far from the struggling business that Mr. McCown attempts to portray.

Mr. McCown notes that COSCO lost more cargo in 2022 than the industry in general¹⁸, but does not take into account the changing composition of the global fleet. At the start of 2020, COSCO operated the third largest fleet, but it had no vessels on its orderbooks. In contrast, the combined top 12 carriers had 197 vessels scheduled for delivery between 2020 and 2022 with a combined capacity of over 1.97 million TEU (Exhibit 9). This would equate to an almost 10% increase in the capacity of the global fleet.

¹⁵ Container News (February 28, 2022) *VesselsValue: Newbuild Report 2021*, <https://container-news.com/vesselsvalue-newbuild-report-2021/>, accessed 7/11/2024

¹⁶ Alphaliner *Monthly Monitor January 2020*

¹⁷ Ibid.

¹⁸ McCown Expert Report, Table 3, page 14

Exhibit 9: Top 12 Carriers Existing Fleet & Newbuilding Delivery Schedule, 2020 to 2022

Data source: Alphaliner Monthly Monitor January 2020

During a period when demand for vessel capacity far outpaced the supply, those who were able to increase the size of their fleets benefited from additional cargo volume. Between January 2020 and July 2022 (when freight rates began to drop), the absence of any new vessels contributed to a slight decrease in COSCO's operated capacity (from 2.94 million TEUs to 2.90 million TEUs).¹⁹ In contrast, the capacity of the top 12 carriers increased by 11.3%.²⁰ COSCO's share of the total market decreased from 12.4% in January 2020 to 11.3% in July 2022.²¹ As such, it is perhaps no surprise to see COSCO lose a higher percentage of TEU volume than the industry as a whole in 2022.

Mr. McCown next considers revenue per TEU, once again comparing COSCO to the industry at large, thereby missing important context by looking at aggregated data rather than at COSCO's peers individually.

Exhibit 10 depicts the average rate per TEU as calculated by Alphaliner over the 2019 through 2022 period for eight of the largest container carriers.²² Together, these eight carriers accounted for 60 percent of market share in terms of capacity in January 2020. It is clear that the average rate surged across all eight carriers over the period.

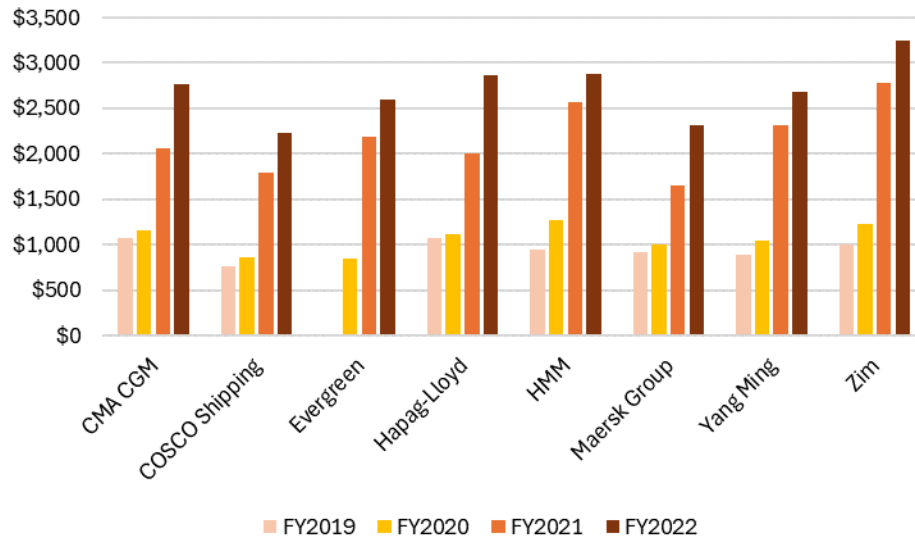
¹⁹ Alphaliner Monthly Monitor January 2020 and Monthly Monitor July 2022

²⁰ Ibid.

²¹ Ibid.

²² Alphaliner Monthly Monitor, July 2020 through 2023.

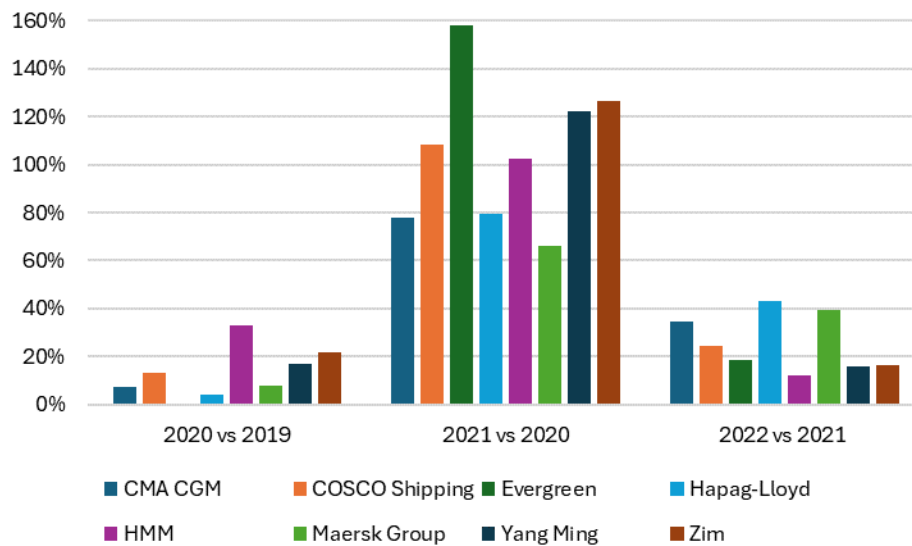
Exhibit 10: Average Rate Per TEU, 2019 to 2022



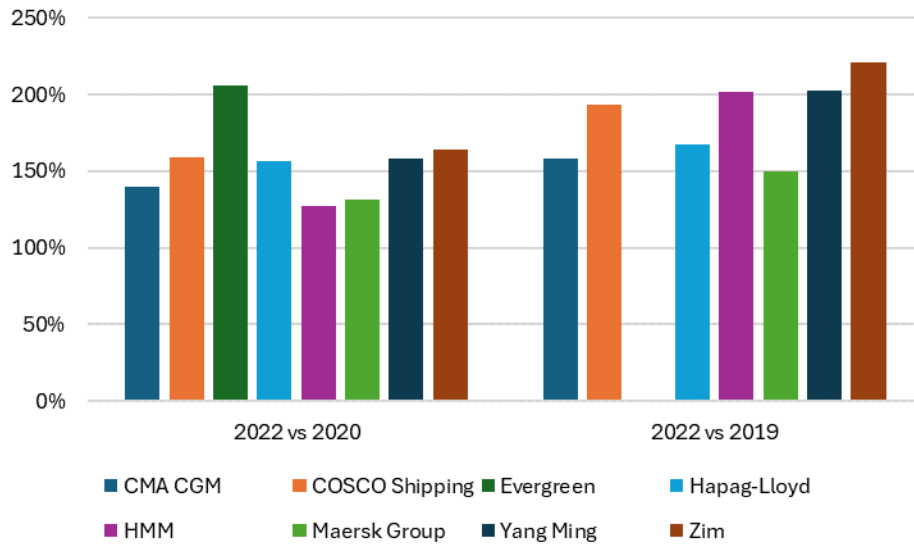
Data source: Alphaliner Monthly Monitor July 2020, 2021, 2022, 2023

Exhibit 11 and Exhibit 12 compare the growth of each carrier's average rate per TEU. In Exhibit 11, it is clear that the increase of COSCO's average rate per TEU falls in the middle of the pack each year. Meanwhile, Exhibit 12 makes clear that COSCO's increase between 2019 and 2022 as well as between 2020 and 2022 is again in line with its peers.

Exhibit 11: Average Rate Per TEU, Annual Growth 2020 through 2022



Data source: Alphaliner Monthly Monitor July 2020, 2021, 2022, 2023

Exhibit 12: Average Rate Per TEU, Growth from 2019/2021 to 2022

Data source: Alphaliner Monthly Monitor July 2020, 2021, 2023

As noted above, there are many operational reasons why revenues or expenditures will vary between carriers, as well as how the broader group that a carrier may be a part of can impact a carrier's revenues and expenditures. Even marketing decisions can play a role in a carrier's freight revenue: it was reported that "during the pandemic Maersk did not raise its rates as high as the market level in a hope of loyalty from customers when the market came back down again."²³ This may well explain the relatively poor performance of Maersk in Exhibit 12 above.

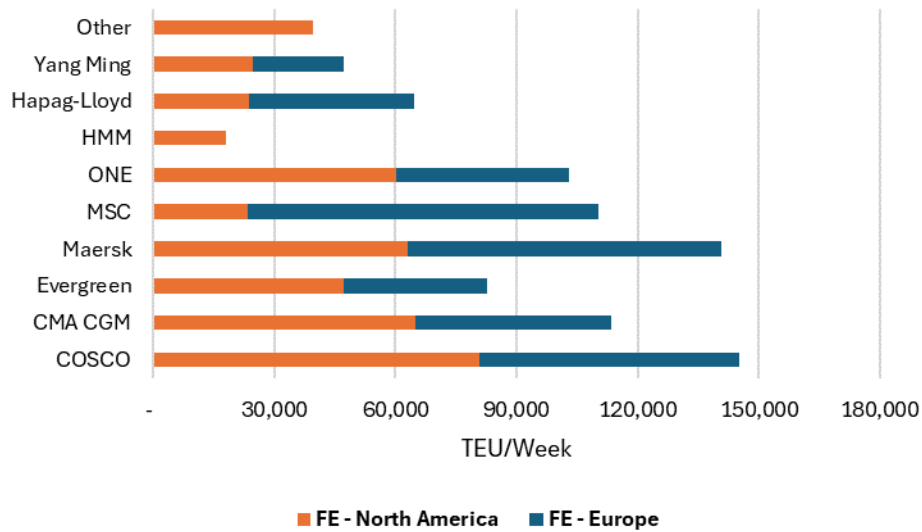
Another potential reason for why some carriers were able to post higher average rates per TEU growth than others is in how their fleets were deployed. COSCO operated the largest amount of capacity on the Far East – North America trade route when the pandemic began and continued to do so throughout the period in question, with approximately nine percent of the total. While COSCO was only ranked third on the Far East – Europe trade in terms of capacity, when the two trades are combined COSCO emerges as the largest carrier in terms of weekly capacity (Exhibit 13), with 16.8% of the total.²⁴ By mid-2022 when global freight rates peaked COSCO's share of the two routes had decreased to 14.7% and was second behind Maersk.²⁵

²³ Hand, Marcus (June 11, 2024) Being the nice guy does not pay for container lines, Seatrade Maritime News, <https://www.seatrade-maritime.com/containers/being-nice-guy-does-not-pay-container-lines>, accessed 7/10/2024

²⁴ Alphaliner, Monthly Monitor January 2020

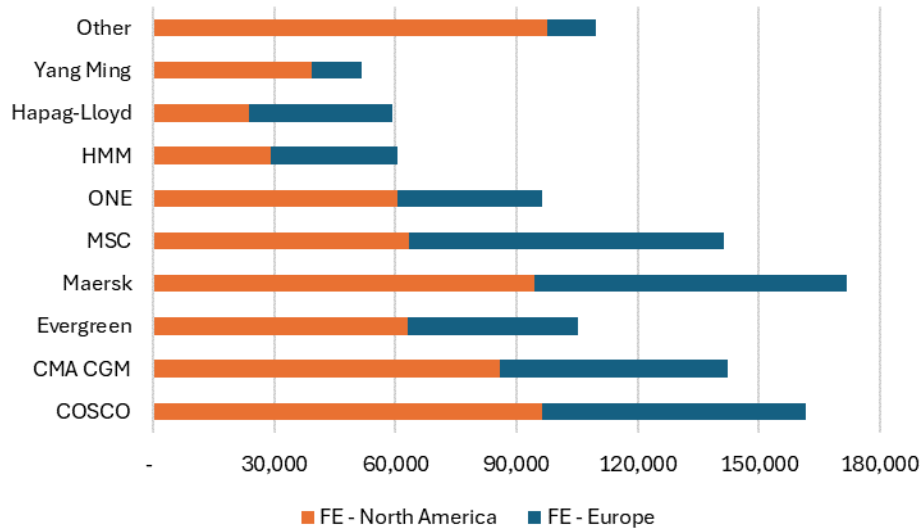
²⁵ Alphaliner, Monthly Monitor July 2022

Exhibit 13: Capacity by Carrier on Far East to Europe and North America, January 2020



Data source: Alphaliner Monthly Monitor January 2020

Exhibit 14: Capacity by Carrier on Far East to Europe and North America, July 2022



Data source: Alphaliner Monthly Monitor July 2022

But the amount of capacity assigned to the lucrative Far East – North America and Far East – Europe trades is only part of the calculation as it does not consider the percentage of a carrier’s fleet that this represents. Exhibit 12 highlighted how Evergreen posted the largest increase in average rate per TEU between 2020 and 2022 (2019 data for the carrier was not available). When overall rates peaked in July 2022, 72% of Evergreen’s fleet was assigned to the two trades.²⁶ Zim posted the

²⁶ Ibid.

largest average rate per TEU growth between 2019 and 2022 with 221% and had 59% of its fleet assigned to the two trades, whereas Hapag-Lloyd had 37% of its fleet assigned to the two trades and increased its average rate per TEU by 167%.²⁷ COSCO was almost exactly in the middle of both these two metrics, with 49% of its fleet assigned to the two trades, and an increase of 194%.²⁸ Although this is but one small factor in the larger calculation it again demonstrates the complexity of the ocean carrier industry. Maersk's dominance on the routes did not translate to increased average freight rates (in part due to the reasons discussed above), while CMA CGM had a similar percentage of its fleet on the two trades as COSCO but saw its average rate go up by a smaller amount.

Mr. McCown paints COSCO as a carrier that underperformed the industry as a whole during the supply chain crisis that accompanied the pandemic. In reality, the years prior to the pandemic saw significant capacity growth at COSCO, while during the supply chain crisis COSCO's performance was in line with many of its peers even if it lagged the best performing carriers. The decrease in COSCO's market share during the crisis was more likely than not due to stable fleet capacity when other carriers were taking delivery of new vessels at a time when shippers were scrambling to find empty space on vessels on which their cargo could be moved. Mr. McCown opined that COSCO's average revenue per TEU increased at a faster pace than the industry as a whole during the supply chain crisis, but comparison of COSCO to its peers showed that again COSCO was in line with many of the primary carriers.

3.2.Assertion 2: COSCO's Revenue Per Diem for Demurrage and Detention Relative to Actual Underlying Cost Makes the Unsupportable VCC Billings Even More Unreasonable

Much of Mr. Cowns' second assertion is related to the difference in demurrage and detention costs in the United States versus the rest of the world. This will be addressed in more detail in Section 3.5, but the difference in rates between the United States and the rest of the world is widely known within the industry. Container xChange, a technology firm that collects demurrage and detention data and provides support to clients within the shipping field (and whom Mr. McCown relies on as a source) describes the situation well:

“Due to port congestion, complex trade regulations, infrastructure challenges and strict enforcements, North America has always been and still is the most expensive region for Demurrage and Detention charges.”²⁹

Mr. McCown provides no evidence that COSCO has higher demurrage and detention charges in the United States compared to the rest of the industry. In fact, a Container xChange report on international demurrage and detention rates found that in 2022 COSCO had the lowest global demurrage and detention charges out of eight major shipping lines (Exhibit 15).³⁰

²⁷ Alphaliner Monthly Monitor July 2020 and July 2022

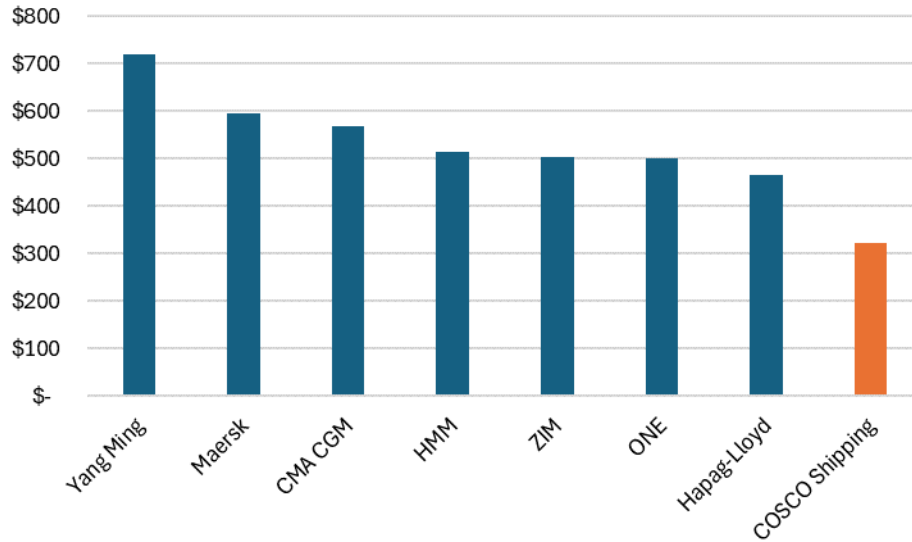
²⁸ Ibid.

²⁹ Container xChange (June 2023) Annual Benchmark Report: Demurrage and Detention Fees 2023

³⁰ Container xChange (February 2023) Annual Survey on Shipper-Owned Containers, page 22

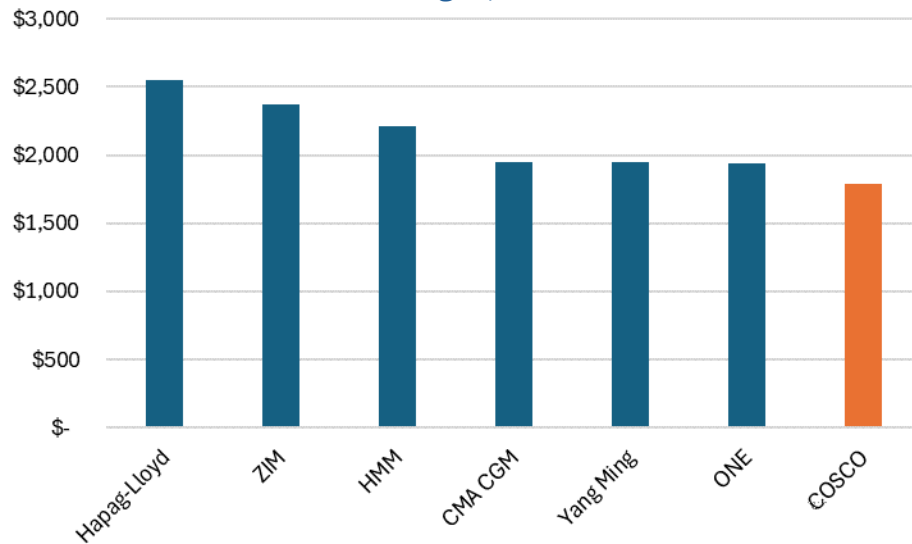
the lowest rates in North America (Exhibit 16) in 2023 (although it had slipped to the second lowest average global charges (behind Hapag-Lloyd) in 2023).³¹

Exhibit 15: Shipping Lines Ranked Based on Average D&D Charge After 14 days for a Standard Container, 2022



Data source: Container xChange's (February 2023) Annual Survey on Shipper-Owned Containers

Exhibit 16: Shipping Lines Ranked within North America in Terms of Average D&D Charges, 2023



Data source: Container xChange (June 2023) Annual Benchmark Report: Demurrage and Detention Fees 2023

Mr. McCown writes that “container terminal operations and the role of demurrage and detention is quite similar” at the ports of Los Angeles, New York, and Rotterdam.³² In fact there are significant

³¹ Container xChange (June 2023) Annual Benchmark Report: Demurrage and Detention Fees 2023, page 9. Container xChange reported that data from Maersk was not available in 2023.

³² McCown Expert Report, Paragraph 48, page 18

differences. Like the two U.S. ports, the Port of Rotterdam Authority is a landlord for the terminals, but there is a high degree of automation within the Dutch port. Hutchison Ports ECT Rotterdam (ECT) was the first fully automated container terminal in the world, while the APM Terminals facility at Maasvlakte II is touted as the “world’s most advanced fully automated terminal”³³ Four of Rotterdam’s nine terminals are fully automated while a fifth fully automated terminal is scheduled to open in 2027. In contrast, three of the 13 terminals at Los Angeles and New York/New Jersey feature some degree of automation. A study on terminal automation commissioned by the Pacific Maritime Association (which represents the 68 ocean carriers and terminal operators who operate at the 29 U.S. west coast ports) found that automation boosted throughput and cut supply-chain delays at the ports of Los Angeles and Long Beach, with average container throughput per acre 44% higher.³⁴ During a period of congestion this would certainly impact the fluidity with which containers pass from vessel to yard to gate.

Mr. McCown states that “the port of Rotterdam was included in the comparison as it is the largest container port in Europe and is similar to all U.S. ports related to the imbalance of container volume with inbound loaded boxes significantly ahead of outbound loaded boxes.”³⁵ Although loaded inbound containers outnumber loaded outbound containers at the Port of Rotterdam, the balance between the two is approaching parity whereas at the ports of Los Angeles and New York/New Jersey the ratio is approximately three inbound loaded TEU for every one outbound loaded TEU, as highlighted in Exhibit 17.³⁶ Furthermore, at some U.S. ports loaded outbound containers outnumber loaded inbound containers, including at the Port of New Orleans (where loaded outbound TEU accounted for 66% of the total in 2020) and the Port of Jacksonville (where loaded outbound TEU accounted for 62% of the total in 2020).³⁷

³³ <https://www.apmterminals.com/en/maasvlakte/about/our-terminal>, accessed 7/15/2024

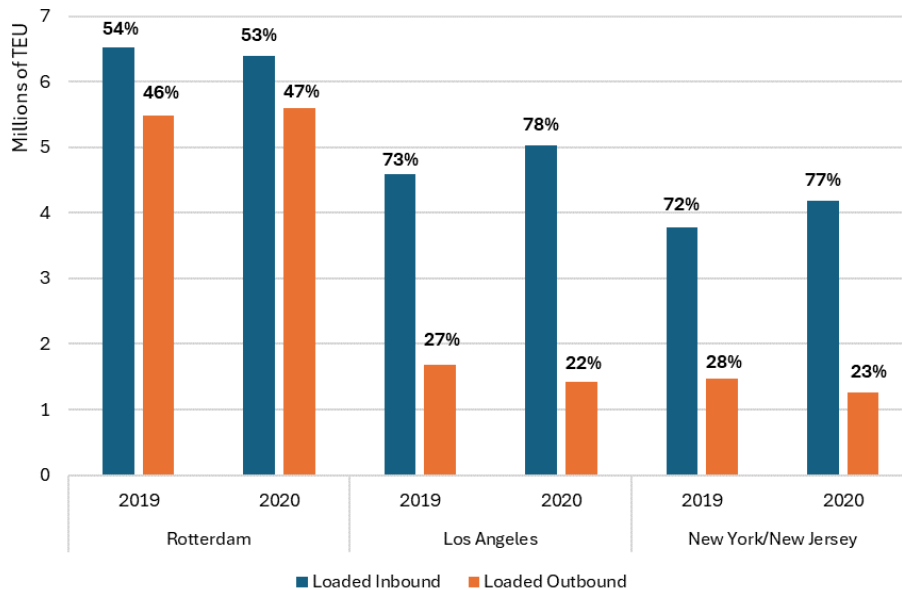
³⁴ Nacht, M. and Henry, L. (May 2022) Terminal Automation in Southern California: Implications for Growth, Jobs, and the Future Competitiveness of West Coast Ports

³⁵ McCown Expert Report, Paragraph 48, page 18

³⁶ Based on data from Port of Rotterdam: <https://www.portofrotterdam.com/sites/default/files/2021-06/facts-and-figures-port-of-rotterdam.pdf>, and U.S. Army Corps of Engineers 2019: <https://usace.contentdm.oclc.org/digital/collection/p16021coll2/id/6754> 2020: <https://usace.contentdm.oclc.org/digital/collection/p16021coll2/id/7439>. All accessed 7/17/2024. The Port of Rotterdam has not separated out loaded TEUs from total TEUs for 2021 and 2022. U.S. Army Corps of Engineers data was used as it also contains domestic loaded TEU counts whereas the websites for the ports of Los Angeles and New York report loaded imports and loaded exports.

³⁷ U.S. Army Corps of Engineers, <https://usace.contentdm.oclc.org/digital/collection/p16021coll2/id/7439>, accessed 7/17/2024

Exhibit 17: Number and Ratio of Loaded Inbound and Loaded Outbound Containers at Rotterdam, Los Angeles, and New York, 2019 and 2020



Data source: Port of Rotterdam, United States Army Corps of Engineers, see Footnote 36

Mr. McCown also states that he believes cargo on the Asia to North America and Asia to Europe trade lanes are impacted by the same macroeconomic factors.³⁸ Data from the United Nations Conference on Trade and Development (UNCTAD) shows that loaded container volumes on the transpacific route from East Asia to North America averaged about 31.5% higher than on the East Asia to Northern Europe and Mediterranean trade between 2020 and 2022, whereas in the three years prior the gap was just 16.5%.³⁹ This change was in large part due to the different approaches that were taken by U.S. and European governments, with the U.S. providing stimulus checks that supported consumer spending to a greater degree than the policies seen in the E.U.

Differences also exist in the way that the chassis used to move containers to and from ports are provisioned in Europe compared to North America which can lead to operational differences in the supply chain. Outside of the United States, the motor carriers, the freight customers, or off-site terminals provide chassis⁴⁰, allowing a driver to arrive at a port with a chassis they know can be loaded and that is in good working condition. In contrast, the U.S. relies primarily on chassis leasing companies and shared “gray” pools (or even a pool-of-pools which is unique to the ports of Los Angeles and Long Beach and can limit inefficiencies associated with chassis repositioning).

Given the above, Rotterdam is not a meaningful comparison to Los Angeles or New York.

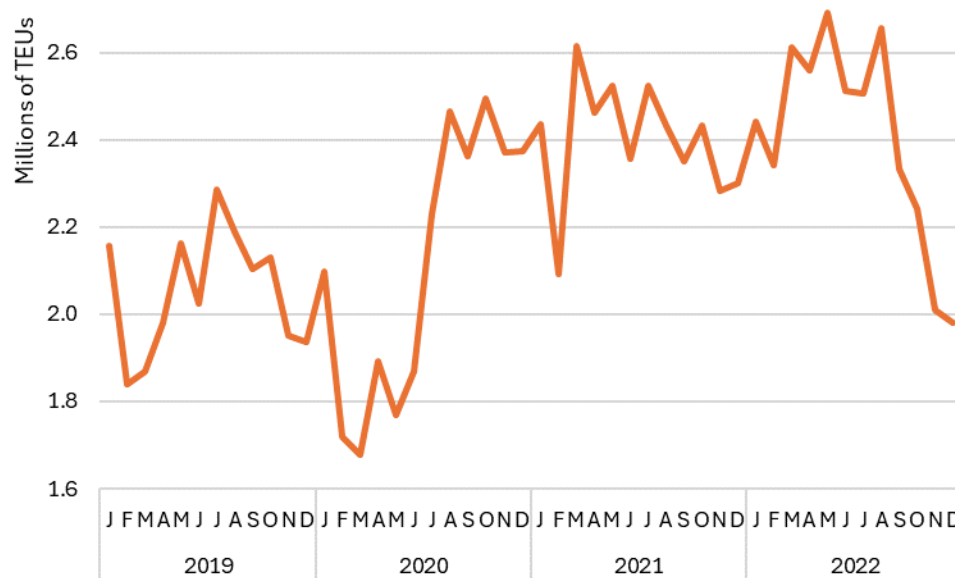
³⁸ McCown Expert Report, Paragraph 48, page 18

³⁹ United Nations Conference on Trade and Development Review of Maritime Transport 2023, page 10

⁴⁰ U.S. Government Accountability Office (March 2021) Commercial Shipping: Information on How Intermodal Chassis Are Made Available and the Federal Government’s Oversight Role <https://www.gao.gov/assets/gao-21-315r.pdf>, accessed 7/15/2024

Mr. McCown opines that “full means full” when it comes to a container carrier’s opportunity cost.⁴¹ This might make more sense in a situation where freight is moving through the supply chain fluidly, but during the period in question this was far from true. The pandemic triggered a rapid shift in consumer spending habits in the U.S. brought about by a transition to working from home, curtailed spending on services and travel, and stimulus checks from the government. Retailers were caught unprepared and import volumes surged by 39.3 percent (or almost 700,000 TEU) between May 2020 and August 2020 (Exhibit 18).

Exhibit 18: Monthly Containerized Imports at U.S. Ports, 2019 to 2023



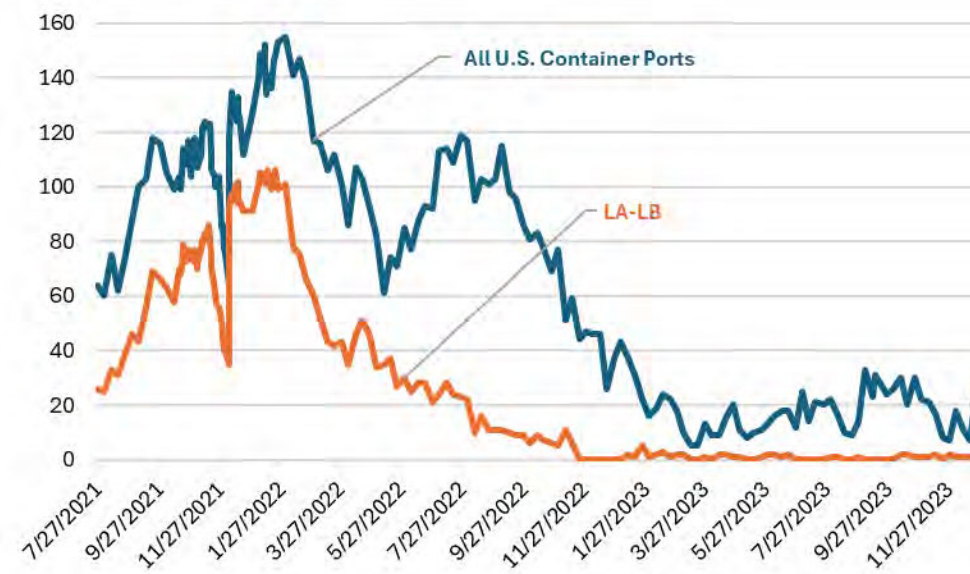
Data source: Bureau of Transportation Statistics, <https://www.bts.gov/freight-indicators>, accessed 7/15/2024

By February 1, 2022, there were 155 containerships awaiting a berth at all U.S. ports, while the ports of Los Angeles and Long Beach peaked at 106 vessels in mid-January 2022 (Exhibit 19). The media was filled with stories about maritime freight delays, congestion at ports, full warehouses, and empty shelves. Testimony provided by the American Association of Port Authorities in February 2021 noted that during that month the Port of Los Angeles had reported nearly 700 dockworkers absent due to illness while 1,500 dockworkers had tested positive for COVID-19 in California.⁴² A push to have ports operate around the clock was limited by the reality that no other part of the U.S. supply chain could keep up. The executive director of the Port of Los Angeles, Gene Seroka, was quoted in an article in the Financial Times as saying “If a day comes when we can open 24/7, and other parts of the supply chain orchestra are all doing the same thing, that would be great for all of

⁴² United States International Trade Commission (2020) The Impact of the COVID-19 Pandemic on Freight Transportation Services and U.S. Merchandise Imports, https://www.usitc.gov/research_and_analysis/tradeshifts/2020/special_topic.html#_ftn26

us...but you've got limitations today.”⁴³ The same article noted that there was also a lack of warehouse space, that trains were running at full capacity, and that “there was a nationwide shortage of about 60,000 truck drivers across the U.S. even before the pandemic.”⁴⁴

Exhibit 19: Number of Containerships Awaiting Berths, Weekly 7/27/2021 – 12/27/2023



Data source: Bureau of Transportation Statistics, <https://www.bts.gov/freight-indicators>

A full container vessel sitting at anchor awaiting a berth is different from a full vessel traveling across the ocean between ports. IHS Markit (now S&P Global) was quoted as stating that North America experienced a larger increase in dwell times than the rest of the world, “with vessels spending on average 33 hours on anchor in May 2021 compared with average of just eight hours in May 2019”, and that “in Los Angeles containerships spent an average [of 89 hours] at anchor.”⁴⁵ This only became worse as the year continued, as shown in Exhibit 19. Maritime consulting firm Sea-Intelligence noted that “2021 was a year where demand grew 7% year-on-year (partly due to the downfall in early 2020) and at the same time capacity effectively was reduced by 11%”, and that 12.3% of global container vessel capacity had been removed from the market due to congestion in October 2021.⁴⁶

The U.S. Federal Government took step during the crisis to help ensure freight fluidity both during the pandemic and moving forward, including:

⁴³ Grimes, C., and Edgecliffe-Johnson, A. (October 14, 2021) The supply chain crisis and US ports: ‘Disruption on top of disruption’ The Financial Times, <https://www.ft.com/content/aa24d82e-16c7-4e3e-868e-42bd32f593be>, accessed 7/16/24

⁴⁴ Ibid.

⁴⁵ The Maritime Executive (July 16, 2021) Time Containerships Spent Waiting for Berths Doubled in Two Years <https://maritime-executive.com/article/time-containerships-spent-waiting-for-berths-doubled-in-two-years>, accessed 7/16/24

⁴⁶ Sea-Intelligence (January 11, 2022) Congestion is getting worse (again....) <https://www.sea-intelligence.com/press-room/114-congestion-is-getting-worse-again>, accessed 7/18/2024

- The signing of Executive Order 14017 in February 24, 2021, “directing a whole-of-government approach to assessing vulnerabilities in, and strengthening the resilience of, critical supply chains.”⁴⁷
- The Administration establishing a Supply Chain Disruptions Task Force with a port envoy.⁴⁸
- The U.S. Department of Transportation convening an interagency working group, led by the Bureau of Transportation Statistics, to develop timely information on supply chain activity.
- The establishment of the Freight Logistics Optimization Works (FLOW) program.

Ocean carriers did not wish to sit at anchor. The additional capacity that Mr. McCown notes was added to the transpacific trade lane⁴⁹ to some extent was merely offsetting the capacity tied up in waiting vessels. Clarksons Research (the research unit of the world's largest shipbroking and integrated shipping services provider) tracks the amount and percentage of fleet capacity that is either in port or an associated anchorage each day. For the U.S. west coast, in the 2016-2019 pre-Covid period the capacity at port stood at 0.32 million TEUs whereas on October 21, 2021, it had almost tripled to reach 0.87 million TEUs.

Vessel speeds increased (at the expense of significant additional fuel costs) so that the time between ports could be minimized wherever possible (as can be seen in Exhibit 5). The time sat at anchor awaiting a berth was time that could not be spent transporting additional containers, but market dynamics shifted to offset the opportunity cost through higher freight rates.

As COSCO's demurrage and detention charges are lower than those of its peers both at a global level and at a North American level it is clear to see that COSCO is far from the “unreasonable” carrier that Mr. McCown depicts it to be. Moreover, Mr. McCown notes that demurrage and detention charges in the United States are significantly higher than the global average, although he does not distinguish between vessel utilization and the fluidity of the cargo that is being carried aboard the vessels. Mr. McCown does not provide any evidence to support the notion that COSCO operated in an unreasonable manner or that its revenue relative to cost fell outside of industry norms.

3.3.Assertion 3: COSCO's Practices Related to All Accessorial Charges Involving Per Diems to VCC Violated the Incentive Principle Which Made Them Unreasonable Per Se

Mr. McCown's assertion is based on his own conclusion regarding whether or not there was a violation of the incentive principle. The FMC noted that “the primary purposes of demurrage and detention are to serve as financial incentives to encourage the productive use of assets (containers

⁴⁷ <https://www.whitehouse.gov/briefing-room/statements-releases/2021/06/08/fact-sheet-biden-harris-administration-announces-supply-chain-disruptions-task-force-to-address-short-term-supply-chain-discontinuities/>, accessed 7/18/2024

⁴⁸ <https://www.transportation.gov/briefing-room/white-house-us-department-transportation-appoint-port-envoy-address-supply-chain/>, accessed 7/18/2024

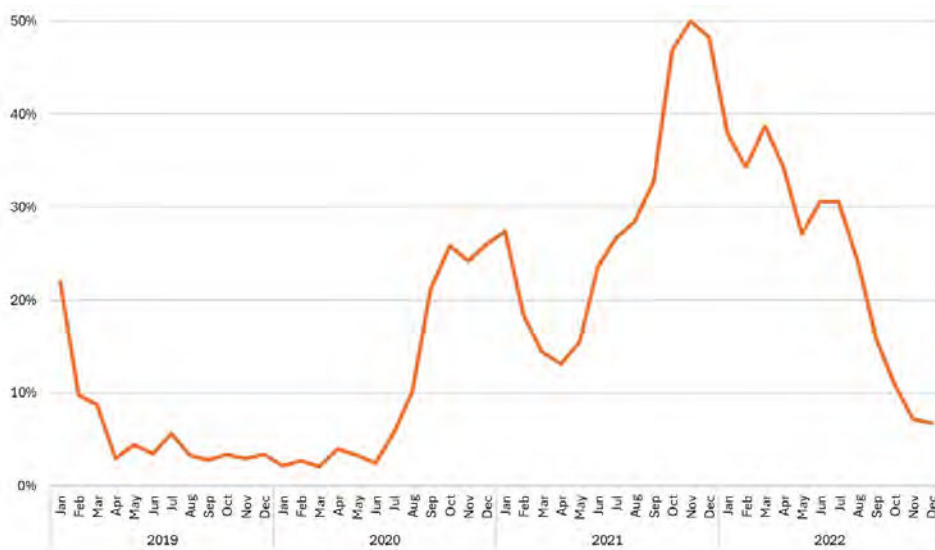
⁴⁹ McCown Expert Report, Paragraph 51, page 20

⁵⁰ Gordon, S (October 22, 2021) Port Congestion Update: Clarksons Congestion Index Reaches New High, <https://insights.clarksons.net/port-congestion-update-clarksons-congestion-index-reaches-new-high/>, accessed 7/16/2024

and terminal space) and promote optimal cargo velocity through marine terminals.”⁵¹ As such, the intent of demurrage and detention charges is similar to those of certain taxes: to encourage/discourage a certain behavior. Much like a tax on cigarettes is designed to dissuade people from smoking, demurrage and detention fees are designed to encourage the timely pick-up of a container from a port and the timely return of that same container to the port. The intent is that the container terminal is not used as a temporary storage warehouse for inbound cargo and that boxes can be re-positioned efficiently to where they are needed.

The efficient movement of containers out of and into container terminals was severely impacted when the global supply chain crisis hit and container volumes surged. In November 2021 the weighted average inbound laden container dwell time for the San Pedro Bay was over eight days, with one half experiencing a dwell time in excess of five days (Exhibit 20).⁵² In contrast, between January 2019 and June 2020 an average of just 5.0% of laden import containers had a dwell time in excess of five days.

Exhibit 20: San Pedro Bay Percentage of Laden Import Containers with Dwell Time in Excess of Five Days, 2019 to 2022



Data source: Pacific Merchant Shipping Association

The ports of Los Angeles and Long Beach responded by offering expanded night and weekend gate hours for trucks in September 2021 (when 65 vessels sat an anchor awaiting a berth while a further 27 were loaded/unloaded at the two ports), but reported that only 30 percent of the truck appointment slots between 6pm and 3am were filled.⁵³ The issue was that even if trucks could pick up cargo during that time slot there was no guarantee that the warehouse at the other end of the

⁵¹ Federal Maritime Commission (September 13, 2019) 46 CFR Part 545 Docket No. 19-05, https://www2.fmc.gov/readingroom/docs/19-05/19-05_NPRM.pdf/

⁵² Pacific Merchant Shipping Association (March 2022) West Coast Trade Report

⁵³ Mongelluzzo, B. (September 17, 2021) LA-LB ports to expand gate hours to ease historic congestion, Journal of Commerce https://www.joc.com/article/la-lb-ports-expand-gate-hours-ease-historic-congestion_20210917.html, accessed 7/16/24

trip would be able to accept the load. Compounding the issue was a “severe chassis shortage in Southern California” and the fact that warehouses were full.⁵⁴ One month later, though, the two ports proposed an emergency storage fee designed to force shipping lines to shift containers that had remained stationary on marine terminals, with surcharges of \$100 starting on the ninth day and incrementing by an additional \$100 each day thereafter.⁵⁵ The implementation date of the fees was pushed back several times, and in the end it was never implemented as the number of containers awaiting pickup decreased. Although it is not possible to determine the exact impact the specter of the emergency storage fee had, it more likely than not played a role in the decreased dwell times.

The demurrage and detention charges that VCC experienced were due to congestion in the global supply chain, which was suffering delays due to container and truck shortages as well as limited capacity aboard vessels at origin ports; delays outside destination ports as vessels awaited a berth; delays in cargo being moved out of the terminal due to the volume of cargo that ports were handling; delays with cargo being picked up and transported to warehouses due to a shortage of drivers and chassis; and delays in unloading containers at the warehouses due to a shortage of workers and space within the warehouses. In short, the supply chain was experiencing delays from beginning to end.

Mr. McCown writes that it is “incumbent on the carrier to have all the necessary assets, including ships, equipment, and terminals that it has contracted to provide,” but even had COSCO been in charge of terminal operations at destination ports within the United States this would not have resolved the supply chain issues outside of the terminal boundary.

3.4.Assertion 4: COSCO Started with Ocean Freight Rates for VCC Shipments that Were Above Average and then Added Accessorial Charges that Were Unreasonable

Mr. McCown makes the assertion that “Shippers will also often use their own terms, such [as] per diem and yard storage as examples used by VCC in its own internal reports.”⁵⁶ While that may be true, the instructions from the FMC to the ocean carriers make no mention of either per diem fees or yard storage costs. As such, it appears that the FMC is not requesting any charges other than for demurrage and detention. In contrast, Mr. McCown includes both “Per Diem” and “Yard Storage” charges to VCC within his demurrage and detention calculations. While the “Per Diem” is occasionally used interchangeably with demurrage and detention, “Yard Storage” is not.

Container xChange, a company that Mr. McCown cites within his own Expert Report, states that while demurrage and yard storage “might appear the same... there is still a difference.”⁵⁷ Global

⁵⁴ Mongelluzzo, B. (September 23, 2021) LA-LB ports move quickly to implement congestion measures https://www.joc.com/article/la-lb-ports-move-quickly-implement-congestion-measures_20210923.html, accessed 7/16/24

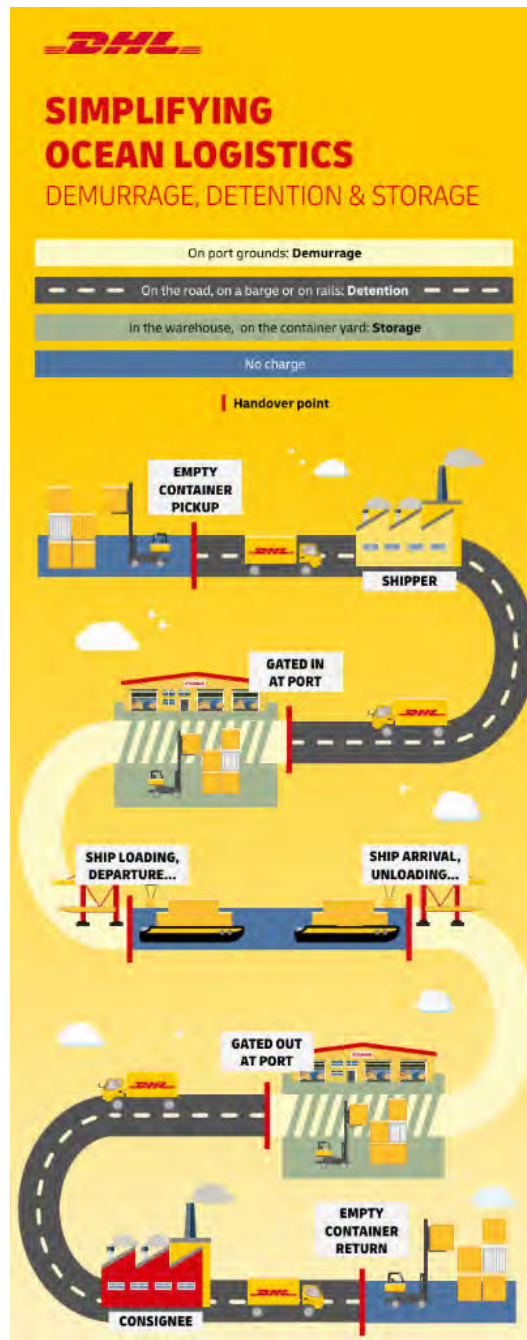
⁵⁵ Mongelluzzo, B. and Szakonyi, M (October 28, 2021) Commissioner meetings set to reveal how LA, LB will levy new storage fees https://www.joc.com/article/commissioner-meetings-set-reveal-how-la-lb-will-levy-new-storage-fees_20211028.html, accessed 7/16/24

⁵⁶ McCown Expert Report, Footnote 25, page 22

⁵⁷ https://www.container-xchange.com/blog/whats-the-difference-between-demurrage-and-storage-charges/#what_are_storage_charges, accessed 7/12/2024

freight forwarder DHL even created an infographic that separates out and explains the three terms (Exhibit 21).⁵⁸

Exhibit 21: DHL Infographic on Demurrage, Detention, and Storage



Source: DHL, <https://www.dhl.com/content/dam/dhl/global/dhl-global-forwarding/documents/pdf/glo-dgf-demurrage-detention-infographic.pdf>, accessed 7/12/2024

⁵⁸ <https://www.dhl.com/content/dam/dhl/global/dhl-global-forwarding/documents/pdf/glo-dgf-demurrage-detention-infographic.pdf>, accessed 7/12/2024

Container xChange explains that one difference between the two is that demurrage charges are charged by the shipping lines while yard storage charges are charged by the terminal.⁵⁹

The “Yard Storage” charges account for 62.6% of Mr. McCown’s VCC demurrage and detention calculation, and removing it reduces the “Total Per TEU” calculation from \$525 to \$197.

While I do not dispute the fact that VCC may include the per diem and yard storage charges within their own “internal reports”, there is no evidence that COSCO charged the yard storage fees to VCC or that carriers in general included yard storage charges within their submissions to the FMC. This clearly inflates the demurrage and detention value that is used in the remainder of Mr. McCown’s analysis.

As such, Mr. McCown’s calculations in Table 7 fail to support the assertion.

3.5.Assertion 5: COSCO’s Practices Related to Billing Demurrage, Detention and Other Accessorial Charges to Non-responsible Parties Was Unreasonable and Outside Industry Norms

Mr. McCown’s conclusions are based on numerous assumptions that often lack factual support:

1. This assertion ties back to the previous assertion, in which Mr. McCown suggests that VCC experienced a demurrage and detention charge of \$525 per TEU. As previously described, this charge more likely than not includes fees that were not included in demurrage and detention reports filed by carriers with the FMC.

Mr. McCown calculates total industry revenue based on the reported revenue of 11 public companies.⁶⁰ For this calculation, he relies on an assumption that these 11 companies generate 64.5% of the total industry revenue. This appears to be based on the percentage share of total capacity that these carriers operated at some point in time, presumably in 2017 when he first used the 64.5% factor. As such, capacity is being used as a proxy for revenue. Given that for much of this period cargo supply exceeded vessel capacity it can be assumed that vessel utilization was high. However, as previously discussed, capacity does not necessarily equate to revenue (recall Maersk’s decision to keep freight rates low in an attempt to generate customer loyalty).

3. Mr. McCown relies on a fixed 64.5% every quarter starting with the first quarter of 2017 through the first quarter of 2024, despite the fact that the share of capacity operated by these carriers continually fluctuates.
4. Mr. McCown estimates MSC’s revenue in his calculations of the revenue for the top nine carriers in his Table 8 by using a midpoint between Maersk and CMA CGM.⁶¹ Although all three carriers are headquartered in Europe their vessel deployments and fleet makeup

⁵⁹ https://www.container-xchange.com/blog/whats-the-difference-between-demurrage-and-storage-charges/#what_are_storage_charges, accessed 7/12/2024

⁶⁰ Based on “net income and revenue of container shipping industry thru 1q24.xls”. Although the calculations start with 12 companies, OOCL’s revenue is incorporated within COSCO after the acquisition.

⁶¹ “detail on top nine carrier revenue as percent of total.xls”

differ substantially. For example, MSC had a much larger share of weekly capacity on the Far East – Europe trade route than CMA CGM when the pandemic began, but a much smaller presence on the Far East – North America trade route.⁶² While MSC and Maersk’s fleets were similar in size, MSC’s fleet was almost 40% larger than CMA CGM at the start of the pandemic.⁶³ And although Maersk and MSC operated fleets of a similar size, as previously noted Maersk increased its freight rates less than the market as a whole during the supply chain crisis whereas MSC “maxed out and charged whatever they could for every container.”⁶⁴

5. Mr. McCown uses the revenue of the 11 public carriers who make much of their income on the more profitable mainline trades to estimate the industry as a whole. Aside from privately-held MSC, which does not report their revenue, many of the remaining carriers are focused on serving the intra-Far East trades (which had 32% of the vessels and 13% of the cellular TEU capacity at the start of the pandemic⁶⁵). As one article noted:

“A traditionally competitive market, intra-Asia freight rates have held steady throughout the crisis – unlike the steep rate climbs experienced on the deepsea trades.”⁶⁶

Inter-Far East freight rates began to climb at around the point when freight rates on the mainline trades peaked. Relying on the revenue of 64.5% of the market which primarily consist of the largest carriers running the most cost-efficient vessels on the most profitable routes to estimate the remainder of the market likely overstates the overall revenue of the industry.

Mr. McCown analyzes the demurrage and detention charges collected by the carriers as reported by the FMC. The FMC reported that “the nine carriers have collected roughly \$11.7 billion in demurrage and detention charges between April 2020 and December 2022.”⁶⁷ In Paragraph 62 of his Expert Report, Mr. McCown attempts to allocate the \$11.7 billion over the period using a version of Exhibit 22

⁶² Alphaliner Monthly Monitor January 2020

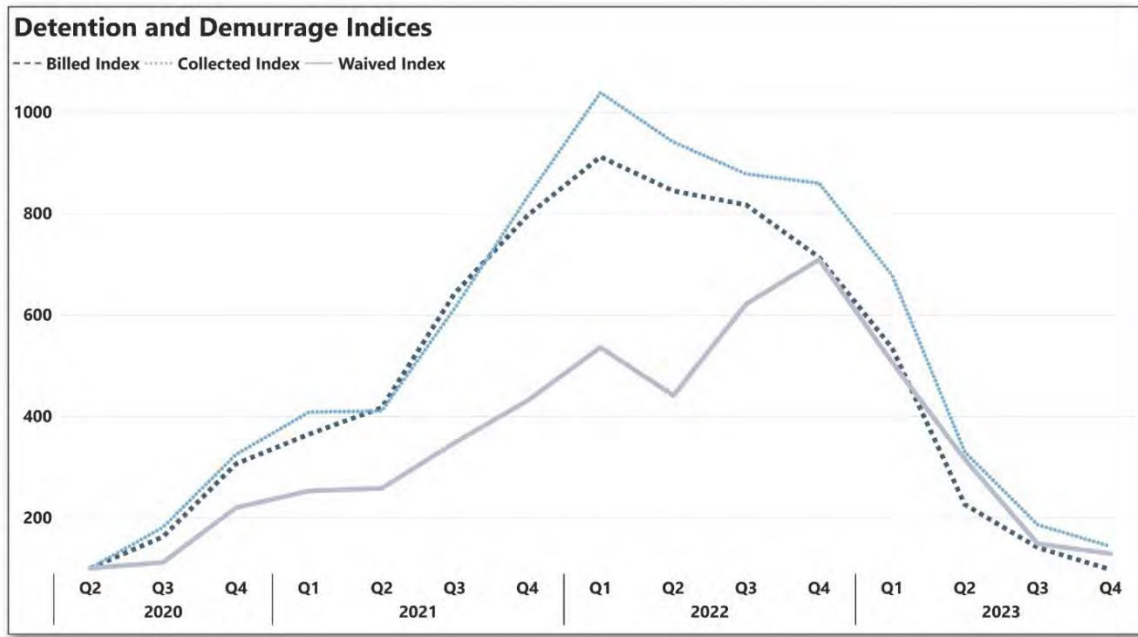
⁶³ Ibid.

⁶⁴ Telling, Oliver, and Milne, Richard (June 23, 2023) The shipping rivals plotting divergent courses on global trade The Financial Times, <https://www.ft.com/content/c29a373e-4c31-4f48-ac7c-221f1d0652a7>, accessed 7/12/2024

⁶⁵ Alphaliner Monthly Monitor January 2020

⁶⁶ Whelan, Sam (July 22, 2020) Booming intra-Asia trade pushes carriers to launch more services The Loadstar, <https://theloadstar.com/booming-intra-asia-trade-pushes-carriers-to-launch-more-services/>, accessed 7/12/24

⁶⁷ Although the number has been updated on the FMC website, the value in question can be located using an internet archiving website: <https://web.archive.org/web/20230519164407/https://www.fmc.gov/detention-and-demurrage/>, accessed July 3rd, 2024.

Exhibit 22: FMC Demurrage and Detention Indices, Q2 2020 through Q4 2023

Source: Federal Maritime Commission website, <https://www.fmc.gov/detention-and-demurrage/>, accessed July 3rd, 2024

A number of issues exist with this effort. First, Mr. McCown notes that to calculate the annual value of demurrage and detention for 2020 he relies on double counting the second quarter of the year as a means of estimating the first quarter (which is not included in the FMC chart).⁶⁸ This is illogical, as the chart clearly indicates an increase in the D&D indices in each period between Q2 2020 and Q1 2022. A working paper produced by the International Monetary Fund noted that “at the world level, shipping times jumped upwards as soon as the covid crisis hit”⁶⁹, as depicted in Exhibit 23.

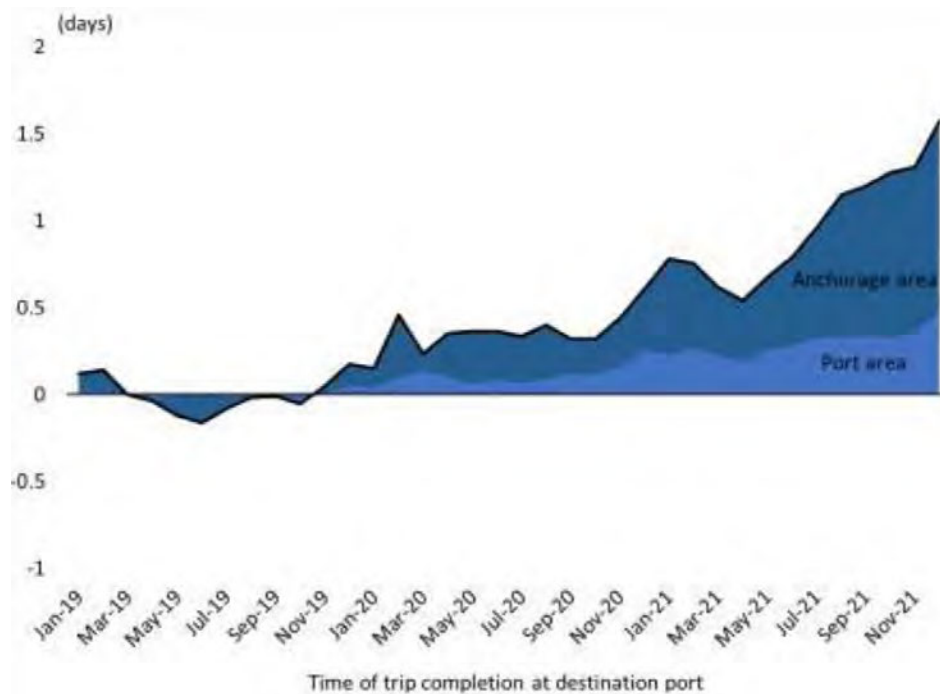
Although the port delays depicted on the chart in February 2020 appear to be higher than April 2020 through June 2020, both January 2020 and March 2020 are lower than that period, with the result being that the average delays depicted on the chart in Q2 were worse than in Q1.⁷⁰

⁶⁸ McCown Expert Report, Footnote 30, page 25

⁶⁹ Komaromi, Cerdeiro, and Liu (March 2022) Supply Chains and Port Congestion Around the World, International Monetary Fund, <https://www.imf.org/en/Publications/WP/Issues/2022/03/25/Supply-Chains-and-Port-Congestion-Around-the-World-515673>, accessed July 3rd, 2024.

⁷⁰ The chart in Exhibit 23 was added to an Excel spreadsheet and cells widths and heights were aligned to the chart to allow for an assessment of the delays depicted in the first and second quarters of 2020.

Exhibit 23: Port Delays Compared to Pre-Pandemic Baseline, World Average



Note: 2019 average = 0

Source: Komaromi, Cerdeiro, and Liu (March 2022) *Supply Chains and Port Congestion Around the World*, International Monetary Fund

A recent paper from the World Bank Group developed a measure of stress over the global supply chain in terms of trade capacity measured in TEU.⁷¹ The Global Supply Chain Stress Index (GSCSI) showed that the index had “risen consistently from early 2020 to March 2022”, which indicated “a considerable level of stress across the global supply chain over this period.”⁷²

⁷¹ Arvis et al (July 2024) [A Metric of Global Maritime Supply Chain Disruptions: The Global Supply Chain Stress Index \(GSCSI\)](#), World Bank Group: Macroeconomics, Trade and Investment Global Practice

⁷² Ibid, page 7,

Exhibit 24: Global Supply Chain Stress Index (MTEU), January 2016 to February 2024

Note: Y-axis is a measure of millions of TEU.

Source: Arvis et al (July 2024) *A Metric of Global Maritime Supply Chain Disruptions: The Global Supply Chain Stress Index (GSCSI)*, World Bank Group: Macroeconomics, Trade and Investment Global Practice

Both sources indicate that the global supply chain was impacted at the start of 2020 and continued to worsen through early 2022. As such, since the FMC indices measure global demurrage and detention charges it is more likely than not that the index readings for the first quarter of 2020 would be lower than the second quarter of 2020. Therefore, it is more likely than not that Mr. McCown overestimates the value of demurrage and detention collected in 2020 in his Table 8.

Second, Mr. McCown describes that “by carefully measuring the quarterly index values from the FMC website” he was able to “precisely” allocate the demurrage and detention charges to each year.⁷³ Mr. McCown subsequently described his methodology as follows:

“The methodology was to look at line graph with a different index value each quarter and to measure with a ruler and assign a point value to each quarter. The total points were equivalent to 61.3 over the entire period. That total divided into \$11.7 billion collected (which the FMC disclosed was the total over the 11 quarter period) works out to \$191 million per point.”⁷⁴

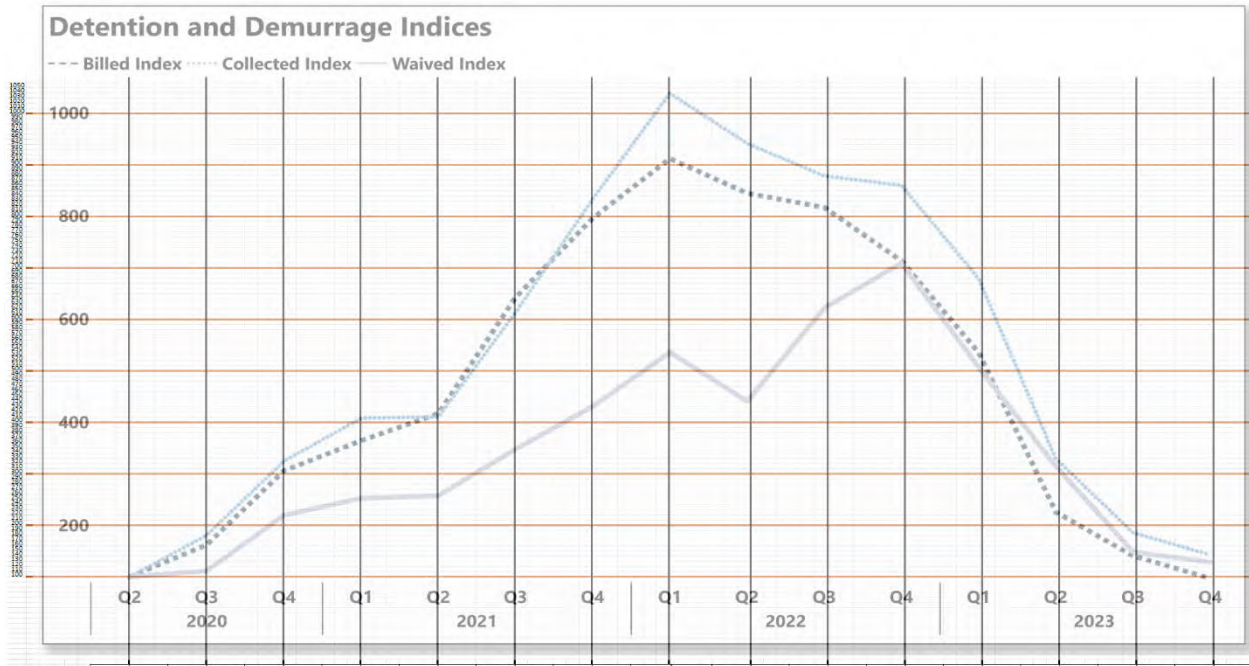
While there is nothing inherently wrong with super-imposing lines on a chart to determine where lines intersect axes, it is prone to inaccuracy. I performed a similar assessment to assign the \$11.7 billion to each quarter in the period between the second quarter of 2020 and the fourth quarter of 2022 using an image of the FMC chart and gridlines in Microsoft Excel rather than measuring with a ruler. By ensuring that each underlying cell had matching heights (to allow for 20 cells between indicated units on the Y-axis of the FMC chart) and matching widths (to allow for six cells between

⁷³ McCown Expert Report, Paragraph 62, page 25

⁷⁴ Email from Opposing Council dated July 8th, 2024

indicated quarters on the X-axis of the FMC chart), as depicted in Exhibit 25, I was able to measure each point with what I believe is a higher degree of accuracy than can be obtained with a ruler.⁷⁵

Exhibit 25: Assessment of FMC Demurrage and Detention Indices using Excel Grids



Source: Hackett Associates assessment of Federal Maritime Commission chart obtained from <https://www.fmc.gov/detention-and-demurrage/>, accessed July 3rd, 2024

Exhibit 26 compares the graph points presented in Mr. McCown's workbook⁷⁶ alongside those I obtained in my own analysis of both the Billed Index and Collected Index lines. The graph points collected by Mr. McCown are similar, but not identical, to those I measured in the **Billed Index** line. This illustrates that while lines on a picture of a chart can be carefully measured it is not necessarily precise (indeed, my own measurements may differ from the actual data points within the original FMC spreadsheet). The difference in the measurements results in a variance for the value of each graph point, with Mr. McCown assigning a value of \$190.86 million per point while I assigned \$192.91 million per graph point.

⁷⁵ Images can become distorted when increasing/decreasing magnification in Microsoft Excel and so the measurements were taken only when magnification was at 100% or 400%.

Exhibit 26: Comparison of Assessment of FMC Demurrage and Detention Indices

Quarter	McCown Graph Points	Hackett Graph Points	
		Billed Index	Collected Index
2Q20	1.0	1.00	1.00
3Q20	1.8	1.60	1.80
4Q20	3.3	3.05	3.20
1Q21	3.7	3.65	4.05
2Q21	4.2	4.15	4.10
3Q21	6.6	6.40	6.10
4Q21	8.0	7.95	8.30
1Q22	9.2	9.10	10.40
2Q22	8.4	8.45	9.40
3Q22	8.1	8.15	8.80
4Q22	7.0	7.15	8.60
Total Points	61.3	60.65	65.75
Amount (Millions)	\$11,700	\$11,700	\$11,700
Amount/Point (Millions)	\$190.86	\$192.91	\$177.95

Exhibit 27 compares the assignment of the \$11.7 billion by year based on the three assessments. Although Mr. McCown's Table 8 includes a value for 2020, as I have previously shown that the value for 2020 is improperly derived I have focused on just 2021 and 2022. It is clear that Mr. McCown's totals for 2021 and 2022 are close to my assessment of the FMC Billed Index.

However, as both Mr. McCown and the FMC note, the \$11.7 billion represents the amount that the nine carriers **collected**. As Exhibit 27 indicates, if the assessment is based on the FMC's **Collected Index** line, I calculate a difference of approximately six percent between Mr. McCown's value and my value in each year (with my 2021 calculation lower and my 2022 calculation higher).

Given Mr. McCown's maximum listed graph point is 9.2 and the FMC chart clearly shows the Collected Index line breaching the 1,000 point mark while the Billed Index line appears to breach only the 900 point mark it is probable that Mr. McCown used the incorrect index in performing his assessment. As such, any subsequent calculations used in his assessment that are based on this are erroneous.

Exhibit 27: Comparison of Derived Demurrage and Detention Values

Index	2021	2022
McCown	\$4,294	\$6,241
Hackett Billed Index	\$4,273	\$6,337
Hackett Collected Index	\$4,013	\$6,620
Difference between McCown and Hackett Collected Index	-6.5%	6.1%

Finally, Mr. McCown calculates the percentage of the revenue that is derived from demurrage and detention at nine carriers (although he substitutes Zim for MSC). As the percentages in Mr. McCown's Table 8 rely on the incorrect demurrage and detention calculations they are themselves

incorrect.⁷⁷ As such, any subsequent calculations used in his assessment that are based on these percentages are erroneous.

Mr. McCown's Table 9 and Table 10 rely on the previously discussed VCC demurrage and detention fee in his Table 7 that also includes yard storage, thereby inflating the calculated percentage of the demurrage and detention assigned to VCC at COSCO. They also use the previously discussed methodologies to estimate revenue and demurrage and detention at the "FMC Top 9" carriers.

Furthermore, Mr. McCown's Tables 9 through 13 compare average global demurrage and detention charges to those VCC experienced in the United States despite the fact that it is well known that the rates are significantly higher in the United States than the rest of the world. Mr. McCown even sources his average global rates from a report that notes:

- that the United States is "the most expensive region for these charges"⁷⁸
- "The ports with the highest D&D charges after 2 weeks are: New York, Long Beach, & Los Angeles respectively."⁷⁹
- "7 North American ports are the costliest in the world in terms of D&D."⁸⁰

The Container xChange report states that while the overall demurrage and detention charges in North America have decreased by 25% between 2022 and 2023, they were still significantly higher than the rest of the world (Exhibit 28).⁸¹ Whereas Mr. McCown uses an average demurrage and detention rate of \$664 in 2022, the Container xChange report indicates that the average in North America was approximately four times higher at \$2,692.⁸²

Exhibit 29 shows the average combined demurrage and detention rates at North American ports between 2020 and 2023, highlighting the large disparity with the average rates of between \$501 and \$868 that Mr. McCown uses in Table 11. In both cases these are the charges that have accumulated at day 14, are combined demurrage and detention fees, and are combined for imports and exports. Mr. McCown's comparison is distorted by geography and is not meaningful.

⁷⁷ Mr. McCown also accidentally includes the Excel cells that contain the years in his summation of carrier revenue that he uses to derive the percentage of revenue that demurrage and detention charges represent which also distorts his calculation.

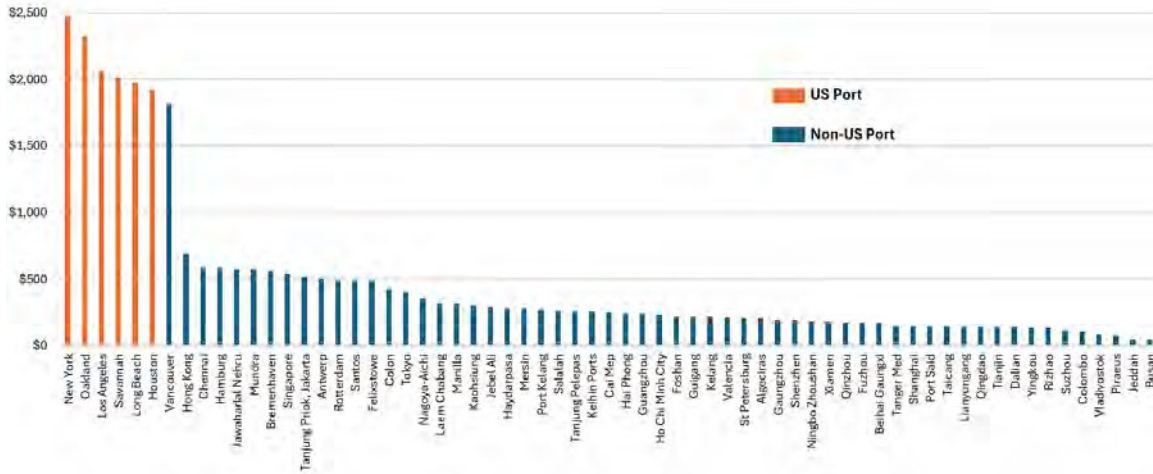
⁷⁸ Container xChange (June 2023) Annual Benchmark Report: Demurrage and Detention Fees 2023, page 3

⁷⁹ Ibid, page 9

⁸¹ Ibid, page 27

⁸² Ibid.

Exhibit 28: Comparison of Combined Demurrage and Detention Charges at 65 Ports, 2023



Data source: Container xChange (June 2023) Annual Benchmark Report: Demurrage and Detention Fees 2023

Exhibit 29: Comparison of Combined Demurrage and Detention Charges at North American Ports, 2020 to 2023



Source: Container xChange (June 2023) Annual Benchmark Report: Demurrage and Detention Fees 2023

Finally, Mr. McCown believes that the demurrage and detention charges had a meaningful impact on COSCO's revenue.⁸³ He offers no evidence to support this claim, but given his (incorrect) figures in his Table 8 suggest that demurrage and detention charges accounted for between 0.85% and

⁸³ McCown Expert Report, Paragraph 63, page 27

1.62% of the revenue at the top nine carriers, it is more likely that any increase in revenue experienced by any ocean carrier had more to do with the surging freight rates.

Based on the overstated VCC charges, the incorrect calculations derived from the FMC chart, and the comparison of demurrage and detention charges that are based in a U.S. market to significantly lower global averages, Mr. McCown is unable to credibly support this assertion.

3.6.Assertion 6: Actual Data Demonstrates That the VCC Shipments Were Treated Very Differently for Accessorial Charge Billing Purposes Which Made It Unreasonable

Mr. McCown does not present any actual data to support this assertion. He notes that “COSCO’s actions were focused on maximizing income” but does not provide any evidence beyond what has previously been discounted to support this claim.⁸⁴

Mr. McCown states that terminal congestion issues that resulted in VCC’s demurrage and detention charges were “due to COSCO’s failure to properly manage its terminal operations at the macro level”.⁸⁵ The period in question was one of great uncertainty, with ports, carriers, and shippers all doing their best to adapt to an unprecedented global supply chain crisis triggered by a global pandemic. Maritime consultants (myself included) were surprised by the resurgent volume in the second half of 2020 that brought about the congestion at North American ports.

Maritime Strategies International stated that “there seems little doubt that containerized trade will shrink in 2020, with near-term rates of decline potentially approximating – or even exceeding – those seen during the financial crisis.”⁸⁶

Maritime industry expert Alan Murphy of Sea-Intelligence stated his best-case scenario would see a 10% decline in container volume in 2020 with rates remaining stable and carriers losing \$800 million while his worst-case scenario had collective losses of \$23 billion.⁸⁷ In reality, global containerized trade declined by just 2.7% between 2019 and 2020⁸⁸ and the nine largest container carriers tripled their operating income to reach \$15.1 billion.⁸⁹

Mr. McCown too wrote that an increase in import volumes to the United States in July 2020 was not “some sort of harbinger of a “V” shaped recovery in U.S. container volumes” and that there would be “continued weakness in container volumes in the months ahead.”⁹⁰ In reality, Exhibit 18 illustrated that imports surged higher still in the second half of the year.

⁸⁴ McCown Expert Report, Paragraph 74, page 32

⁸⁵ McCown Expert Report, Paragraph 76, page 32

⁸⁶ Miller, Greg (March 26, 2020) Ocean container volumes are about to fall off a cliff Freightwaves, <https://www.freightwaves.com/news/ocean-container-volumes-are-about-to-fall-off-a-cliff>, accessed 7/16/24

⁸⁷ Miller, Greg (April 6, 2020) Container lines scramble to avert ‘life-threatening’ COVID-19 losses Freightwaves, <https://www.freightwaves.com/news/container-lines-scramble-to-avert-life-threatening-covid-19-losses>, accessed 7/16/24

⁸⁸ United Nations Conference on Trade and Development Review of Maritime Transport 2023, page 11

⁸⁹ Alphaliner Alphaliner Weekly (2021) Issue 14

⁹⁰ McCown, John (August 17, 2020) McCown Container Volume Observer

The congestion that impacted North American ports caught everyone by surprise. As previously depicted in Exhibit 19 scores of container ships lay at anchor outside U.S. ports awaiting a berth during the global supply chain crisis. Attempts to resolve terminal congestion had little impact: ports extended gate hours to assist with container pick-up and delivery, but other parts of the supply chain remained ‘broken’, including a shortage of chassis, truck drivers, and warehouse workers.

The notion that the terminal congestion that impacted VCC was due to a failure on COSCO’s part is unreasonable.

3.7. Assertion 7: The Liability of COSCO’s Actions Are Evident from the Data and the Same Fact-Based Approach Should Be Taken in Assessing Damages For VCC

I am not an expert on assessing or modeling damages, and as such the assessment of suggested damages determined by Mr. McCown is beyond the scope of this Rebuttal Report. However, the previous sections of this report note multiple instances of flawed assumptions as well as methodological and calculation errors in his spreadsheets that underlie his conclusions and subsequent assessment of damages.

4. Conclusion

Mr. McCown charges COSCO with “unreasonable conduct”⁹¹ but the evidence that he presents fails to justify this claim. His assessment of COSCO underperforming the ocean carrier industry stands in contrast to a carrier entering the global supply chain crisis following a period of expansion and with a fleet that included a significant quantity of cost-effective 18,000+ TEU vessels. The carrier also benefited from vertical integration within the supply-chain through its connection to COSCO Shipping Ports. Attempts to suggest that the growth in COSCO’s average rate per TEU during the crisis was outside industry norms were shown to be false.

Mr. McCown also attempted to portray COSCO’s demurrage and detention rates as unreasonable, when in reality their rates were shown to be among the lowest of its peers globally and in North America. His comparison of VCC’s charges to much lower global averages obfuscates the fact that such costs are, and have always been, much higher in North America. His assessment of VCC’s charges also included significant yard fees that were more likely than not excluded from the collected demurrage and detention charges reported to the FMC.

The reality is that COSCO’s experience was similar to that of many in the industry: the Covid-19 pandemic and the accompanying supply chain crisis resulted in delayed operations, full utilization of vessel capacity, and increased profits. The congestion at both origin and destination ports impacted COSCO’s operations, while the congestion at U.S. ports along with labor shortages among truck drivers and warehouse workers impacted VCC.

⁹¹ McCown Expert Report, Paragraph 32, page 10

Mr. McCown's continued approach of comparing COSCO to aggregated industry values and the experiences of VCC to global averages rather than more appropriate metrics in both cases results in flawed assessments and erroneous conclusions. Mr. McCown describes COSCO's behavior as "piggish and despicable"⁹², but he fails to provide any meaningful evidence that could justify this accusation.

5. Addendum

This addendum has been added to my Expert Report following the amendment that Mr. McCown made to his Expert Report, submitted on September 27th 2024. I have also relied on testimony from Mr. McCown's deposition on September 26th, 2024, in which he detailed the methodologies he used in his analysis, as well as additional documents that have been produced following the submission of my original Expert Report. I received a further round of corrections to Mr. McCown's Expert Report on the evening of October 17th, although due to time constraints I have not had as much time as I would like to go through his new calculations. To avoid confusion, I refer to this as the "Fourth Edition of the McCown Expert Report".

5.1. Analysis of VCC Records

Mr. McCown Refers to Demurrage, Detention, Per Diem, and Yard Storage Inconsistently

It appears that there is still significant confusion surrounding Mr. McCown's Table 7 despite the corrections and updates that he provided on September 27th and October 17th. In his report Mr. McCown describes the contents of the table as primarily demurrage related:

"Note that the overall payments are listed as they were originally shown in VCC's accounting records where some actual payments were recorded as "Per Diem" and "Yard Storage" but are more typically referred to as demurrage."⁹³

Mr. McCown subsequently testified that the per diem and yard storage charges should in fact be considered related to detention:

"My understanding from VCC, and confirmed by the emails, I think both yard storage and per diem are what I would call detention.... I don't -- I can't explain why in the worksheet it was shown as yard storage, but I do know for sure that that was related to detention charges from COSCO."⁹⁴

As I detailed in Section 3.4, yard storage charges do not originate with a carrier and should not be classified as either demurrage or detention.

⁹² McCown Expert Report, Paragraph 84, page 35

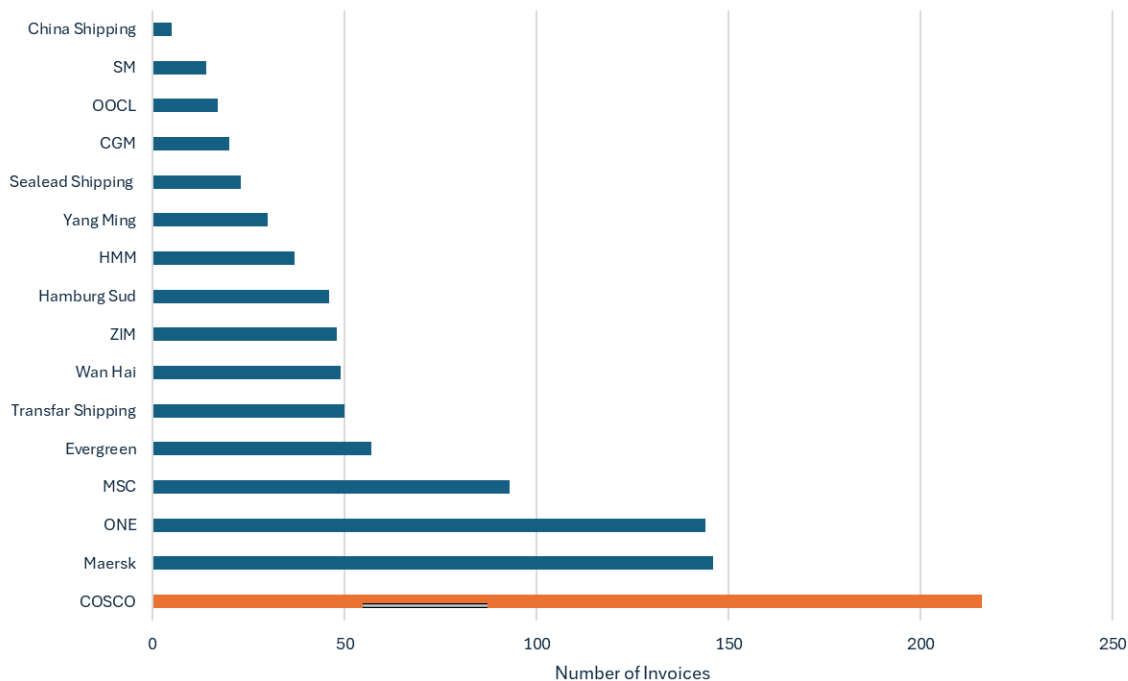
⁹³ Fourth Edition of the McCown Expert Report, Paragraph 57, page 23

⁹⁴ Deposition of John D. McCown, September 26, 2024, page 146

Mr. McCown Miscalculates the Number of VCC's Containers

There is further confusion within Table 7 as Mr. McCown states that he relied on two internal files that detailed trucking activity in 2021 and 2022 that showed “a total of 1,844 40’ containers were moved from Asia to the U.S. with COSCO.”⁹⁵ The two data files contain records of invoices, with only one container listed in each invoice. The 2021 data file⁹⁶ includes 961 data entries, as Mr. McCown notes, but the 2022 data file⁹⁷ does not contain the 983 COSCO shipments that Mr. McCown described: of the 995 invoices in the datafile, just 216 are attributed to COSCO (with the remainder assigned to other ocean carriers). Mr. McCown notes in his October 17th update that he as removed a further 100 shipments arriving in Canadian ports from his analysis, but these appear to be removed from a different dataset than the two listed.⁹⁸

Exhibit 30: VCC Invoices by Carrier, 2022



Source: VCGPOR – 2022 Report.xls, received September 27th, 2024

It is also more likely than not that the 2021 data file includes data for all the ocean carriers and not just COSCO, as the 2021 VCC data file indicates that containers were picked up from five different terminals at the Port of Long Beach and seven different terminals at the Port of Los Angeles. Even accounting for the fact that cargo contracted to COSCO might be carried aboard the vessel of an alliance partner, there is no credible explanation as to why the three members (four including OOCL) of the Ocean Alliance would call at 12 terminals in the San Pedro Bay port complex.

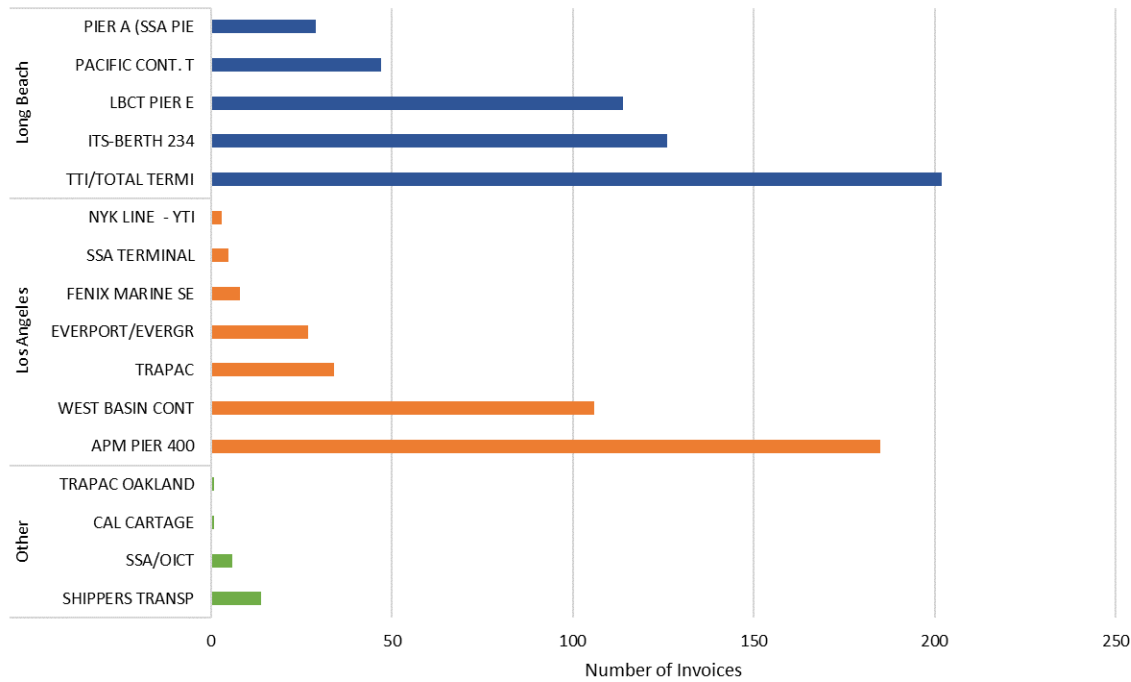
⁹⁵ Fourth Edition of the McCown Expert Report, Footnote 26 and Paragraph 57, page 23

⁹⁶ VCGPOR REPORT– Year 2021.xls, received September 27th, 2024

⁹⁷ VCGPOR – 2022 Report.xls, received September 27th, 2024

⁹⁸ Fourth Edition of the McCown Expert Report, Footnote 26, page 23

Exhibit 31: VCC Invoices by Terminal, 2021



Source: VCGPOR REPORT– Year 2021.xls, received September 27th, 2024

It should also be noted that all 961 of the invoices in 2021 were for cargo destined for VCC’s Las Vegas, NV, warehouses⁹⁹, as were 963 of the 995 invoices in 2022, with the remaining 32 destined for Houston.¹⁰⁰ There was no indication in either data set of cargo flowing through Maher Terminal, despite the fact that Mr. McCown relies on a datafile that shows import activity at that location.¹⁰¹

Even if the 961 records from 2021 and the 216 COSCO records from 2022 are used, this brings the total to 1,177 40’ containers. However, this still overstates the number of containers that Mr. McCown is basing his analysis on, as there are numerous instances of a single container having multiple records. For example, in the 2021 data file, container number TLLU8541585 has two records that have a matching booking number, HB/L number, pickup location, delivery location, and scheduled delivery date (see Exhibit 32); or in the 2022 data file, container number RFCU4013038 has two records that have a matching order number, pickup location, delivery location, and ship date (see Exhibit 33). The records might have unique invoice numbers, but that does not mean that in each instance the records should count as multiple 40’ containers moving from Asia to the U.S. There are only 896 unique booking number/container pairs in 2021 and 178 unique COSCO order number/container pairs in 2022.

¹⁰⁰ VCGPOR – 2022 Report.xls, received September 27th, 2024

¹⁰¹ VCC 000005 VCC COSCO Charges by Container Number.xls

In summary, Mr. McCown's count of containers includes hundreds of containers moved by ocean carriers other than COSCO, excludes an unknown number of containers imported through East Coast ports, and double counts dozens of containers.

Based on the above, the average freight rates and other calculations that follow in Table 7 and Paragraphs 58 and 59 that rely on the erroneous container count are incorrect. Mr. McCown also utilizes the erroneous value of 1,844 containers elsewhere in his Expert Report, including in Paragraphs 67, 68, and 69 as well as Table 12, and all such calculations are likewise incorrect.

Mr. McCown Miscalculates VCC's Costs

There are also issues with Mr. McCown's cost calculations based on VCC's records despite two rounds of revisions. The various charges itemized in Table 7 do not match the charges included within the 2021 and 2022 data files that Mr. McCown states his analysis is based on. The amended values within the table in fact appear to come from a separate data file¹⁰² that includes 437 records for 196 shipments that involve 331 containers (each record relates to a single charge (including refunds), and so a single shipment could have multiple records, and a shipment could also contain multiple containers). In some cases the charge appears to be assigned to a single container within the shipment, in other cases the charge appears to be assigned to all the containers in a shipment.

Removing the 100 records flagged as having a destination in Skokie that may have reached North America via a Canadian port decreases the list to 132 shipments and 229 containers, of which 228 containers are unique. Of these containers, zero appear in the 2021 report and 106 appear in the 2022 report.

Mr. McCown states that "The internal records of VCC show that of 1,844 shipments during that period, actual payments for demurrage, detention and associated accessorial charges were made related to 319 shipments."¹⁰³ It appears that both values are incorrect, and as such so is the analysis that follows (including Paragraphs 67 through 70 and Table 12).

Another issue with the file on which Mr. McCown bases his cost calculations is that some records appear to be repeated. For example, the third largest invoice (a storage charge of \$19,941, invoice number S00390584/C, invoiced on April 25, 2022, for four containers) is listed twice (Exhibit 34). There appear to be 379 unique invoices in the file, totaling \$1,055,277 (including eight with a negative value that suggests a refund). Removing the 100 Skokie records results in 301 unique invoices that total \$1,006,067 (including eight with a negative value that suggests a refund) and not the \$1,161,807 Mr. McCown uses within his Expert Report.

¹⁰² VCC 000005 VCC COSCO Charges by Container Number.xls

¹⁰³ Fourth Edition of the McCown Expert Report, Paragraph 67, page 29

5.3. Analysis of Demurrage and Detention Charges

Mr. McCown Appears to Have Misinterpreted Container xChange's Data

In Section 3.5 of my Expert Report I detailed how Mr. McCown's use of Container xChange's average demurrage and detention rates in his analysis was inappropriate. Mr. McCown's testimony during his deposition suggests that he fundamentally misunderstood what the values presented by Container xChange measured. When asked about Container xChange and their average rates, Mr. McCown stated:

"I'm not that familiar with them other than they're -- they're a digital company that is kind of the back office for shippers. They say on their website that they deal with 1500 customers and it's some sort of digital product, if you will. And what I find, it's also got some pretty impressive bona fides in terms of the people that founded it and the people that funded it. So it's one of these maritime startups, if you will, that seems to be very credible. And so that, learning about the company gave me more confidence in their data because it seems like their data is pulled from actual experience of their customers."¹⁰⁹

"My interpretation of the data they had was some sort of survey or something that they called, you know, collectively from their customers, their 1500."¹¹⁰

"I thought that they gave -- my recollection is they gave actual numbers based on their experience."¹¹¹

"No, it was -- it was actual figures. And I took that they had an actual figure of the --the -- the Container xChange D&D. You see that across the top. And then I superimposed that with some of the FMC data, to say, okay, if that is the right figure, you know, when -- and the D&D or the Container xChange data is the average surcharge or average D&D when a charge is made. So I took that average and then divided by my estimate. I took the FMC data."¹¹²

Mr. McCown appears to have concluded that the Container xChange data is based on actual demurrage and detention charges collected from 1,500 businesses. This is not supported by the methodology described within the Container xChange report on which Mr. McCown relies. They describe their methodology and data standardization as follows:

"Each year, we employ a web scraping technique to gather public data from the websites of the biggest shipping lines. This involves manual retrieval of information such as Demurrage and Detention fees, free days, and other relevant parameters for container movements. The scraping process adhered to ethical practices and respected the websites' terms of service.

The collected data underwent thorough cleaning and standardization to ensure consistency and accuracy. This included removing duplicate entries, correcting formatting inconsistencies, and aligning data points for comparison across shipping lines and years.

¹⁰⁹ Deposition of John D. McCown, September 26, 2024, pages 220-221

¹¹⁰ Deposition of John D. McCown, September 26, 2024, page 222

¹¹¹ Deposition of John D. McCown, September 26, 2024, page 223

¹¹² Deposition of John D. McCown, September 26, 2024, page 225

We then conducted a comprehensive comparative analysis of the scraped data, examining trends and patterns in Demurrage and Detention fees over the years. By comparing the data from different shipping lines, we aimed to identify variations, similarities, and changes in fee structures and policies. This analysis provided insights into the evolving landscape of Demurrage and Detention fees within the industry.

It is important to note that the accuracy and availability of data from shipping lines' websites can vary. While we made every effort to ensure the reliability of the collected information, discrepancies and limitations may arise due to factors beyond our control, such as website updates, temporary unavailability of data, or variations in how shipping lines present their fee structures.

Unless otherwise stated, each graph and table enclosed in this report exhibits and has set controlled variables of:

- combined Demurrage and Detention fees
- combined import and export
- standard containers of 20 DC and 40 DC
- accumulated at day 14 (after 2 weeks)

While this may limit our analysis, this is to ensure that we have a fixed control as we continue to make comparisons over the years.”¹¹³

Based on Mr. McCown’s testimony, it appears that he has misinterpreted what the average rates presented in the Container xChange Annual Benchmark Report measure, and incorrectly uses benchmark figures to calculate an average rate of incidence based on his measurement of the FMC index. This further validates my assertion that Mr. McCown’s Table 11 is not meaningful. The accompanying analysis that builds on his Table 11, including Table 12, are likewise not meaningful.

5.4. Terminal Operations and Supply Chains

Mr. McCown’s Fails to Consider Shifts in Containerized Cargo Trade

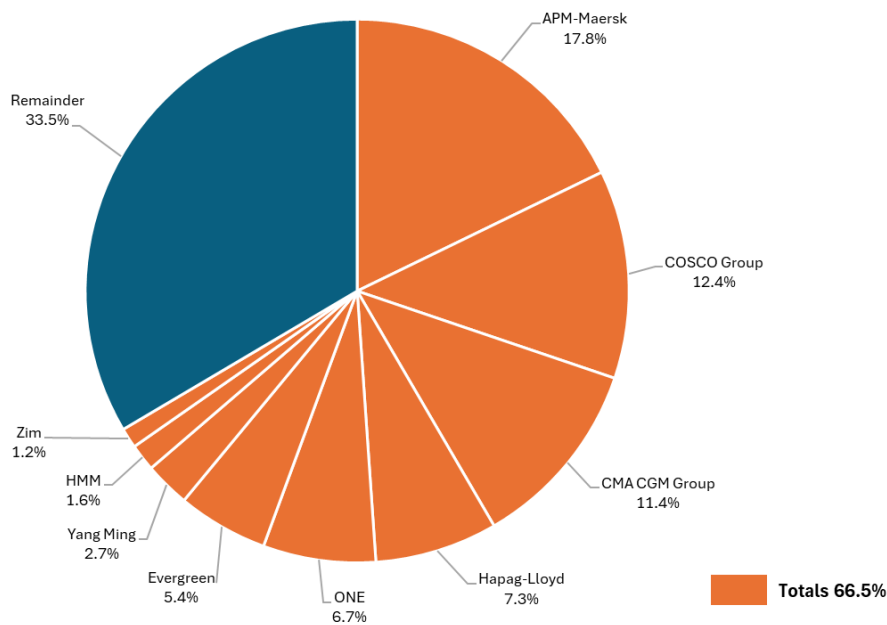
The increased import volume seen at ports and terminals during the pandemic/supply chain crisis was not solely due to COSCO, as many, if not all, of the ocean carriers would have seen their vessel utilizations surge during the supply chain crisis. Furthermore, the increased volume that a container terminal was handling during the period in question was not just because the vessels that had been calling prior to the pandemic were full, but also because carriers were establishing new

¹¹³ Container xChange Annual Benchmark Report: Demurrage & Detention Fees, 2023, pages 17-18

services to accommodate the surge in cargo volume. The Journal of Commerce reported that Maher Terminal, for example, added “three additional services [in 2021]: Orient Overseas Container Lines’ Vietnam-China-East Coast service, Hapag-Lloyd’s Indamex2 service, and Zim’s Mediterranean express service.”¹¹⁴

The adjustment to container routes to provide additional capacity to meet increased levels of cargo demand as well as the fact that new vessel deliveries could be immediately filled to capacity meant that a carrier’s fleet capacity had a direct impact on how many containers they could move each quarter and how much revenue they could generate (especially given the record high freight rates). Mr. McCown’s reliance on a fixed value of 64.5 percent for carrier market share that was calculated years prior to the pandemic and then directly equating that to revenue makes the resultant numbers unreliable. This is especially true given the frequent adjustments that were made to services during the period, with carriers scrambling to charter additional vessels. As such, the shift in market share in any given month, quarter, or year is not “microscopic”¹¹⁵ as Mr. McCown claimed. At the start of the pandemic, for example, the market share of the carriers included in Mr. McCown’s workbooks had increased from 64.5 percent to 66.5 percent, as depicted in Exhibit 36 below.¹¹⁶

Exhibit 36: Market Share of McCown-Tracked Carriers as of January 2020



Alphaliner Monthly Monitor January 2020

¹¹⁴ Angell, Michael (December 3, 2021) ‘Tramp’ ships coming to NY-NJ port, hoping for berth space, <https://www.joc.com/article/tramp-ships-coming-to-ny-nj-port-hoping-for-berth-space-5243384>, accessed 10/13/2024.

¹¹⁵ Deposition of John D. McCown, September 26, 2024, page 191

¹¹⁶ Alphaliner Monthly Monitor January 2020

Mr. McCown's Belief that U.S. Container Terminals Operate as if they were COSCO's Own Terminals is Implausible

As previously discussed, Mr. McCown stated in his Expert Report that he believed COSCO controlled terminal operations at the locations it called, and that a carrier was responsible for capital expenditures and cargo operations within the terminal rather than the terminal operator:

“It is incumbent on the carrier to have all the necessary assets, including ships, equipment and terminals, to provide the service that it has contracted to provide. If that requires additional expense or capital investment, that is the obligation of the carrier and not the customer.”¹¹⁷

Mr. McCown re-affirmed this belief during his deposition, suggesting again that COSCO, an ocean carrier, was responsible for terminal operations:

“These terminals were already approaching full capacity, and that should have been something a carrier knew was happening and steps should have been taken to increase terminal capacity.”¹¹⁸

“They have such massive volume that whatever space they're using is theirs exclusively. You know, if it's framed that, you know, somebody else is the terminal operator, but for all practical purposes, I would be highly confident that that terminal is operated as if it was COSCO's own very own terminal.”

The reality is that Maher Terminals is “one of the largest privately held multi user container terminal operators in the world”.¹²⁰ It is the largest terminal at the largest container port (in terms of TEU volume) on the U.S. East Coast, whether measured by acreage¹²¹, number of container cranes¹²², or container volume¹²³. Maher Terminals’ twelve ocean carrier customers in 2021 included some of the largest in the world, including CMA CGM (and APL), COSCO, Evergreen, Hapag-Lloyd, ONE, [OOCL], Yang Ming, and ZIM (which combined account for approximately half of the total operated global container vessel fleet, as shown in Exhibit 36), as well as smaller carriers including ACL, Bermuda Container, and Marfret.¹²⁴

Furthermore, as previously noted COSCO is a member of the Ocean Alliance, a shipping alliance that also included CMA CGM, Evergreen and OOCL. In July 2021, the Ocean Alliance operated the

¹¹⁷ Fourth Edition of the McCown Expert Report, Paragraph 56, page 22

¹¹⁸ Deposition of John D. McCown, September 26, 2024, page 73

¹¹⁹ Deposition of John D. McCown, September 26, 2024, page 164

¹²⁰ <https://www.maherterminals.com/>, accessed 10/13/2024

¹²¹ Port Authority of New York and New Jersey, Port of New York and New Jersey Terminal Services Guide 2021, <https://aemstage.panynj.gov/content/dam/port/customer-library-pdfs/terminal-services-guide-2021.pdf>, accessed 10/13/2024

¹²² Ibid.

¹²³ Angell, Michael (February 6, 2024) NY-NJ marine terminal chief expects new ILA labor contract before October <https://www.joc.com/article/ny-nj-marine-terminal-chief-expects-new-ila-labor-contract-before-october-5215046>, accessed 10/13/2024

¹²⁴ Port Authority of New York and New Jersey, Port of New York and New Jersey Terminal Services Guide 2021, <https://aemstage.panynj.gov/content/dam/port/customer-library-pdfs/terminal-services-guide-2021.pdf>, accessed 10/13/2024

largest amount of weekly capacity on the Far East – North America trade route, with 39 percent of the total capacity.¹²⁵ As a member of an alliance, there was no guarantee that cargo contracted with COSCO would arrive on a COSCO-operated vessel.

Given the above, the suggestion by Mr. McCown that the terminal would be operated as if it was “COSCO’s own” terminal is highly implausible.

Mr. McCown Underestimates the Length of Time Required to Handle a Vessel at a Container Terminal.

In his deposition, Mr. McCown stated that vessel unloading would be “something over a day probably at most of their ports”¹²⁶ and that a total stay of “four days is not, it’s not at all typical.”¹²⁷ The Port of Los Angeles maintains a log that includes the number of vessels at anchor, the number of vessels at berth, the average days at berth, and the average days at anchor.¹²⁸ It is apparent that in 2024, a period during which vessels have seen high utilization and the port has seen smooth operations despite near-record cargo volumes, the average length of time at berth frequently reaches three to four days. Indeed, three quarters of the 197 days listed between January 2nd, 2024, and October 11th, 2024, had an average number of days at berth equal to or greater than three, and 44 percent had an average number of days at berth equal to or great than four.

Mr. McCown Assigns an Unreasonable Level of Blame to Ocean Carriers for the Global Shortage of Containers During the Supply Chain Crisis

Mr. McCown again understates the impact of the Covid-19 pandemic on the global supply chain when suggesting that carriers could react quickly to equipment shortages.

“You know, containers, as you said, can be literally built in three months. So I turn this kind of around and I dare say at my company, Trailer Bridge, we never had a situation where we did not have equipment. If we ever approached that situation, we would build a new equipment. So it’s incumbent upon the carrier and the carrier’s planning. You know? And in a way, one can reduce this -- this whole situation to the carriers, quite frankly COSCO and other carriers, lack of planning. You know, and their lack of planning should not have translated into a crisis for shippers.”¹²⁹

To suggest that carriers could have planned for the scenario that unfolded is unreasonable. The impact of the pandemic on supply chains was unprecedented, and to suggest that disruptions were due to a lack of planning is disingenuous. Mr. McCown also downplays the delays in ordering new containers during the crisis at a time when every carrier also sought additional containers:

¹²⁵ Alphaliner Monthly Monitor July 2021

¹²⁶ Deposition of John D. McCown, September 26, 2024, page 173

¹²⁷ Deposition of John D. McCown, September 26, 2024, page 174

¹²⁸ Port of Los Angeles, Historical Container Vessel Activity, <https://kentico.portoflosangeles.org/getmedia/a0f778f8-ce83-4848-9cce-b4b2bd11750c/container-vessels-in-port>, accessed 10/13/2024

“You know, the carriers, you know, there was a lot of -- a lot of ordering going on, so I imagine there was a there was a backlog. But at the same time, the Chinese container manufacturers are quite industrious. You know, they adapt to changing circumstances.”¹³⁰

The CEO of Hapag-Lloyd stated in 2021 that “The container shipping industry is currently seeing unprecedented demand, which has led to a shortage of containers all over the world.”¹³¹ Just three Chinese manufacturers produced approximately 80 percent of containers globally in 2021.¹³² The Financial Times reported that “the world’s biggest box manufacturers, China International Marine Containers (CIMC), Dongfang International Container and CXIC Group, are struggling to meet demand, even though production has been increased with workers’ hours extended.”¹³³ Container manufacturing reached record levels in 2021, doubling the previous year’s output with 7.1 million containers produced.¹³⁴ Output might have been higher still had it not been for a shortage of steel, floor timber and qualified welders.¹³⁵

Mr. McCown Assigns an Unreasonable Level of Blame to Ocean Carriers for the Accumulation of Empty Outbound Containers

Mr. McCown suggests that the carriers’ decision to depart ports without the same number of outbound containers as were unloaded was a significant contributor to the container shortage, implying it saved “30 percent or 40 percent”¹³⁶ of the time spent in a terminal, but it was reported that the difference in the number of containers between the fronthaul voyage and the backhaul voyage was in the range of just five to eight percent.¹³⁷

The reason for leaving a port without the full complement of empty containers is in part due to an attempt to adhere to a schedule. Carriers would have favored a fully laden back-haul return trip so that the empty containers could be refilled for the more profitable head-haul voyage between Asia and North America or Europe. However, this desire would have been weighed against the lengthy delays at anchor that their vessels had already experienced (see Exhibit 19) that resulted in voyages that were already significantly off-schedule, in-land supply chain issues impacting empty container returns, and container terminals congested by inbound and outbound containers.

¹³⁰ Deposition of John D. McCown, page 125-126

¹³¹ <https://www.hapag-lloyd.com/en/services-information/news/2021/04/combating-the-box-shortage--hapag-lloyd-places-huge-container-or.html>, accessed 10/15/2024

¹³² Dempsey, Harry (September 15, 2021) Financial Times, [Record freight container production fails to ease supply-chain crisis](https://www.ft.com/content/c3e4780c-8e28-45dd-af4c-c63e8ed217ab) <https://www.ft.com/content/c3e4780c-8e28-45dd-af4c-c63e8ed217ab>, accessed 10/15/2024

¹³³ Ibid.

¹³⁵ Qiu, Stella, et al (December 10, 2020) Reuters, [Boxed out: China's exports pinched by global run on shipping containers](https://www.reuters.com/article/us-global-shipping-container/boxed-out-chinas-exports-pinched-by-global-run-on-shipping-containers-idUSKBN28K0UA/), <https://www.reuters.com/article/us-global-shipping-container/boxed-out-chinas-exports-pinched-by-global-run-on-shipping-containers-idUSKBN28K0UA/>, accessed 10/15/2024

¹³⁶ Deposition of John D. McCown, page 134

¹³⁷ Miller, Greg (April 30, 2021) Freight Waves, [No relief: Global container shortage likely to last until 2022](https://www.freightwaves.com/news/no-relief-global-container-shortage-likely-to-last-until-2022), <https://www.freightwaves.com/news/no-relief-global-container-shortage-likely-to-last-until-2022>, accessed 10/15/2024

Mr. McCown also suggests that the congested container terminals were a result of empty containers that were not returned to Asia:

“You know, there's only room if somebody, you know, takes a box. And that's where I think the point that I will keep on coming back to the issue of -- of the carrier not managing and choosing to have vessels sail without the full complement.”¹³⁸

In reality, terminal delays were the result of many factors, including the surge in import containers combined with the domestic supply chain difficulties (which included, as discussed in Section 3.2, among other things a shortage of truck chassis, a shortage of truck drivers, a shortage of warehouse space, and a shortage of warehouse workers) that decreased the efficiency with which containers were picked up from and returned to terminals.

The surge in import volume contributed to a surge in empty export volume. Efforts to return empty containers to terminals were also hampered by the closure of privately operated off-terminal storage yards and road congestion.¹³⁹ The buildup of empty containers was indeed a source of congestion at container terminals during the period in question, and carriers chartered sweeper vessels with the specific goal of picking up empty containers for the return trip to Asia.

Looking more closely at the numbers of import (loaded and empty) containers versus export (loaded and empty) containers reveals that at the annual level the experience during the supply chain crisis was not too dissimilar to the surrounding years, as show in Exhibit 37. In fact, at all three ports there were multiple years in which the imbalance was greater than in 2021, while both Los Angeles and Long Beach had years where the export share was lower than in 2020 when the crisis began. The monthly percentage shares in 2020 and 2021 at the three ports, shown in Exhibit 38, likewise shows that it was small shifts in the balance that resulted in decreases to freight fluidity, and when combined with other issues (like the previously mentioned driver shortage or lack of warehouse space) more serious delays can occur.¹⁴⁰ The low-point for export shares at all three ports during the two year period occurred in 2020, and in the case of the Port of Los Angeles this was prior to the sustained surge in import volume that began later in the year. This demonstrates that it was the surge in import volumes that the ports were handling that was driving the increase in the buildup of empty containers.

¹³⁸ Deposition of John D. McCown, page 81

¹³⁹ Angell, Michael (March 12, 2021) Journal of Commerce, [Depot closure, empty returns snarling NY-NJ port truckers](https://www.joc.com/article/depot-closure-empty-returns-snarling-ny-nj-port-truckers), <https://www.joc.com/article/depot-closure-empty-returns-snarling-ny-nj-port-truckers-5250490>, accessed 10/15/2024

¹⁴⁰ Comparing the percentage of empty export containers handled over time is less illustrative as it is distorted by the declining share of loaded exports that the U.S. is experiencing.

Exhibit 37: Annual Percentage Share of Imports/Exports Handled by Year, 2012-2023

	LA		LB		NYNJ	
	Import	Export	Import	Export	Import	Export
2012	52.1%	47.9%	52.0%	48.0%	51.0%	49.0%
2013	52.2%	47.8%	52.4%	47.6%	51.3%	48.7%
2014	53.1%	46.9%	52.9%	47.1%	51.4%	48.6%
2015	52.4%	47.6%	51.8%	48.2%	50.8%	49.2%
2016	52.7%	47.3%	52.3%	47.7%	51.6%	48.4%
2017	51.9%	48.1%	52.2%	47.8%	50.9%	49.1%
2018	53.2%	46.8%	51.8%	48.2%	51.4%	48.6%
2019	52.1%	47.9%	50.2%	49.8%	50.7%	49.3%
2020	52.9%	47.1%	51.1%	48.9%	52.0%	48.0%
2021	51.9%	48.1%	50.5%	49.5%	51.3%	48.7%
2022	50.6%	49.4%	49.6%	50.4%	50.8%	49.2%
2023	51.8%	48.2%	49.7%	50.3%	51.4%	48.6%

Source: Port of Los Angeles, Port of Long Beach, Port Authority of New York and New Jersey

Note: includes loaded and empty containers.

Exhibit 38: Monthly Percentage Share of Imports/Exports Handled by Year, 2020-2021

		LA		LB		NYNJ	
		Import	Export	Import	Export	Import	Export
2020	January	52.8%	47.2%	50.6%	49.4%	52.6%	47.4%
	February	51.2%	48.8%	47.9%	52.1%	52.1%	47.9%
	March	51.5%	48.5%	47.7%	52.3%	48.7%	51.3%
	April	54.3%	45.7%	52.2%	47.8%	51.0%	49.0%
	May	52.7%	47.3%	51.2%	48.8%	49.7%	50.3%
	June	53.4%	46.6%	51.8%	48.2%	52.2%	47.8%
	July	53.4%	46.6%	51.7%	48.3%	54.1%	45.9%
	August	53.8%	46.2%	52.2%	47.8%	53.6%	46.4%
	September	53.9%	46.1%	52.4%	47.6%	52.3%	47.7%
	October	52.1%	47.9%	51.7%	48.3%	53.7%	46.3%
	November	52.4%	47.6%	50.5%	49.5%	52.3%	47.7%
	December	52.6%	47.4%	51.4%	48.6%	50.9%	49.1%
2021	January	52.4%	47.6%	49.4%	50.6%	51.7%	48.3%
	February	51.8%	48.2%	50.1%	49.9%	53.8%	46.2%
	March	51.5%	48.5%	50.2%	49.8%	50.1%	49.9%
	April	52.2%	47.8%	50.8%	49.2%	50.8%	49.2%
	May	53.4%	46.6%	50.5%	49.5%	50.0%	50.0%
	June	53.6%	46.4%	51.0%	49.0%	51.8%	48.2%
	July	52.7%	47.3%	50.8%	49.2%	52.3%	47.7%
	August	51.2%	48.8%	52.0%	48.0%	51.4%	48.6%
	September	52.0%	48.0%	51.3%	48.7%	52.6%	47.4%

	October	51.9%	48.1%	50.3%	49.7%	50.3%	49.7%
	November	49.9%	50.1%	50.1%	49.9%	50.6%	49.4%
	December	49.3%	50.7%	49.2%	50.8%	51.3%	48.7%

Source: Port of Los Angeles, Port of Long Beach, Port Authority of New York and New Jersey

Note: includes loaded and empty containers; highlighted cells mark low point for the export share at each port.

Mr. McCown Oversimplifies Solutions to the Global Supply Chain Crisis

Mr. McCown suggested that container ports should have utilized more “pop-up” terminals, also known as auxiliary storage sites, like the Port of Savannah.¹⁴¹ In reality, ports, terminals, and shippers all sought land that could be utilized for storing inbound loaded containers and outbound empty containers. WalMart, for example, rented spaces near the Ports of Los Angeles and Long Beach, in addition to land near the Port of Savannah.¹⁴² A lack of space near container terminals that could be utilized for temporary storage was a limiting factor, especially in ports located in more dense urban areas like Los Angeles and New York/New Jersey.

Mr. McCown also suggested that shippers rely more on 53’ containers to avoid congestion.¹⁴³ Although some of the largest retailers, including Amazon and Home Depot, were able to secure their own vessels that could be filled with 53’ containers, the expense and complexity of chartering a private vessel was beyond the capabilities of most shippers. Moreover, these vessels were handled differently upon arrival at their U.S. ports of calls and required supply chains flexible enough to accommodate them. Amazon, for example (Exhibit 39), sourced its own containers, chartered its own vessel, and called at a general cargo terminal rather than a regular container terminal (utilizing the cranes aboard the vessel for unloading operations). Beyond the expense, general cargo vessels are able to carry far fewer containers than a fully cellular vessel (Exhibit 40). It’s also important to note that modern fully cellular container vessels are designed around 20’ and 40’ shipping containers, and the guides/structures that make up the cellular structure are not able to accommodate 53’ containers.

¹⁴¹ Deposition of John D. McCown, page 138

¹⁴² Kulisch, Eric (December 1, 2021) Freight Waves, Walmart rents space for pop-up container yards near major ports, <https://www.freightwaves.com/news/walmart-rents-space-for-pop-up-container-yards-near-major-ports>, accessed 10/15/2024

¹⁴³ Deposition of John D. McCown, pages 139-140

Exhibit 39: Example of Vessel Chartered by Amazon, 2021



Source: <https://porthouston.aws.thirdlight.com/link/2021-collection/@/preview/2>

Exhibit 40: Example of Container Vessel Call at Port of Houston, 2021



Source: <https://porthouston.aws.thirdlight.com/link/2021-collection/@/preview/39>

Mr. McCown Misinterprets Double Moves by Truckers

In his testimony Mr. McCown stated:

“Because if you're in the trucking business, you don't want a double move. You want to do things singly. That's two moves, so I -- I believe that that would be something that the carrier would want.”¹⁴⁴

He also stated that he thought that the focus on double-moves was a requirement from ocean carriers and terminals.¹⁴⁵ In fact, truckers prefer double moves, and the Federal Maritime Commission sought to increase the number of double moves that truckers were making as an initiative aimed at helping increase freight fluidity at congested terminals in 2021. At a monthly meeting in November 2021, Commissioner Dye said:

“Achieving double moves for truckers would improve trucker productivity and remove a constant source of conflict over container return as well as resolve problems with appointment systems and chassis shortages.”

The reason that truckers prefer double moves is that it reduces the amount of time spent waiting at a terminal to load or unload a container or driving between locations, which decreases their efficiency and reduces their ability to earn revenue.

5.5.Updated Conclusion

My original conclusion has not been altered following the amendment that Mr. McCown made to his Expert Report, alongside the additional supporting evidence he provided, the testimony he gave during his deposition, and the additional data produced by COSCO. In fact, the above all re-enforced my conclusion that Mr. McCown has failed to prove any of his assertions. His analysis frequently relies on estimates that are then extrapolated to build a confusing picture of the maritime industry, and many calculations are undone by errors in methodology and process, including:

- Relying on a fixed value of 64.5 percent for carrier market share and directly equating that to revenue, especially when market share is in constant flux.
- Extrapolating the experience of two-thirds of the carriers to represent the industry without adjusting for carriers that operate smaller vessels on shorter intra-regional routes in Asia.
- A reliance on aggregated data that obfuscates COSCO's performance relative to its peers.
- Focusing on a narrow slice of COSCO's performance prior to the period in question that ignored the build-up of its fleet of mega-vessels, its expansion through merger and acquisition, and an increase in net income that saw COSCO go from 11th of the 12 carriers in Mr. McCown's dataset in 2016 to 7th in 2017, 6th in 2018, and 3rd in 2019.¹⁴⁶
- A misunderstanding of the relationship between ocean carriers and terminal operators, and of alliance operations that see cargo carried aboard partner vessels.

¹⁴⁴ Deposition of John D. McCown, page 155

¹⁴⁵ Deposition of John D. McCown, page 157

¹⁴⁶ net income and revenue of container shipping industry thru 1q24.xls

- An incorrect view that a carrier has the power to control all aspects of a customer's global supply chain.
- An unsupported belief that COSCO billed yard storage charges to VCC.
- More likely than not relying on the incorrect FMC index in calculating annual demurrage and detention collections.
- A misunderstanding of what the average demurrage and detention fees included within Container xChange's Annual Benchmark Report represent.
- A misguided comparison of average demurrage and detention fees in the U. S. to much lower international fees.
- An incorrect belief that COSCO had higher amounts of demurrage and detention revenue relative to the industry.
- Apparent inclusion of other cargo shipped with carriers other than COSCO in the analysis of VCC records.
- Apparent double counting of invoices in the analysis of VCC records.

In summary, Mr. McCown builds upon a foundation of extrapolated data with erroneous data assumptions and incorrect calculations that result in meaningless metrics that fail to support his assertions.

Signed

 10/18/2024

Daniel Hackett, Partner, Hackett Associates LLC

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8. Appendix I: Curriculum Vitae

Daniel Hackett, AICP

Partner, Hackett Associates

Daniel Hackett is active in the trade and transportation field with a focus on maritime-related issues. He produces the monthly Global Port Tracker report and specializes in port performance, forecasting, and planning analysis. He has spoken at numerous maritime-focused meetings on international trade and port performance, and serves as the Chair of the International Trade and Transportation Committee and was the prior Chair of the Port Performance subcommittee within the Ports and Channels Committee at the Transportation Research Board. Prior to Hackett Associates he worked at Cambridge Systematics (Massachusetts, USA) and AECOM Consulting (Virginia, USA).

Daniel holds a BA in Geography: Urban Systems and a Master's degree in Urban Planning, both from McGill University. He is a member of the American Institute of Certified Planners.

Key Accomplishments

- Developed and produces the port-level model used in the monthly Global Port Tracker: North America Trade Outlook, a newsletter for the maritime and logistics industry, and developed the region-level model that was used in the monthly Global Port Tracker: North Europe Trade Outlook.
- Served as a Subject Matter Expert for the U.S. Bureau of Transportation Statistics' Port Performance Freight Statistics Program, a position he held for five years from the inception of the program in 2016.
- Developed and maintained a Commodity and Trade Route database/forecast used to produce quarterly reports for the U.S. Maritime Administration for seven years. The reports projected and analyzed container imports and exports at the 20 largest U.S. ports, with trade volumes broken down by 12 regional trade routes and by 14 commodity groups, with data presented in both TEUs and tons.
- Speaker at multiple conferences and events in the U.S. and Canada including the Journal of Commerce's Port Performance North America, Inland Distribution, Gulf Shipping, and Cool Cargoes conferences; Cargo Logistics Canada's North America Multimodal Supply Chain Expo; the American Association of Port Authorities; and the International Propellor Club's Convention.
- Organized the "Navigating the Supply Chain Congestion Crisis" webinar for the Transportation Research Board and co-author of the paper in the Transportation Research Record "Multi-perspective Analysis of Pandemic Impacts on U.S. Import Trade: What Happened – and Why?"

Example Project Experience

- Editor of the monthly Global Port Tracker which covers import volumes and projects growth rates at North America's largest container ports. Developed and runs the forecast used in the report.
- Serves as a Subject Matter Expert ("National Expert Transportation Specialist") on a team with a multi-year Indefinite Delivery-Indefinite Quantity (IDIQ) Contract with the U.S. Department of

Transportation with two task areas including the development and analysis of data and statistics on freight transportation systems and industries.

- Served as a Subject Matter Expert to U.S. Department of Transportation/Volpe National Transportation Systems Center on the Port Performance Freight Statistics Program from 2016 through 2021. The goal of the program is to provide nationally consistent measures of performance for the United States' largest ports, and to report annually to Congress on port capacity and throughput. Mr. Hackett performed a variety of tasks including data collection, development and analysis of metrics, and assisting with the production of an annual report.
- Technical lead for Commodity and Trade Route Database/Forecast produced for U.S. Department of Transportation's Maritime Administration. The database and forecast tracked container imports and exports at the 20 largest U.S. ports, broken down by trade route and by commodity group.
- Developed (and subsequently updated) a 10-year North American container trade forecast for a commercial real estate firm.
- Co-developed a series of 30-year forecasts for containers, dry bulk, and Ro-Ro cargo for the San Francisco Bay Conservation and Development Corporation that examined whether available land would be sufficient for future needs at the Bay Area's maritime ports.
- Conducted interviews with staff at U.S. and international container ports/terminals to ascertain opinions on the proposed merger of two major equipment manufacturers (Konecranes and Cargotec) on behalf of a confidential client.
- Co-authored a study on how customers of a major shipping alliance utilized the services offered by each of the members over a three-year period across eight major international trade routes.
- Co-authored a study on how customers of two members of a major shipping alliance utilized the services offered by each on two major international trade routes.
- Produced a report for a major shipping alliance on cost savings and operational efficiency gains.
- Developed a report for a private equity firm that detailed how changes in the U.S. economy might affect the volume of containerized imports and exports to the US and the Port of Houston in particular, and described the key risk factors and how they might affect containerized trade.
- Developed a report for a container terminal operator that detailed the development of nearshoring and its economic impact on Latin America as well as the long-term and short-term trends in international trade that affect nearshoring. The report also surveyed stakeholders in the retail supply chain on how their supply chains have adapted to the recent challenges posed by the increased tariffs on China and the pandemic, and to what degree nearshoring was involved.
- Developed a report for a Class I North American rail company on the Diversion Potential of North America Container Traffic as a Result of the New Panama Canal.
- Served as the editor between 2010 and 2019 of the monthly North European Global Port Tracker which covered import and export volumes and projected growth rates at North Europe's largest container ports.
- Developed financial model for a proposed container terminal facility as part of a Transportation Strategy for the Province of Aceh in Indonesia.

- Co-produced a report for a European-based shipping company that detailed global trade volumes; the evolution of the container market; fleet and infrastructure analysis; impact of political factors and other unplanned events; freight rate analysis; and an overview of freight indices.
- Co-produced a strategy advisory report for a North American-based rail company that detailed global maritime trade and transportation trends and their impact on the outlook for North American ports, analyzed the ocean carrier industry's operational characteristics and financial performance, and detailed potential investment options for establishing and operating a containership service.
- Technical lead on development of material for FHWA Freight Security Awareness course.
- GIS technical lead for projects that included an analysis of future land use as part of a redevelopment analysis, for an analysis of bus route coverage and future transit needs, and an analysis of Dallas Area Rapid Transit Police call response analysis.
- Supported Massachusetts' Governor's Highway Safety Bureau, including development of protocols for and supervision of safety belt usage study and the administration of the Traffic Records Portal.
- Analyzed and mapped rail freight for Eastern Border Transportation Coalition.
- Conducted financial, economic, and policy analysis to support development of short- and long-term planning goals in several states, including Mississippi, Oklahoma, and Florida.
- Performed financial assessments of new transit projects for Federal Transit Authority.

EXHIBIT 4

EXHIBIT 5

EXHIBIT 6

EXHIBIT 7

EXHIBIT 8

EXHIBIT 9

EXHIBIT 10

EXHIBIT 11

EXHIBIT 12

EXHIBIT 13

EXHIBIT 14

"VCC 000005 VCC COSCO
Charges by Container
Number" PRODUCED IN
NATIVE EXCEL FORMAT

EXHIBIT 15

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PRODUCED IN
NATIVE EXCEL FORMAT

EXHIBIT 16

"VCGPOR - 2022 Report"
PRODUCED IN
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EXHIBIT 17

EXHIBIT 18

EXHIBIT 19

EXHIBIT 20

EXHIBIT 21

EXHIBIT 22

CONFIDENTIAL

In the Matter of:

Visual Comfort & Co.

v.

COSCO Shipping Lines

Daniel Hackett

September 30, 2024



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1	FEDERAL MARITIME COMMISSION
2	- - - - - X
3	VISUAL COMFORT & CO.,
4	Plaintiff,
5	-vs- FMC Docket 24-01
6	COSCO SHIPPING LINES,
7	Defendant.
8	- - - - - X
9	September 30, 2024
10	Deposition of
11	DANIEL HACKETT,
12	a witness, was called for examination by counsel on
13	behalf of the Plaintiff, pursuant to notice, taken via
14	Zoom, commencing at 11:00 a.m., before Robin Creswell, a
15	Notary Public in and for the Commonwealth of Virginia,
16	when there were present on behalf of the respective
17	parties:
18	
19	
20	
21	
22	

1 APPEARANCES:

2 For the Plaintiff: (via Zoom)

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1	Also present:
2	John D. McCown (via Zoom)
3	
4	C O N T E N T S
5	
6	WITNESS PAGE
7	DANIEL HACKETT
8	Examination by Ms. Bayly 4
9	
10	
11	
12	
13	
14	E X H I B I T S
15	EXHIBIT PAGE
16	Exhibit #1 49
17	
18	
19	
20	
21	
22	

1 Thereupon,

2 DANIEL HACKETT,

3 a witness, having been duly sworn, was examined and
4 testified as follows:

5 MS. BAYLY: So we're ready to begin?

6 COURT REPORTER: Yes.

7 MS. OLIVER: I think we're good.

8 EXAMINATION BY MS. BAYLY:

9 Q. Good morning, Mr. Hackett. How are you?

10 A. Good. Thanks. How about yourself?

11 Q. Good. So I'm just going to go over some general
12 rules for the deposition. I believe you've been deposed
13 before.

14 A. One time. Yes.

15 Q. Okay. But I'll just give you some general rules
16 as a reminder.

17 So you'll see that we have the stenographer here
18 for the deposition today. So your answers need to be
19 verbal.

20 Hand gestures and head nods won't be captured by
21 the stenographer.

22 And I'm going to ask that we speak one at a time

1 so that she's able to get a complete record. Do you
2 understand that?

3 A. I do. Yes.

4 Q. And your attorney may object to any of my
5 questions.

6 You're still required to answer the question
7 unless she instructs you otherwise. Do you understand?

8 A. I do.

9 Q. Make sure that you answer each question.

10 If you do answer, we're going to presume that
11 you understood the question. But if you need
12 clarification, just ask.

13 A. Okay.

14 Q. Please don't speculate or guess as to any of
15 your answers.

16 But do try to remember or explain your answers
17 to the best of your recollection.

18 And if you need a break at any time, just ask.
19 We're going to try to take a break about every hour or
20 so. But if anything comes up in the meantime, just let
21 me know.

22 The only thing I'll ask is that you answer any

1 pending questions before we take a break.

2 And are you on any medications or do you suffer
3 from any illnesses that would prevent you from
4 testifying accurately today?

5 A. I'm not. And I do not. I'm not on any
6 medications, don't have any illnesses.

7 Q. All right. And since this is a remote
8 proceeding, I'm just going to go over a couple of things
9 as opposed to it being virtual.

10 Is there anyone else in the room with you today?

11 A. There is not.

12 Q. Do you have access to your cell phone or a smart
13 watch?

14 A. My cell phone is on my desk.

15 Q. I'll just ask that you not check your phone or
16 any other devices while we're on the record.

17 A. I'll make sure it's off. Okay.

18 I have closed Outlook as well. So in theory, I
19 should be good to go.

20 Q. Okay. That was my next question.

21 So do you have any other programs open on your
22 computer?

1 A. I mean it looks like just the Zoom.

2 But I can see One Drive is open -- Google Drive.

3 So my backup, my Teams is open, I guess. So the usual
4 background apps.

5 Q. So if you -- it sounds like you don't have
6 e-mail open.

7 If there are any applications open, I just ask
8 that you close them during the remainder of the
9 deposition.

10 A. Let me just try and close One Drive and Google
11 Drive. Sorry.

12 I think at this point, it's just the usual HP
13 Windows. I am on HP.

14 At this point, I think it's just the baseline
15 things.

16 Q. Okay. That's fine. And do you have any notes
17 in front of you?

18 A. No. Just clean copies of my report and Mr.
19 McCown's reports and business cards. That's all it was.

20 I was really careful to sort of kind of remove
21 everything. I didn't see any notes. Let me closely
22 look here. Nothing related.

1 Q. So no other documents here in front of you, it
2 sounds like?

3 A. No.

4 Q. And did you do anything to prepare for this
5 deposition?

6 A. I --

7 MS. MASSEY: Just a moment, Daniel.

8 I'm going to object to the extent that the
9 conversations are protected with counsel by the
10 attorney/client privilege.

11 Daniel, if you could just not disclose anything
12 that's privileged.

13 But you may answer the question to the extent
14 that you are allowed to.

15 THE WITNESS: So this morning, I reviewed the
16 reports -- the reports. Yesterday, I had a conversation
17 with counsel.

18 BY MS. BAYLY:

19 Q. So you -- and how many times have you met with
20 your counsel?

21 MS. MASSEY: Objection. That's privileged
22 information. But --

1 BY MS. BAYLY:

2 Q. No. I'm not asking for the substance. I'm just
3 asking for the number of times that you met to prepare
4 for your deposition.

5 A. It was just preparing for the deposition. Just
6 the one time.

7 Q. And for how long?

8 A. About two hours.

9 Q. And which attorneys did you meet with?

10 A. Ms. Fenneman, Ms. Massey and Mr. -- I apologize.
11 I blanked on Nick's last name.

12 MS. MASSEY: It's Webb, for the record.

13 THE WITNESS: Mr. Webb. Thank you.

14 BY MS. BAYLY:

15 Q. And did you review any documents to prepare?

16 A. Like I said, the two expert reports.

17 Yeah, I'm a maritime consultant. I'm constantly
18 reading and reviewing the news, things like that. So I
19 am in constant preparation.

20 Over the weekend, I suppose on Friday, I did
21 review a couple of the sources I relied upon just to
22 double check them.

1 Q. And which sources?

2 A. Give me a moment to look.

3 So it was the Alphaliner Monthly report from
4 January, 2020, the Container Exchange Report from 2023
5 and from 2022.

6 And then there was one more which -- I think it
7 was the ITC document, I think, which was --

8 Q. Okay.

9 A. Those are the ones in my report.

10 Q. Exactly. They were documents cited in your
11 report?

12 A. Exactly. Yeah. All of them are cited in my
13 report, but it's also in my report as well.

14 Q. Did you speak with anyone at COSCO about the
15 deposition?

16 A. No.

17 Q. I want to talk a little bit about your
18 background. Did you receive an undergraduate degree?

19 A. I did, yes.

20 Q. From what school?

21 A. McGill University.

22 Q. And what was the degree?

1 A. In geography urban systems. So it's a bachelor
2 of arts, geography urban systems. So it was a subset of
3 geography, I guess.

4 Q. And did you attend graduate school?

5 A. I did. Yes.

6 Q. Where?

7 A. Also McGill University. And I did a master's in
8 urban planning.

9 Q. And what did the master's degree in urban
10 planning entail?

11 A. I'm sorry, I missed the question.

12 Q. What did your master's degree in urban planning
13 entail?

14 A. Entail? So it was actually a fairly sort of
15 cross-cutting degree. It included obviously courses in
16 planning, but I did a couple classes from the business
17 school. Let's see, one for the engineering school.

18 I -- so it's looking at -- so my focus for my
19 research project was participation and involved
20 everything in architecture -- architecture school. So
21 it involved everything from learning to draw, learning
22 to understand what goes into the planning process.

1 There's a law class as well in it, so it's
2 pretty crosscutting.

3 Q. The law class, what kind of law did you study?

4 A. So it was real estate law. So it's
5 understanding how to interpret the rulings that come out
6 of various court cases.

7 Q. Did you receive any additional degrees?

8 A. No. That's it.

9 Q. Did any of your coursework include statistics
10 courses?

11 A. In my undergraduate degree, I took a statistics
12 course, yes.

13 Q. So just one?

14 A. I took a statistics course. And it was a
15 mathematics class.

16 And then I took an applied method of geography,
17 which incorporated elements of the statistics in my
18 undergraduate degree.

19 Q. Okay. And did you take any economics courses?

20 A. Yes. In my undergraduate, I took a
21 microeconomics and a macroeconomics course, so two
22 separate courses.

1 Q. How about any accounting courses?

2 A. No.

3 Q. Are you a member of any professional
4 associations?

5 A. Yes. I'm a member of the American Planning
6 Association as an -- AICP is the certification that goes
7 with that.

8 So it's like a -- you have to take a course to
9 get the AICP designation and then do your continuing
10 education learning every two years, actually.

11 Q. Okay. What does that membership involve?

12 A. Like actively? So there's a continuing
13 education requirement.

14 So over the course of a 2-year period, you have
15 to do continuing education, including law credits,
16 ethics credits. There's also a social requirement as
17 well.

18 So it's just -- you can also go through teaching
19 courses.

20 So it's essentially just -- I think it's like a
21 professional degree -- professional accreditation where
22 you have to just maintain your -- you know, your

1 knowledge.

2 Q. Okay. And do you have any other certifications?

3 A. No, I do not.

4 Q. So what -- I'm sorry. I'm just going to go back
5 to your graduate school. What year did you graduate?

6 A. From graduate school?

7 Q. Yes.

8 A. It was 2004. Sorry. It was -- it's 2003.
9 Sorry. I had to look at my degree. It was the very end
10 of 2003.

11 And I began my next job the beginning of 2004.
12 That's why I was confused.

13 Q. Understood. And what year did you graduate from
14 your undergraduate?

15 A. That was 1999.

16 Q. What year did you start your graduate degree?

17 A. 2001.

18 Q. And what did you do between 1999 and 2001?

19 A. I worked for KPMG, which subsequently became
20 KPMG Consulting where I had to go through the process
21 where the group that I was assigned with broke away and
22 became a consulting -- but I was with the same group.

1 And I was doing transportation consulting for a
2 period.

3 Q. And what were your responsibilities when you
4 were doing transportation consulting?

5 A. So it was -- so we had clients in the public
6 sector primarily, both in the federal government and
7 state governments.

8 So one of the things I did for a couple of years
9 that I was there was working with the fellow Transit
10 Administration, also doing their new starts
11 re-assessments.

12 That was a financial review assessment, where if
13 you're a federal transit -- I'm sorry, if you are a
14 transit agency in the U.S., and you're looking to expand
15 your existing network, part of the requirement is to
16 show that you are operating a current system effectively
17 financially as well as you have a plan in place to be
18 able to operate the expansion.

19 And so part of the review process was going
20 through all of the financial documents.

21 So that was something we did for several transit
22 agencies every -- you know, the two years that I was

1 there.

2 I actually did that again. It was my subsequent
3 job after the graduate degree.

4 Let's see, we worked with state DOTs on -- so
5 sort of economic plans, looking at best -- sorry, cost
6 benefit analyses for transportation projects, looked at,
7 you know, things like Maglev transportation -- trains,
8 for example, to see how just some of information systems
9 work, GIS, that kind of thing.

10 So it was basically transportation work related
11 work mostly within the U.S. -- I think entirely within
12 the U.S.

13 Q. I understand. Did you have a focus on any
14 particular part of the transportation sector?

15 A. I would say if there was a focus, it would have
16 been either transit or sort of state level.

17 Q. And why did you leave KPMG?

18 A. I'd say I wanted to go back to do a graduate
19 degree.

20 Q. So that's what you did from 2001 to 2004, a
21 graduate degree?

22 A. It was 2003. Sorry.

1 Q. 2003?

2 A. I'm sorry. That was nerves perhaps.

3 But it was -- I see it was I received my diploma
4 in October of 2003.

5 Q. I see. And what was your next job following
6 your graduate degree?

7 A. That was with Cambridge Systematics in Boston.
8 They're also a transportation consulting firm.

9 I became aware of them when I was working with
10 KPMG.

11 Q. When did you start there?

12 A. At the beginning of 2004. I think it was
13 probably January, 2004.

14 Q. What was your job title?

15 A. Gosh, I think it was something along the lines
16 of transportation consultant. I don't recall. I'm
17 sorry.

18 Q. Okay. What were your responsibilities?

19 A. So then I started off drawing upon some of my
20 transit focus I had with KPMG, and it shifted over time
21 to freight more.

22 The -- I had a couple different managers.

1 But one of my managers there I considered to be
2 a mentor, and he was focused on freight.

3 And so I began working more and more on freight
4 studies.

5 I also did some safety related work, so highway
6 safety related work -- particular work working with the
7 Federal Highway Administration.

8 Q. How long did you work at Cambridge Systematics?

9 A. About three years.

10 Q. So you left in 2007?

11 A. Yes.

12 Q. Why did you leave?

13 A. A couple reasons. One, the mentor I mentioned a
14 few months prior -- maybe six months prior had shifted
15 locations within the firm so to start a -- to expand the
16 freight business.

17 So I -- that sort of took my -- the freight
18 business away from my focus.

19 So I felt like I was doing more of the safety
20 work rather than the freight work that I was really
21 passionate and interested in.

22 I also felt like -- I was sort of excited to try

1 to do my own thing.

2 And also, my now wife and I were long distance
3 at the time. So that was certainly a consideration at
4 the time as well.

5 Q. Okay. So then what did you do next after you
6 left Cambridge Systematics?

7 A. So I did some independent consulting, focused a
8 lot on geographic information systems type work, some
9 maritime freight work and also some management
10 consulting style work.

11 Q. And you worked as an independent consultant
12 starting in 2007?

13 A. Yes.

14 Q. You state in your report that you had a focus on
15 maritime transportation?

16 A. Right.

17 Q. Will you describe that focus?

18 A. Yes. So actually, I'm working with my father,
19 who is now -- so my partner at Hackett Associates. And
20 he had a maritime consulting background.

21 And so I began assisting him with some maritime
22 work.

1 We were looking at tonnage handling charge costs
2 on one project.

3 You may recall the tsunami that hit in Indonesia
4 over New Years Day.

5 So we had a project where we were looking at --
6 or helping -- it was USA funded. And we were a
7 subcontractor.

8 We were consultants to build a -- or the
9 potential to build the trans ship container terminal.
10 So that means a container terminal where it would not be
11 working at local cargo, but yet, it would be cargo that
12 would come in on smaller vessels from regional partners.
13 And then large vessels would come and collect all that
14 and take it overseas on long journeys.

15 So that was in Banda Aceh. That was a small
16 area of Indonesia that was badly affected by the
17 tsunami.

18 So I was working on the -- sort of the market
19 plan, seeing sort of how realistic it was and also come
20 up with a financial -- or helping develop a financial
21 plan.

22 Q. You state you also had a focus on information

1 systems analysis. Can you describe that?

2 A. Yeah. So I was working at a firm that was
3 focused on law enforcement.

4 And this was at a time I think budgets were
5 particularly being cut in law enforcement.

6 So I was using GIS. So GIS is basically mapping
7 analysis.

8 So we were looking at -- I was mapping crime
9 rates based on records by geography and looking at --
10 providing assistance into how police forces could be
11 best using their resources.

12 Q. Did you have any other major projects at that
13 time?

14 A. Let's see, yeah. I, yes, worked with the Port
15 of Paíta, I think, in Ecuador on a -- or Peru -- Ecuador
16 on a container project. Again, sort of market -- market
17 research looking at import, export volumes, trade
18 partners and a various smattering of other minor things
19 as well like that.

20 Q. Then your resume states that you're currently a
21 partner at Hackett Associates, is that correct?

22 A. That's correct.

1 Q. Why did you draw a distinction between your time
2 working as an independent consultant and your time as a
3 partner at Hackett Associates?

4 A. So Hackett Associates was set up as an LLC in
5 2010.

6 Essentially, my father and I were doing
7 consulting work together. And more and more, it sort of
8 occurred to us this is a good business.

9 And then also, the other aspect was the Global
10 Port Tracker that we publish. The way that came to be
11 is in late -- or at some point in 2009, the original
12 publisher of it, I had just -- actually, they were, at
13 the time, it was Global Insight, which became I.H.S.
14 Global Insight was the original entity. But Global
15 Insight had stated they were going to end the
16 publication of it. And so we decided we would take it
17 over.

18 And so that also, you know, is one of those
19 things that we had set up an LLC to help with that.

20 Q. What is the Global Port Tracker?

21 A. The Global Port Tracker is a monthly report that
22 goes out each month. It tracks imports -- loaded

1 imports to the largest container ports in the U.S. and
2 Canada.

3 It also projects out six months of import volume
4 and four quarters of import volume.

5 And it also includes other insights and analysis
6 to go with that.

7 Sometimes, it's looking at various metrics that
8 we consider important.

9 It also tracks year to date imports, year to
10 date exports.

11 Q. So who drafts the report?

12 A. Who drafts it?

13 Q. Yes. Did you say you draft the report?

14 A. No. No. Sorry. I wasn't sure whether it was
15 drafts.

16 So the forecasts that it uses, I run. Also I
17 write all the company analysis that goes with it.

18 My partner, Ben, he writes the editorial that
19 goes with it each month.

20 And we also -- we also feature input from guest
21 educational -- I mean a guest editorial occasionally.

22 Q. Where do you get the information that you

1 include within the report?

2 A. So all of the information included in the
3 report -- now, so all of the information about the
4 report, import volume and export volumes comes from the
5 ports themselves.

6 Either they post it online or we reach out to
7 the ports -- the port authorities and ask them for the
8 data.

9 There's other information as well that we
10 include. But that's a little bit of the -- the import
11 volumes.

12 So, for example, if we have a chart looking at
13 imagery ratios, that's going to be from the federal
14 government, for example, so --

15 Q. The information that you get, is it all publicly
16 available?

17 A. I believe so. Yes. Well, so maybe I can
18 clarify.

19 So it's publicly available in the sense that if
20 I'm reaching out to a port asking for data, for example,
21 there's no -- you know, we're not paying for that data.
22 It's not protected.

1 I believe anyone can probably reach out and ask
2 for that data.

3 It may not necessarily be online available for
4 the public, but it is publicly available.

5 Q. Understood.

6 And in your report, you say that from 2013 to
7 2020, you served as a technical lead for a Commodity and
8 Trade Route Database Forecast that was produced
9 quarterly for the U.S. DOT's Maritime Administration.

10 A. That's right.

11 Q. Can you describe that responsibility?

12 A. So that was after the Port Tracker had come out.

13 And so they had asked for a more comprehensive
14 forecast, looking at the top 20 ports within the U.S.
15 only. And they wanted to see imports and exports, both
16 by trade route and also by commodity group.

17 So I worked with them to develop which trade
18 groups -- which countries fell into which trade group
19 and come up with a list of commodity groups as well.

20 And so that had a similar outlook horizon to the
21 Global Port Tracker.

22 So again, it went out four quarters and six

1 months for both imports and exports in this case, unlike
2 the Port Tracker, which is just imports.

3 Q. Okay.

4 A. And that one -- sorry. I was going to say and
5 that one, I think I mentioned was U.S. ports only,
6 whereas the Global Port Tracker went through three
7 Canadian ports.

8 Q. From 2016 to 2021, you state you were a subject
9 matter expert for the U.S. DOT --

10 A. Correct.

11 Q. -- and for the National Transportation Center.
12 Can you describe that responsibility?

13 A. Yes. So there was legislation passed that
14 required the Bureau of Transportation statistics -- or
15 maybe required the DOT. I don't recall exactly the
16 legislation. But it required the compiling of port
17 performance statistics for the top 25 ports, the top 25
18 container ports and the top 25 drive-up ports.

19 So I was brought in as one of two experts to
20 assist with -- set up a program and developing the
21 annual report that went with it.

22 So it included working with the State

1 Corporation Commission to determine how we can even
2 quantify what those top 25 ports would be included in
3 the categories, what sort of metrics would be included.

4 And so it resulted in an annual report to
5 Congress on the matter.

6 The program is still going on.

7 Q. And you are also a subject matter expert in the
8 national expert transportation -- and a national expert
9 transportation specialist?

10 A. Yes. So I think the title in the contract is
11 national transportation expert. But basically, it's a
12 subject matter expert, yes.

13 Q. And what does that involve?

14 A. So that is -- that project is an IDIQ, so it's
15 indefinite.

16 What that means essentially is a project where
17 I'm a subcontractor on the team. And multiple teams
18 have already been pre-approved for various different
19 projects.

20 So it can mean different things on different
21 projects, depending on the projects.

22 For example, the most recent we've been working

1 on was E-commerce. Essentially, what it is, our group
2 or team is pre-approved to sort of bid on any of these
3 projects that come out.

4 And so they may release the RFP, the request for
5 proposal. And so I'm part of a team that has it. And
6 the choice is whether we're going to respond to any of
7 these proposals.

8 So given that it's indefinite, I don't remember
9 necessarily all of the details. But it runs for a
10 number of years.

11 Q. So would you say that during your experience as
12 a consultant, most of your experience has been in the
13 public sector?

14 A. No. Well, I'm --

15 COURT REPORTER: I'm sorry, that froze. His
16 answer froze. He started with well, I'm -- and it
17 froze.

18 THE WITNESS: Oh, sorry. What I was saying was
19 when I was at KPMG and at Cambridge Systematics, I think
20 it's fair to say most of our clients were within the
21 public sector.

22 But since I've been with Hackett Associates, we

1 certainly have some public sector clients, like you
2 mentioned, BTS, Bureau of Transportation Statistics, and
3 Maerk.

4 But we certainly have lots in the public sector.
5 But we're very --

6 BY MS. BAYLY:

7 Q. What type of clients do you have in the private
8 sector?

9 A. We have done consulting work for carriers, for
10 terminal operators, for class one railroads. It varies.
11 Essentially, anyone involved in the maritime trade
12 potentially is what we'd consider our clients.

13 Q. Well, what kind of work have you done with
14 container ship carriers?

15 A. So I can't go into -- so some of the work is
16 covered by nondisclosure agreements.

17 But the sort of work that I've done is the
18 market study, looking at -- you know, helping with
19 strategy development, so short-term outlooks for the
20 market, that kind of thing.

21 Some of our work has been covered by an NDA, so
22 it's hard for me to figure out what I can say.

1 Q. Okay. And on that level then, what kind of work
2 have you done for terminal operators?

3 A. So again, market study work, also looking -- so
4 for example, most recently, I think this wasn't
5 covered -- most recently, we had a question about
6 neo-shoring, which is a term to describe the shift away
7 from manufacturing in China to closer locations.

8 And so we were studying neo-shoring, also the
9 potential to be -- I guess not opportunity, but the
10 market assessment in neo-shoring in Mexico and Central
11 America and trying to ascertain what the future might
12 look like.

13 So again, it's the same sort of staff consulting
14 in the sense that we're providing strategic guidance.

15 Q. Okay. And you said you've also worked with
16 railroads. What did that work entail?

17 A. If memory serves, one of the ones is look at the
18 impact of the Panama Canal expansion, so about a decade
19 ago now.

20 COURT REPORTER: I'm sorry, it keeps freezing at
21 a certain point, and I don't know why. So about a
22 decade ago now --

1 (Thereupon, the reporter conferred with
2 counsel.)

3 MS. MASSEY: We appreciate you letting us know
4 when you can't hear him.

5 But if this keeps happening, we might have to go
6 off the record and troubleshoot.

7 Melissa, how does that sound with you?

8 MS. MASSEY: Do you want to -- that's fine.
9 Let's go off the record.

10 (Thereupon, a recess occurred, after which
11 the deposition resumed as follows:)

12 THE WITNESS: So yes. About a decade ago,
13 the -- a series of new locks opened in the Panama Canal,
14 allowing for larger vessels to transit. And so there
15 were a lot of questions at the time about how it would
16 impact trade flows.

17 It allowed larger vessels to go to the East
18 Coast that previously couldn't go through the Panama
19 Canal.

20 And so the work there was with Class One
21 Railroad and looking at how the volume might change in
22 North America based on sort of the coastal levels and

1 then helping them again with strategic planning.

2 BY MS. BAYLY:

3 Q. Have you -- do you have any experience working
4 for shipping lines?

5 A. Yes. You asked that today. Some of it is
6 covered by NDAs.

7 But yes, clients have been CMA CGM, MSG, The
8 Alliance. I don't know how much detail I can go into of
9 the work.

10 But for the most part, it's been helping with
11 strategy.

12 Q. And just big picture, what kind of strategy
13 would you be helping with?

14 A. So things -- let me think.

15 So looking at, you know, long-term changes or
16 the benefits of certain things.

17 For example, alliance -- for example, helping
18 them understand -- well, let's say helping them
19 understand, writing a report on the topic of alliances,
20 again discussing current trends, short-term outlooks.

21 Q. So did most of your work involve counseling on
22 the market level --

1 A. In general or for the carriers?

2 Q. For the carriers.

3 A. A portion of it. I don't know if I could apply
4 a percentage.

5 I think certainly not most. It's been fairly
6 varied.

7 Q. Have you published any peer reviewed articles?

8 A. Just the one, yes, in 2022. It was noted in my
9 expert report.

10 But it was looking at the impacts of the
11 pandemic on container shipping in the U.S. ports.

12 Q. That's the report titled Multi Perspective
13 Analysis of Pandemic Impact on U.S. Import Trade, What
14 Happened and Why?

15 A. Correct.

16 Q. What was the premise of that paper?

17 A. So essentially, it was looking at how container
18 volumes had shifted and led to backups during the
19 pandemic, sort of trying to figure out what some of
20 those issues -- what some of the triggering issues and
21 causes might be.

22 Q. And what were those triggering issues and

1 causes?

2 A. Systemic congestion both in the port and outside
3 the port.

4 Q. What do you mean by systemic congestion?

5 A. So the global supply train crisis that occurred
6 essentially was primarily due to COVID-19 as the source.

7 That began with a -- sort of a supply chain
8 issues when factories in China closed down and ports in
9 China closed down.

10 Then it became an onsite issue when the virus
11 spread, and we saw ports in the U.S. struggling to find
12 workers to work shifts, retail shops closed in the U.S.
13 People began working from home.

14 Then the consumption patterns of the U.S. public
15 changed as we received checks from the government.

16 Suddenly, everyone had extra cash to spend
17 partly for those checks but also partly because it was
18 reduced spending on going out to restaurants that were
19 closed, going out to theaters that were closed, also
20 less travel. Travel was restricted.

21 And so it meant that just the U.S. population
22 had more money to spend on goods, now compounding that

1 with the fact that we started to worked from home.

2 So not only do we have the reduced savings on
3 the commute costs, but it also meant that, you know, we
4 had less strain on tires there. Everything became more
5 casual. And we could spend money on office equipment
6 for the home so you can work from home.

7 And also, you know, we were now spending so much
8 time in the house that people were buying new T.V.s, new
9 furniture, new sports equipment because gyms were
10 closed.

11 And so essentially, what it was is, you know,
12 the surge in consumer spending results in a surge in
13 import volume, combined with the fact that warehouses
14 were full because they were loaded with goods that
15 people no longer wanted combined with goods that people
16 wanted.

17 And you have a shortage of truck drivers. And
18 you had a shortage of containers. Because in some
19 cases, they were sitting there full with cargo and being
20 imported prior to the pandemic beginning.

21 And it was -- you know, either the warehouses
22 that staff couldn't be found to unload those containers

1 or the warehouses were full -- the shortage of drivers
2 to get containers back and forth from warehouses to
3 ports and terminals.

4 And so systemic -- really, I mean we have never
5 seen anything like it.

6 It was systemic from one end of the supply chain
7 to the other.

8 Q. Did you have any suggestions for how to prevent
9 that type of a congestion from happening in the future?

10 A. No. That didn't -- it wasn't focused on
11 solutions.

12 Q. Have you published any other articles?

13 A. On peer review? No.

14 But the Global Port Tracker comes out, that kind
15 of thing.

16 And I make presentations on that -- sort of the
17 material you're talking about but nothing -- no
18 research, no.

19 Q. So you have served as an expert witness in one
20 previous case, is that correct?

21 A. I'm sorry, you froze there.

22 Q. Actually, everyone froze for me on my end.

1 A. Yeah. I had a complete freeze so --

2 Q. Okay. So I'll start that question from the
3 beginning.

4 A. Okay.

5 Q. You served as an expert witness in one previous
6 case, is that correct?

7 A. Correct.

8 Q. And what was -- what case was that?

9 A. It was a case of ICTSI, which is a terminal
10 operation in the Philippines, versus the ILWU, a labor
11 organization.

12 Q. What was the nature of that case?

13 A. (Technical difficulties.)

14 COURT REPORTER: Excuse me, he was talking and
15 he froze again.

16 (Thereupon, the reporter conferred with
17 counsel.)

18 THE WITNESS: I've seen all of you freeze.

19 MS. MASSEY: Okay. Do we want -- Melissa, this
20 is your call, your depo. Do we want to try to fix this
21 now or do we want to --

22 MS. BAYLY: Let's go off the record and see if

1 we can get this resolved, because he froze for me as
2 well.

3 THE WITNESS: I was talking.

4 (Thereupon, an off the record discussion
5 occurred, after which the deposition
6 resumed as follows:)

7 BY MS. BAYLY:

8 Q. And Mr. Hackett, we were just discussing the
9 previous case, the ICTSI case that you served as an
10 expert.

11 And what was the nature of that case?

12 A. So the original case had to do with a labor
13 dispute that was on the docks between the ILWU and
14 another union, the electricians union.

15 He had the responsibility for plugging and
16 unplugging refrigerator containers -- or refrigerated
17 containers.

18 That resulted in a work slow down that impacted
19 the -- the speed with which vessels were being turned at
20 the Port of Portland.

21 And so carries shifted, so it was away from the
22 Port of Portland that impacted the probability of ICTSI.

1 And ICTSI then left -- sorry. ICTSI operated
2 the terminal at the Port of Portland. They then left
3 Portland.

4 And so the lawsuit that followed was ICTSI suing
5 about the responsibility and being -- for damages.

6 It was settled in law. I was involved in a
7 followup which was to assess the damages that were
8 involved in the case.

9 Q. So by whom were you retained in that case?

10 A. By ILWU.

11 Q. And you said that you were -- so were you
12 retained after the case settled?

13 A. After the -- no. No. So -- I'm sorry. So the
14 first case -- so the first portion of the case assigned
15 responsibility. And so the IWLW would not be
16 responsible.

17 However, the jury put a dollar value that the
18 judge on the case decided was incorrect. So there was a
19 followup case to determine what the correct dollar
20 amount should be.

21 But then to answer your question -- so that was
22 an active case that I was deposed on.

1 But it was settled before it went to trial.

2 Q. Okay. So what, you drafted a report before you
3 were deposed?

4 A. Actually, a series of reports, yes.

5 I gave an expert report, a rebuttal report and a
6 third report that was sort of our response -- I think it
7 was termed a response report.

8 Q. So you initially drafted an expert report. And
9 what was the topic of that report?

10 A. I don't know how much of this is covered under
11 protected work.

12 But in general terms, I was looking at the
13 industry.

14 And essentially, my focus was on the bankruptcy
15 of Hanjin and so the impact that would have on
16 operations or activity of that report, T6.

17 Q. And you drafted a rebuttal report. Was that on
18 the same topic?

19 A. Yes. Correct. It was -- so then -- so it was
20 three reports.

21 One was the expert report. One was a rebuttal
22 report, which was the expert on the other side, much

1 like I had prepared a rebuttal report for Mr. McCown's
2 report.

3 And then the third report was a response report,
4 because the experts on the other side wrote reports in
5 response to our rebuttals, which I understand is not
6 typical.

7 And so we were then told to write a response
8 report to that response to their rebuttal.

9 Q. Okay. So you drafted an expert report. Then
10 the experts on the other side drafted a rebuttal report
11 or --

12 A. Yes.

13 Q. -- or multiple rebuttal reports?

14 A. Okay. So this is the case. So I drafted an
15 expert report. And their experts drafted an expert
16 report.

17 Q. Okay.

18 A. Both sides consulted -- both sides drafted
19 rebuttal reports against the expert report.

20 And then their side drafted another report
21 rebutting our rebuttal, as it were. And so we then
22 published -- or our side -- the side that I was

1 representing produced a series of response reports
2 responding to their response to our rebuttals.

3 Q. So in total --

4 A. It was three reports.

5 Q. Three reports? Okay. Understood.

6 And each of these reports was generally on the
7 topic of the bankruptcy of Hanjin?

8 A. Oh, no. No. So it was -- again, I don't know
9 what -- the bankruptcy of Hanjin was a factor.

10 Essentially, it brought us possible terms. It
11 had to do with the reasonable likelihood of container
12 activity in a "but for" world at the T6 of the Port of
13 Portland and whether or not post Hanjin's bankruptcy,
14 another carrier would have stepped in to replace them.

15 I think that's probably -- I don't know how much
16 of this is covered by a protective order. The lawsuit
17 is covered by a protective order. I don't know how much
18 I can say.

19 Q. Did any of your opinions in that case pertain to
20 detention or demurrage charges?

21 A. No.

22 Q. And you said you were deposed in that case?

1 A. I was.

2 Q. Just once?

3 A. A single deposition, yes. But it did cover all
4 three reports.

5 Q. Do you know whether your report was challenged
6 by the other party?

7 A. That phrase -- the legal meaning? What do you
8 mean by challenged, like --

9 Q. Did they file any motions to attempt to exclude
10 your report?

11 A. Not as far as I'm aware.

12 So if I give you a little background, part of
13 the reason why the case was settled was because the ILWU
14 filed for bankruptcy prior to going to court.

15 And so as part of the bankruptcy proceedings,
16 that was where the case was settled.

17 But as far as I'm aware, my reports were not
18 challenged.

19 Because the term is, I think, Daubert, is that
20 correct?

21 Q. Daubert.

22 A. Daubert, yeah. So we didn't get to that --

1 things were frozen prior to the Daubert thing.

2 Q. That's fine. I understand.

3 A. So that's --

4 Q. Very good.

5 I believe you answered this. But just to
6 confirm, are you currently serving as an expert on any
7 other matters?

8 A. No. Just this one.

9 Q. Have you prepared an expert report in any
10 matters other than what we've just described to the
11 current matter?

12 A. Other than the previous case and this case, no.

13 Q. How much time do you devote to your work as an
14 expert witness?

15 A. As in essentially my total time, do you mean,
16 or --

17 Q. Yes, the percentage of your total time.

18 A. So in this year, in terms of my invoice hours, I
19 don't know for sure.

20 I'd say it's approximately maybe 15 to 20
21 percent range. Maybe 20 percent. But it varies by
22 year.

1 So the previous case ran for a number of years.
2 I began working that in 2020. And there was a pause --
3 and partly due to COVID, I expect. So things picked up
4 again in 2023.

5 So in 2022, basically, none.

6 2023, probably maybe -- I don't know, maybe 20
7 percent, 25 percent. I -- offhand, I don't know the
8 percentage.

9 But it's certainly, you know, a small portion of
10 what I do -- well, 20 percent of what I do roughly.

11 Q. Understood.

12 And how much of your income is derived from your
13 work as an expert witness?

14 A. Similar percentages. So maybe -- so the 15 to
15 20 percent I mentioned for this year, that's based on a
16 dollar value rather than hourly time.

17 Q. Got you. Understood. And who retained you in
18 this matter?

19 A. COSCO Shipping.

20 Q. When were you first contacted about this matter?

21 A. I think it was May of this year.

22 Q. And who contacted you?

1 A. Maybe April.

2 Q. April or May?

3 A. Yeah.

4 Q. And who contacted you?

5 A. Ms. Fenneman.

6 Q. Did anyone from COSCO contact you about the
7 matter?

8 Have you -- in your time working as an expert on
9 this matter, have you spoken to anyone at COSCO?

10 A. No.

11 Q. And when you were first contacted, what did you
12 understand your role to be in this case?

13 A. To provide assessment of Mr. McCown's expert
14 report or probably a rebuttal, I guess, to Mr. McCown's
15 expert report.

16 Although, when I was first contacted, I
17 obviously had no knowledge of Mr. McCown's report.

18 It was just to provide rebuttal to an expert
19 witness that had been retained.

20 Q. What's your compensation for this case, your
21 hourly rate?

22 A. It's \$275 per hour.

1 Q. And who is paying for your services?

2 A. COSCO Shipping.

3 Q. Is your payment dependent on the outcome of the
4 case?

5 A. No, it is not.

6 Q. And what documents were provided to you to
7 prepare your expert report?

8 A. Only the documents that Mr. McCown had provided
9 as part of his supporting evidence.

10 And then subsequently, I did receive a couple
11 documents that were produced later on from Mr. McCown
12 based on a question I had, I believe, or maybe -- I
13 don't know how many other expert witnesses were on this
14 case.

15 But somewhere, there was additional production.

16 And then there was also a production, I believe,
17 from COSCO on their -- their data that had been provided
18 to the FMC that was produced, and I received a copy of
19 that as well.

20 Q. Did you receive a copy of that prior to
21 completing your report?

22 A. No. That was after I had completed my report.

1 Q. Each of the documents that you reviewed in
2 preparing your expert report, did you cite each of those
3 documents in your report?

4 A. I did.

5 Q. Did you rely on any documents that were not
6 cited in your report?

7 A. I mean so I -- you know, I review news and
8 publications on a daily basis.

9 So I'm sure some of that would help me formulate
10 my opinion.

11 But as far as I'm aware, I cited everything I
12 relied upon directly.

13 I have an accumulated knowledge from years in
14 the industry.

15 So yeah, I -- I don't think it's realistic for
16 you to have to put in every issue which comes out every
17 week, which I do read. But where I relied directly, I
18 cited it.

19 Q. Before completing your report, did you review
20 the complaint that was filed in this case?

21 A. Yes.

22 Q. What did you understand this case to be about?

1 A. The VCC had taken issue with the level of the
2 demurrage and detention charges that they paid.

3 Q. When you say the issue was that the VCC had
4 taken issue with the detention and demurrage fees that
5 they paid, what do you mean by that?

6 A. They believed that they were -- you know, paid
7 more than they should have. I think they were blaming
8 COSCO for the charges.

9 I read the report at the very beginning and
10 haven't looked back at it. So it's not entirely clear
11 in my head.

12 Q. So I am going to begin looking at your report.
13 I know you have it in front of you.

14 Would you like me to also share my screen or can
15 we track?

16 A. I'm fine with the printed copy.

17 Q. Okay. So we are going to now look at what we
18 will mark as Exhibit 1, the expert rebuttal report of
19 Daniel Hackett.

20 And this report is dated July 21st, 2024.

21 (Thereupon, the document was marked Exhibit
22 #1 for identification.)

1 MS. BAYLY: So turning to -- let's look at page
2 4, under the section titled Purpose.

3 And Kaya, I'll just make sure you have that in
4 front of you as well.

5 MS. MASSEY: I do, yes. Thank you.

6 BY MS. BAYLY:

7 Q. Okay. At any point, if anybody would like me to
8 share my screen, I'm happy to do so.

9 So under the section titled Purpose on page 4,
10 you state that, "the broader issue of disputes arising
11 from demurrage and detention fees during the global
12 supply chain crisis falls outside my scope of analysis."

13 Is this correct?

14 A. Correct.

15 Q. Wouldn't you agree that this dispute pertains to
16 demurrage and detention fees?

17 A. I think that's a proponent of it.

18 Q. I'm sorry, you said that's part of it?

19 A. A proponent of it.

20 Q. Oh, proponent? What do you mean by that?

21 A. Well, it seems to me as if part of the case is
22 about, you know, the responsibility of who's charging

1 the fees and who is paying the fees and, you know, why
2 these fees exist.

3 In terms of my report, it was for me to respond
4 to Mr. McCown's expert report.

5 And specifically, I was focusing on his analysis
6 of COSCO Shipping.

7 And so my point here is that the disputes
8 arising from the demurrage and detention fees were
9 outside the scope of my report.

10 Q. So what were you referring to when you state the
11 disputes arising from demurrage and detention fees?

12 A. So the -- there are, you know, a series of
13 ongoing lawsuits, including this one, about demurrage
14 and detention fees.

15 And I'm saying my focus with this report is on
16 COSCO Shipping and COSCO Shipping specifically as
17 analyzed by Mr. McCown.

18 Yes, demurrage and detention fees are a part of
19 that analysis. And that's where I factored them in.

20 But in terms of the broad picture of demurrage
21 and detention and the disputes that arose, you know,
22 it's outside my scope.

1 Q. Do you have any experience analyzing the
2 reasonableness of demurrage and detention fees?

3 A. I do not.

4 Q. Prior to working on this case, what was your
5 understanding of the role that demurrage and detention
6 fees played in the industry?

7 A. So my understanding was it's, you know, to
8 assist with the fluidity of container boxes, both loaded
9 and empty, moving through the system specifically at the
10 port and both leaving a terminal port when they arrive
11 as well as their timely return to the port.

12 Q. Have you ever counselled any clients on the
13 assessment of demurrage or detention fees?

14 A. I have not. No.

15 Q. Do you have an opinion on the reasonableness of
16 COSCO's demurrage and detention fees?

17 A. That would be outside the scope of my report.

18 Q. And have you developed an opinion on whether
19 COSCO acted reasonably with respect to the demurrage and
20 detention fees it charged VCC?

21 A. Again, that was outside the scope of my report.

22 Q. Well, prior to this case, were you familiar with

1 Mr. McCown?

2 A. I was, yes. Well, I have never met him as far
3 as I'm aware.

4 It's possible we did attend conferences at the
5 same time.

6 Q. So you were familiar with his work?

7 A. I am. Yes.

8 Q. So what was your understanding of his work in
9 the industry?

10 A. I know that his focus is on the financial
11 performance of carriers. I was aware of the McCown
12 report.

13 Although, I am not a subscriber, I have received
14 copies from people over the years who asked me to
15 comment and --

16 COURT REPORTER: Excuse me, you froze again. I
17 have received copies from people over the years who
18 asked me to comment, and that was it.

19 THE WITNESS: Did I freeze for everybody else?

20 MS. MASSEY: Not for me.

21 THE WITNESS: Okay. I received copies from
22 people within the industry saying oh, look, you know,

1 here's an interesting report.

2 But also in LinkedIn, I might know Mr. McCown.

3 I believe you shared a LinkedIn with me, because I
4 believe I see it shared by other contacts that I have.

5 And so again, I'm sort of familiar with the
6 report.

7 Q. Have you ever read his monthly or quarterly
8 report?

9 A. I have. I don't read it on a regular basis.

10 But I certainly -- you know, there are certainly
11 times when I have sort of expanded my network, if you
12 will, for information.

13 So during COVID, for example, in 2020, when
14 we're entering the unknown and, you know, all of us are
15 basically struggling trying to figure out what was going
16 on, you know, I had certainly read a couple of his
17 reports back then.

18 But it's that sort of time. It's like when I
19 expand my net to look for additional data sources to get
20 additional perspectives.

21 But it's not -- yeah. I don't frequently read
22 it.

1 Q. So with respect to Mr. McCown's report in this
2 case, what did you understand his conclusions to be?

3 A. Well, his description of COSCO as being piggish
4 implied to me that he believed that COSCO was using a --
5 you know, the global supply chain crisis to increase its
6 own revenues.

7 Q. And what did you understand your role to be in
8 drafting your rebuttal report?

9 A. It was to consider the evidence and see if I
10 agreed with his assessment.

11 Q. Did you do any independent investigation into
12 COSCO's practices?

13 A. I did not. Again, may I clarify?

14 When you look at the investigation, I mean my
15 analysis is all independent. Do you mean --

16 Q. Well, I mean did you consider any information
17 outside of what was contained in Mr. McCown's report in
18 drafting your report?

19 A. Well, like all the -- all the sources that I
20 have in my report would certainly fall into that
21 category.

22 Q. Did you speak with anyone at COSCO about Mr.

1 McCown's report?

2 A. I did not, no.

3 Q. Okay. So looking back at page 4 of your report.
4 And we will look at section 3 now, which is titled
5 Response to Expert Report of John D. McCown, dated June
6 14th, 2024.

7 So you state that your report will demonstrate
8 that COSCO's financial performance was in line with many
9 of its peers.

10 Do you still agree with that statement?

11 A. I do. Yes.

12 Q. So even if COSCO's actions were in line with
13 many of its peers, does that mean that their actions
14 were reasonable?

15 MS. MASSEY: Objection. Calls for a legal
16 conclusion.

17 Daniel, to the extent you can answer, feel free.

18 THE WITNESS: Sure. But I would also point out
19 that the bullet says financial performance.

20 That was -- are we talking about financial
21 performance that was in line with his peers?

22 Because it says financial performance was in

1 line with --

2 BY MS. BAYLY:

3 Q. Correct. I'm talking about the second bullet.

4 A. Okay.

5 Q. That COSCO's demurrage and detention charges
6 were low relative to its peers globally and within North
7 America.

8 So even if they were low relative to its peers,
9 does that mean that they were reasonable?

10 MS. MASSEY: Same objection.

11 THE WITNESS: That falls outside the scope of my
12 report.

13 I mean detention and demurrage charges, you
14 know, I think that, you know, it's market level --
15 market driven.

16 BY MS. BAYLY:

17 Q. So back to the first point, that COSCO's
18 financial performance was in line with many of its
19 peers.

20 What do you mean by in line with many of its
21 peers?

22 A. Well, can I draw your attention to the charts

1 where I demonstrate that?

2 Q. Sure.

3 A. So Exhibit 10 on page 14 is one example.

4 Otherwise, Exhibit 4 on page 9.

5 Essentially, both cases demonstrate something
6 similar, which is that -- so let's look on 4. And
7 that's showing the revenue margin. That's showing that
8 COSCO's performance is in line with its peers or, you
9 know, there may be some who perform better, may be some
10 who perform worse.

11 But there is certainly many peers who perform at
12 the level with COSCO.

13 Q. What's the difference between comparing COSCO's
14 performance to, as you say, many of its peers versus the
15 aggregate of the industry?

16 A. So in general, I try and prefer to compare
17 things at the granular level to avoid potential mental
18 confusion.

19 So a good example would be if someone asks me
20 about the average import volume at ports on the West
21 Coast, I would push back on that and say look, the West
22 Coast -- the U.S., for example, is dominated by Los

1 Angeles and Long Beach.

2 And so if I'm talking about the average import
3 volume on the West Coast, all I'm doing is saying that,
4 you know, this is dominated by L.A. and Long Beach. It
5 has -- two-thirds of it are on the West Coast.

6 And so in that case, an average is not a
7 meaningful number. It's essentially looking at what
8 happened in L.A. and Long Beach.

9 So the same thing as this. When you compare an
10 average, it's sometimes hard to ascertain what's really
11 going on.

12 I'd much rather focus on the granular detail.
13 There's much less room for error.

14 Q. So is it your testimony then that averages are
15 never a useful comparison when considering those --

16 A. No. I never said averages are never useful.

17 I said that averages have to be considered
18 carefully.

19 A good example is that there is estimation that
20 has to go into looking at the average.

21 If I may, for example, Mr. McCown used the
22 average capacity for a set period of time. It may have

1 been 2017.

2 I know the other day, he testified that the
3 capacity didn't change over time.

4 But one of the things I checked this morning was
5 the January, 2020, Alphaliner. And the capacity of
6 those same carriers that he relied on was a full
7 two-tenths points higher than it was -- it wasn't -- I
8 think he mentioned one-tenth of 1 percent.

9 But the reality is it was a full two-tenths
10 points higher. So it's the level of estimation that
11 goes on.

12 Then you compound the estimation when you expand
13 it out to the entire industry from -- and so 64.5
14 percent to a hundred percent.

15 Again, it's requiring sort of, you know,
16 assumptions that have to be made and estimations and
17 extrapolation.

18 Rather than extrapolating an average, I would in
19 this case rather go direct to peers because -- peer
20 carriers. Because then you can do a like for like
21 comparison. There is certainly less room for error.

22 I never said averages were of no use or never of

1 any use, but they have a place.

2 Q. Do they have a place in this analysis?

3 A. I think what I've demonstrated is that in this
4 case, I believe that the peer to peer analysis is more
5 reliable.

6 Like I said, there is less estimation involved
7 of assessing, you know, the industry as a whole.

8 Q. How do you select the peers that you include in
9 your analysis?

10 A. Well, much the same way as Mr. McCown selected
11 his peers that he based his assessment on.

12 Essentially, it comes down to the carriers that
13 release their data.

14 A number of carriers are privately held or don't
15 release the data for one reason or another.

16 And so there is only so much information that's
17 available.

18 Q. So did you apply any methodology in selecting
19 the peers or it was just based on what information was
20 available?

21 A. So the -- yes. The methodology I applied was
22 the carriers that -- so go back a step.

1 The data I was relying on for this was the
2 Alphaliner. And so it was the carriers that were
3 included in the Alphaliner dataset. I didn't --

4 Q. Why -- go ahead.

5 A. I didn't -- I just selected that universe that
6 existed.

7 Q. So why are the carriers that are included in the
8 Alphaliner dataset -- why is that a more useful
9 comparison than the aggregate of the industry as a
10 whole?

11 A. Well, like I said, so it -- the aggregate of the
12 industry as a whole is an extrapolation based on a
13 subset of the data that exists.

14 So I -- I don't believe Mr. McCown includes Wan
15 Hai, for example. But he does include most of the
16 other -- and again, I apologize if I'm misstating Mr.
17 McCown's analysis. But I believe it doesn't include Wan
18 Hai.

19 And then so he extrapolates from a fixed market
20 share point of 64.5 percent. That was from 2017.

21 So already, he is -- you know, he has a 2
22 percent difference from 2020.

1 Again, I'm sure it varies quarterly and monthly,
2 certainly annually.

3 But he extrapolates 64.5 to 66.5 and then has to
4 extrapolate again to a hundred percent.

5 And so it's not that -- you know, it's not the
6 same as selecting which peers to use as I'm using the
7 data that exists -- the peers for which data is
8 available.

9 So it just basically reduces that estimation and
10 extrapolation -- or eliminates, I would say.

11 Q. Okay. And moving on to -- we're back to the
12 second point under section 3 where you said that
13 "COSCO's demurrage and detention charges were low
14 relative to its peers globally and within North
15 America."

16 What do you mean by charges?

17 A. Okay. So this relates to a source that Mr.
18 McCown relied on as well, the Container Exchange Report.

19 Essentially, what the Container Exchange Report
20 does, it scrapes the internet and/or the websites of
21 carriers and also, I think, ports as well -- but maybe
22 just carriers and tries to pull out a standardized set

1 of data -- well, pulls out all the data. But from
2 there, puts a standardized set of data that demurrage
3 and detention fees or charges that would be leveled at a
4 2 week point.

5 Now, again, this is including import and export.

6 And this is all covered in detail in the
7 exhibit -- I'm sorry, the source that Mr. McCown shared
8 and I also shared.

9 But they use imports and exports, 20 foot, 40
10 foot.

11 And this isn't a -- so this is one thing where I
12 think there is some confusion with how Mr. McCown used
13 the data.

14 So my understanding of the data is that it's
15 almost like an index in the sense that these aren't
16 actual charges that were charged by the carriers.

17 This is a -- it's designed to be like an index,
18 as it were, to show across all different ports how much
19 each port -- how much charges a shipper would be
20 incurring at the 2 week point.

21 They also look at carriers -- you know, break
22 down their numbers by carrier for region and say in

1 North America, for example, the average charge would be
2 X dollars accumulated by the 2 week period.

3 Thursday, in Mr. McCown's deposition, he
4 mentioned that he believed the data was taken from
5 customers.

6 He mentions 150 or 1,500 or vice versa customers
7 that they had provided data to the Exchange. I believe
8 that to be inaccurate based on the methodology that's
9 described in the report.

10 It's, like I said, the potential theoretical
11 charge that they would incur.

12 And so the entire report is designed to be a
13 level comparison between what different carriers are
14 charging and between what different ports you might
15 expect to be charged.

16 Q. So just to clarify my question, just
17 specifically with respect to your statement here that
18 COSCO's charges were low, I just want to understand what
19 you mean by charges --

20 A. Sure.

21 Q. -- just the definition of that word. Are you
22 talking about the per diem tariffs?

1 Are you talking about the overall charges?

2 A. I understand.

3 Q. And that --

4 A. So it is based on the detention and demurrage
5 charges.

6 And again, it's basically taken from the
7 Container Exchange. And they collect just detention and
8 demurrage.

9 Q. Okay. But when you say charges, do you mean the
10 rate then that they were charging?

11 A. So the Container Exchange does use the words
12 interchangeably between the rate, the fee and the
13 charge.

14 Like I said, this is based on their methodology
15 section of their report. It is the charge, the fee, the
16 rate.

17 What would be -- what a shipper would be likely
18 paying.

19 You know, obviously there are a number of
20 variables that go into changing what a shipper actually
21 pays at any given port.

22 But it's basically saying on average, this is

1 what a shipper could expect to pay at the 2 week mark in
2 detention and demurrage fees at a series of ports and
3 then also across a series of carriers.

4 And if I can draw your attention to the chart
5 that sort of explains this a little bit more, that's --

6 Q. We will get into the charts.

7 A. Oh, okay.

8 Q. Just right now, I'm just getting a general idea
9 of your conclusion --

10 A. Okay.

11 Q. -- trying to understand what you mean by COSCO's
12 charges being low. So --

13 A. So the container -- all right. If I may, the
14 Container Exchange report included data -- like I said,
15 it scrapes the data from the carriers.

16 And so the scraping is, just to clarify, sort of
17 a term that's used, you know, like -- used, you know,
18 when we hear about the AIs being trained. They're sort
19 of scraping the -- what it means is pulling data off the
20 internet and analyzing it.

21 And so one of the things that the Container
22 Exchange did is they analyzed the rates that all the

1 rest of carriers were charging by region -- both
2 globally and by region.

3 And so they were showing that on average, COSCO
4 was charging less than other carriers at the 2 --
5 okay -- again, at the 2 week mark, based on all things
6 being equal.

7 Q. Understood.

8 A. So this is by index.

9 Q. Do you mean that COSCO was charging less per
10 charge?

11 A. No.

12 Q. So less per instance or less in overall charges?

13 A. No. This is not a -- again, this is not an
14 actual charge.

15 This is a theoretical, hypothetical charge that
16 on average a shipper might expect to see at the 2 week
17 mark.

18 And again, it's more of a -- again, it includes
19 import and export of both a 20-foot and 50-foot
20 container. It's sort of like a composite.

21 The Container Exchange Report isn't showing
22 actual charges that were charged to any one client.

1 It's based on producing an index that allows for
2 comparison.

3 The idea being, I believe, that, you know, you
4 can look at the report, and it gives you an apples to
5 apples comparison across all the reports of what charge
6 might occur -- or what charge might have accrued by the
7 2 week point.

8 Q. So would it be more accurate to say that your
9 conclusion was theoretically, COSCO's demurrage and
10 detention charges were low relative to its peers?

11 A. I'm sorry, let me read it.

12 I'm sorry, what was your question or what was
13 your statement?

14 Q. Is it more accurate to say that theoretically,
15 COSCO's demurrage and detention charges were low
16 relative to its peers?

17 A. That wasn't how it was portrayed in the -- in
18 the report.

19 You know, they state things like, you know,
20 COSCO's charges were well over -- so it's -- it wasn't
21 based on -- the index, I suppose, is a theoretical
22 charge. But the numbers themselves are real.

1 Q. Okay.

2 A. It's sort of like you're looking at a price --
3 they're looking at price lists, essentially, as one
4 would think of it.

5 No. Well, I reviewed the Container Exchange
6 results but not the data that went into it.

7 I imagine that's a huge effort for them to --
8 like I said, they scrape the websites. It's not
9 publicly available data.

10 Well, I -- I guess if they're scraping the
11 websites, that makes it publicly available data. But
12 it's not publicly accessible.

13 They use some methodology that they use to
14 scrape websites that I'm not familiar with.

15 Q. And did you speak with anyone at COSCO directly
16 about their fees?

17 A. No.

18 Q. Then in your third point, you state that, "the
19 calculation of VCC's demurrage and detention fees by Mr.
20 McCown incorrectly includes yard storage fees which
21 significantly inflates their value."

22 How do you define yard storage fees?

1 A. So I believe the industry standard is it's the
2 fees that are charged by the terminals or the ports
3 rather than by, you know, the carrier. So it's --

4 Q. What are those fees for?

5 A. The storage of containers.

6 Q. Would the only difference between demurrage and
7 detention fees on one hand and storage fees on the other
8 hand that storage fees are charged by the terminal?

9 A. Well, you'd be lumping detention and demurrage
10 together as the same thing.

11 But it could be on either side of the equation,
12 if that makes sense.

13 So it could be -- yeah. I mean so once the
14 container box, for example, has been unloaded within the
15 terminal and then is picked up or moved, and it ends up
16 in a -- you know, that would be the demurrage portion
17 ended, and then the yard storage fee begins.

18 And then it's removed from the terminal. And
19 that's when the detention period begins.

20 Q. Okay. So let's -- let's start with your
21 definition of demurrage then. So when would demurrage
22 be charged?

1 A. After a box has been unloaded from a -- well,
2 okay. You have to factor in three days.

3 But excluding the concept of three days, the
4 demurrage charge begins after the container box has been
5 unloaded.

6 Q. And what entity charges demurrage?

7 A. Well, the carrier, ultimately.

8 Q. And then when would the storage fees be charged?

9 A. Once it has been handed over by the carrier
10 to -- so the next step in the supply chain. So whether
11 it's a, you know, day driver or someone else. It's when
12 basically it is now no longer the carrier's
13 responsibility.

14 It's now, you know, within the terminal waiting
15 to be picked up, for example.

16 Q. It's been moved within the terminal waiting to
17 be picked up?

18 A. Or -- well, or to a location outside the port,
19 for example, which is still -- for example, during
20 COVID-19, we had pop-up terminals.

21 So it could be moved to another location, right.

22 It doesn't have to stay within the terminal

1 itself.

2 Q. And then what entity charges storage fees?

3 A. That's when usually it's going to be either the
4 terminal operator or the port authority.

5 Q. And how -- how do you define detention fees?

6 A. So essentially, that's after it's left the gate.
7 And so it's the period of time in which the container
8 has not been returned back to the terminal.

9 And again, there are three days involved.

10 So it's not like it's -- charges may not be
11 accruing right away. But the clock begins right away,
12 as it were.

13 Q. When a terminal charges storage fees, does it
14 ever pass a portion of that fee through to the carrier?

15 A. I'm sorry, when a terminal charges storage fees?

16 Q. Yes.

17 A. I'm not sure.

18 Q. And generally, what do you understand the
19 relationship to be between the carriers and the
20 terminals?

21 A. It's a broad question. Can you be -- I'm sorry.

22 So the terminals are there to provide the

1 location for the carriers to load and unload containers.

2 I'm sure you -- I'm not quite sure what you're
3 saying.

4 Q. That's okay. So are you familiar with Maher
5 Terminals?

6 A. Yes. In Newark, New Jersey, yes.

7 Q. Okay. And what's the relationship between COSCO
8 and Maher Terminals?

9 A. So Maher Terminals are privately held.

10 And COSCO is actually the client. They avail
11 themselves of the terminal facilities. They'll have a
12 contract with Maher.

13 Q. When Maher Terminals -- does Maher Terminals
14 charge storage fees to shippers?

15 A. I would assume so. But I don't know.

16 Q. And do you know whether when Maher Terminals
17 charges storage fees whether it ever passes those fees
18 through to COSCO?

19 A. I don't know.

20 Q. So if you don't know whether COSCO receives a
21 portion of the storage fees charged by Maher, then what
22 is the basis for your claim that storage fees should be

1 treated differently than demurrage and detention fees in
2 this matter?

3 A. Well, I think the main focus of that is the
4 connection to the FMC index.

5 The carriers are asked to supply detention and
6 demurrage fees and collections -- well, I guess billings
7 and collections to FMC.

8 And there is no mention made of yard storage
9 fees.

10 Q. So why should storage fees be treated
11 differently then?

12 A. Because the FMC only required -- or requested
13 information on demurrage and detention fees.

14 Q. So is it your contention that the incentive
15 principle does not apply to yard storage fees?

16 A. No. I would argue that the --

17 MS. MASSEY: Objection. That calls for a legal
18 conclusion.

19 THE WITNESS: Yeah. I mean again, we're going
20 somewhat outside the scope of my report.

21 But -- and I'm sorry, I lost my train of
22 thought.

1 The question is?

2 BY MS. BAYLY:

3 Q. Is it your contention that the incentive
4 principle does not apply to yard storage fees?

5 MS. MASSEY: Same objection.

6 THE WITNESS: Yeah. That's outside -- that's
7 outside the scope of my report.

8 MS. BAYLY: Okay. It looks like we've been at
9 it for about an hour.

10 I know we had a couple of breaks -- I think an
11 hour since our last break. So do we want to take a few
12 minutes now to go off the record?

13 MS. MASSEY: Sure.

14 MS. BAYLY: Is ten minutes good for everyone?

15 MS. MASSEY: Ten works for me.

16 (Thereupon, a recess was taken, after which
17 the deposition resumed as follows:)

18 BY MS. BAYLY:

19 Q. So we are back on the record. And we're still
20 on page 4 looking at section 3.

21 I want to talk about your fourth bullet point,
22 "an analysis of demurrage and detention fees collected

1 by the Federal Maritime Commission by Mr. McCown is
2 inaccurate and irrelevant."

3 Can you explain that statement?

4 A. Yes. So -- let me start with the inaccurate
5 portion, because that leads to the irrelevant portion.

6 So it's inaccurate, in my opinion, because it's
7 a -- this is going back to that 64.5 percent, among
8 other things, where essentially Mr. McCown relies upon a
9 series of estimations to be able to extrapolate the
10 entire market and then is using that to -- you know, he
11 then does an analysis of the values that are collected
12 by FMC on the index and then is sort of trying to
13 curtilage it all together.

14 And I believe that there are a series of
15 inaccuracies that occur along the way. Whether it's,
16 you know, 64.5 or 65.5, it's a small thing. The 66.5 to
17 100 percent, it's a small thing.

18 All these measurements, I believe, are along the
19 index line.

20 All of these small errors result in an
21 assessment that is inaccurate and, therefore,
22 irrelevant.

1 Q. So you've identified a couple of what you call
2 errors that you described as small. How did -- how do
3 you get to the conclusion from these small errors that
4 there is a large inaccuracy?

5 A. All right. So I think it's a metric for how
6 many errors one can have before it's going to be
7 accurate.

8 So small, for example, is the 64.5 percent to
9 66.5 percent. That's 2 percentage points. Yeah, that's
10 -- you know, that is a small error.

11 But if we're talking about translating that to
12 how many -- you know, that's tens of thousands of TEUs
13 or hundred of thousands of TEU capacity. It's not ten.
14 But there are definitely tens of thousands of TEUs.

15 So it's small, but in all areas in terms of the
16 numbers used results in large impacts in the actual
17 values.

18 So whether we're talking about -- you know, that
19 2 percent discrepancy with capacity used to further the
20 market or, you know, it could be measuring the wrong
21 line in the FMC chart -- you know, it's measured in
22 billions of dollars and can lead to tens of billions of

1 dollars of inaccuracy. So numbers count.

2 So if you have a series of small errors, all
3 these things compound and result in an assessment or an
4 analysis that is now incredible.

5 Q. So why -- did you attempt to correct -- to do
6 the analyses with -- strike that.

7 What conclusions would have been different had
8 these small errors been corrected?

9 A. Okay. Pushback. So my term small errors
10 realize is about the assumptions that were made. They
11 resulted in, I think, you know, a non small -- not
12 insignificant, but I think they resulted in a
13 significant issue. They certainly are significant.

14 For example, I have a chart that shows the FMC
15 index, for example, Exhibit 25 of my report. And you
16 can see the index starts at the second quarter.

17 You know, Mr. McCown estimates the first quarter
18 based on just -- rather than -- you can see the line
19 from Q-2020 all the way up to Q-2022.

20 Rather than following that trend, Mr. McCown
21 just replicates Q2, which is another error that exists,
22 and so, you know --

1 Q. I understand that you're identifying various
2 what you call errors.

3 But what -- my question is when you -- looking
4 at your report, looking generally at all of these
5 various errors, what conclusions would -- of Mr.
6 McCown's would have had to be different based on -- if
7 those errors were corrected?

8 A. I see what you're saying.

9 So I maintain that, you know, even if I was to
10 correct those errors from the index side, there is
11 still -- you know, there's still issues.

12 But as we discussed before about the inclusions
13 of yard shortage, I don't think it was possible for me
14 to go in and entirely redo his analysis. Actually, I
15 didn't think that wasn't incumbent on me.

16 My focus was showing that his analysis was not
17 meaningful.

18 Q. So then your last bullet point here, you state,
19 "COSCO was not responsible for the terminal congestion
20 that resulted in the demurrage and detention charges."

21 What role does COSCO play in managing the
22 terminals where its ships call?

1 A. At Maher, no? I mean as a customer.

2 So there are certain carriers who have a holding
3 group that pass the portfolio of container terminal
4 operations. And COSCO is one of them.

5 But you know, for example, if you look at Maersk
6 and APMT, probably the most famous pairing. APMT
7 manages the terminals. And Maersk does the shipping
8 from location to location.

9 Now when Maersk, the shipping liner, drops off
10 containers at an APMT terminal, it's up to APMT as the
11 terminal operator to handle the container on the
12 container yard and the terminal itself.

13 Likewise, COSCO is a carrier. You know, it's --
14 the carrier arrives at the port or the terminal, unloads
15 the cargo.

16 But it's essentially -- you know, COSCO isn't
17 running the cranes. It's not running any of the yard
18 equipment that moves the container boxes around the
19 yard. It's not managing the gates.

20 That's sort of handled by other agreements that
21 exist by other companies or other operators.

22 Q. So is it your testimony that once the ships dock

1 at a port and COSCO unloads the containers, it has no
2 further involvement in what happens with the containers
3 at the terminal?

4 MS. MASSEY: I'm going to object.
5 Mischaracterizes testimony.

6 But Daniel, you can answer.

7 THE WITNESS: Yeah. I think it's simply an
8 indication of what's going on.

9 I mean obviously, you know, the carriers want to
10 have an efficient movement of the cargo within the
11 terminals.

12 And freight fluidity is important to the
13 carriers. It's important to everyone, obviously.

14 The carriers are certainly working with the
15 terminal operators and everyone to make sure that cargo
16 moves efficiently.

17 If their vessel is delayed, they will let the
18 terminal know if they will be late, for example.

19 If they are unable to take all the cargo on an
20 outbound leg, they would like to -- they will let the
21 terminal know. You know, there is fluidity to be
22 maintained.

1 And so it's not simply that they turn up, drop
2 off the cargo, pick up the cargo and leave.

3 It is definitely -- you know, they work with all
4 of the stakeholders to make sure that everything moves
5 fluidly. And that's the way it has to work.

6 The supply chain is complex -- incredibly
7 complex. And so nothing occurs, you know, in a vacuum.

8 But at the same time, the terminal operations
9 are the responsibility of the terminal operator.

10 Q. So is it the responsibility of the terminal
11 operator to insure that there's adequate terminal
12 capacity for the containers that are coming in?

13 A. I mean so when a carrier is looking at what to
14 call, you know, they're not going to necessarily call at
15 a port or terminal that is full. They want to make sure
16 that a terminal has capacity.

17 You know, once a carrier assesses a terminal,
18 you know, it's ultimately the terminal's responsibility
19 to make sure the cargo is moving.

20 But at the same time, this isn't a linked
21 operation.

22 You know, if only one container is arriving per

1 month, the terminal operator can very easily move that
2 one box.

3 It's when, you know, the containers aren't
4 coming in from the land side or the port side fluidly
5 that's -- you know, or outward, you know, that's when
6 you get the issues with the supply chain.

7 Q. If a ship departs with fewer containers than the
8 number of containers that it arrived at port with, is
9 that the responsibility of the terminal or of the
10 carrier?

11 MS. MASSEY: Objection. Calls for a legal
12 conclusion. But go ahead, Daniel.

13 THE WITNESS: Yeah. I -- so firstly --

14 MS. BAYLY: I can rephrase it if it will be
15 helpful. But go ahead.

16 THE WITNESS: I'm sorry, I missed what you said.

17 BY MS. BAYLY:

18 Q. I can rephrase it if it was otherwise --

19 A. So I get the question, which is leaving with
20 fewer than it came.

21 Firstly, you know, it's quite possible -- you
22 know, we measure in the industry capacity -- or vessel

1 capacity in TEUs, which is 20-foot equivalent unit. And
2 the majority is going to be a 40-foot equivalent.

3 So for example, a 40,000 TEU vessel, let's say
4 it arrives -- comes fully loaded with 10,000 TEUs. It
5 can leave with 10,000 TEUs as well. But then it could
6 be twice as many containers.

7 And again, this is not real estate. It's a
8 hypothetical. If every container they arrived with is
9 40-foot, and every container they left with was a
10 20-foot, it's quite possible -- and again, this is not
11 real estate, but it's quite possible that a container
12 vessel could arrive with double the number of containers
13 it arrived with.

14 So I just want to draw your attention to the --

15 Q. Understood. Understood. Yes.

16 Let's speak in terms of TEUs then rather than
17 number of containers. That's a fair point. So I'll
18 just rephrase my question then.

19 If a ship departs with fewer TEUs than it
20 arrived with, is that the responsibility of the terminal
21 or the carrier?

22 A. I mean it depends on the type of -- you know,

1 what was trying to be achieved as well.

2 So let's say a -- and again, I apologize if I'm
3 speaking to the industry in general. But I think it's
4 context message.

5 So let's say a vessel has a string of calls at,
6 let's say, for example, Los Angeles, Seattle and
7 Vancouver. It will arrive fairly fully loaded with
8 imports from Asia.

9 It's not going to -- it's not going to pick up
10 too many empty boxes at its first call -- its first port
11 of call. Sorry. Because you don't want to start
12 loading empty containers on loaded containers. That is
13 inefficient.

14 So that is one reason why a vessel may arrive --
15 or may leave with fewer containers. And that's by
16 design.

17 Other factors that occur is because with lots of
18 U.S. exports, it's very heavy -- whether it's
19 agricultural products or waste products, like recyclable
20 materials, that type thing, scrap metal. And so those
21 are very heavy.

22 And so that means that you also have to have the

1 safety consideration involved of how you -- of how many
2 boxes you can actually handle. So again, that's by
3 design.

4 So that's certainly going to be a carrier
5 decision in that case.

6 Other -- you know, there can be other factors as
7 well that exist that may limit a carrier's ability to
8 take on empties.

9 I think a good example is in the supply chain
10 crisis that we're talking about. You know, let's take
11 L.A. or Long Beach, for example.

12 We had, at one point, over a hundred vessels
13 waiting at anchor. And those vessels were carrying, you
14 know, PPE, the personal protective equipment that we
15 needed in hospitals and homes, carrying toilet paper and
16 paper towels, carrying also some manufacturing things
17 that we needed.

18 If you'll recall at the time, cars were being
19 manufactured and left in the parking lots of
20 manufacturers because they were only selling small
21 components.

22 So all this necessary cargo was sitting and

1 anchored -- or sorry, sitting at Long Beach or
2 California, L.A.

3 So the decision had to be made what was more
4 important to make sure we get -- and if you'll recall,
5 we had empty shelves of all sorts of things.

6 Does this have to be made -- you know, do we
7 keep bringing -- what do we prioritize? Bring cargo in
8 to help manufacturing, to help nurses and doctors save
9 lives, to help everyone at home to get toilet paper and
10 those necessities.

11 So if you prioritize those sorts of things, this
12 is not a regular period in history, you know.

13 And so we -- society, I suppose -- or our
14 industry in general, the various stakeholders involved
15 had to start prioritizing.

16 And so that meant that some vessels were being
17 -- you know, containers could be -- fewer empty
18 containers could be loaded on at the expense of more --
19 you know, being left in land. That was one of the side
20 effects.

21 The other problem was is that this was a huge
22 search, you know, in someone's --

1 Q. Just to finish that thought, though, which
2 entity would decide whether the ship should leave with
3 less cargo than they arrived with?

4 A. I mean I suppose I suspect it varies.

5 But this is going to be a cross stakeholder
6 decision.

7 If a vessel -- you know, a vessel could wait an
8 extra two days, right, to pick up extra empty
9 containers.

10 But if that's delaying all the other waiting
11 vessels, then the terminal operator or port authority
12 is -- you know, is suggesting -- and again, I don't
13 know, you know, any given example of what happened.

14 But that could be a reason why a terminal
15 operator would want them to leave sooner than want them
16 to sit around.

17 Likewise, the carrier had other calls it would
18 have to meet. They're on schedules. And they are
19 delayed. They may not want to delay the other customers
20 who are waiting for their boxes.

21 Again, coming back to the example before. If a
22 vessel is going to L.A. and then Seattle, if it's, you

1 know, waiting around because of the congestion that
2 existed, it's going to just delay things further, both
3 other vessels waiting and also for the cargo that's
4 going to offload in Seattle.

5 But the other problem was the volume was so
6 high. You know, this was -- we had, I think, like a 40,
7 45 percent jump in just a month or two in L.A., Long
8 Beach -- or in L.A. -- sorry, in 2020.

9 And so you had all these containers coming off.
10 And so it basically meant that there's nowhere for the
11 empties to be stored, and so it just became congested.

12 And so the decisions were being made about
13 freight fluidity.

14 Again, I don't know about any given situation
15 who would have made any given choice. But the
16 stakeholders were being assembled.

17 There were supply chain commission meetings and
18 meetings set up on the East Coast, West Coast and
19 further. And so this was a big problem. And you know,
20 I didn't --

21 Q. Understood. Understood.

22 Are you familiar with the incentive principle as

1 applied to excess --

2 A. In the sense of the FMC wrote about it, yes.

3 Q. And what does it mean?

4 MS. MASSEY: Objection. Calls for a legal
5 conclusion.

6 THE WITNESS: So my understanding is -- my
7 understanding is that it's to incentivize the rapid
8 movement -- or the timely movement of containers.

9 It's much like a library fine. It's designed to
10 incentivize you to return a book on time -- returns. Or
11 if you have a book on hold to pick up, you have X days
12 before the book goes back into circulation. That's the
13 same thing.

14 It's to incentivize you to pick up your book
15 quickly from the library and then return it on time.

16 BY MS. BAYLY:

17 Q. So how does the incentive principle apply to
18 detention and demurrage charges?

19 MS. MASSEY: Objection. Calls for a legal
20 conclusion.

21 THE WITNESS: I mean again, that's outside the
22 scope of my report.

1 But the idea, like I said, is designed to be
2 incentivizing freight fluidity.

3 BY MS. BAYLY:

4 Q. So is it your understanding that carriers can
5 charge detention and demurrage charges solely for their
6 own profit if it does not incentivize shippers to move
7 cargo?

8 A. Again, the analysis of demurrage and detention
9 fees is outside the scope of my report so --

10 Q. Okay. And in your opinion, did the charges
11 specifically that COSCO assessed against VCC during the
12 relevant time period in this case comply with the
13 incentive principle?

14 MS. MASSEY: Objection. Calls for a legal
15 conclusion.

16 THE WITNESS: Again, that's outside the scope of
17 my report.

18 It's also my understanding that COSCO didn't
19 charge VCC directly, based on what I heard on Thursday.

20 But it's outside the scope of my report.

21 BY MS. BAYLY:

22 Q. Your understanding is that COSCO didn't charge

1 detention and demurrage fees to VCC?

2 A. I believe they charged them to the private
3 handler.

4 Q. And who ultimately -- to an intermediate. Who
5 ultimately paid those fees?

6 MS. MASSEY: Objection.

7 THE WITNESS: Again, that's not research I
8 looked into.

9 BY MS. BAYLY:

10 Q. So let's look at page 25 of your report.

11 Let me know when everybody is there. Okay.

12 A. I'm good.

13 Q. Okay. So I am looking at the second paragraph
14 on page 25.

15 And there, you state, "the demurrage and
16 detention charges that VCC experienced were due to
17 congestion in the global supply chain, which was
18 suffering delays due to container and truck shortages as
19 well as limited capacity aboard vessels at origin ports,
20 delays outside destination ports as vessels awaited a
21 berth, delays in cargo being moved out of the terminal
22 due to the volume of cargo that ports were handling,

1 delays with cargo being picked up and transported to
2 warehouses due to a shortage of drivers and chassis, and
3 delays in unloading containers at the warehouses due to
4 a shortage of workers and space within the warehouses.
5 In short, the supply chain was experiencing delays from
6 beginning to end."

7 Do you still agree with those statements?

8 A. Yes.

9 Q. Is it your contention that VCC was responsible
10 for the congestion in the global supply chain?

11 MS. MASSEY: Objection. Calls for a legal
12 conclusion.

13 THE WITNESS: No. It's not my contention that
14 VCC was responsible for the global supply chain crisis.
15 That's correct.

16 BY MS. BAYLY:

17 Q. So if VCC was not responsible for the
18 congestion, and as you state, the demurrage and
19 detention charges that VCC experienced were due to
20 congestion in the global supply chain, then how were the
21 demurrage and detention charges consistent with the
22 incentive principle?

1 MS. MASSEY: Objection. Calls for a legal
2 conclusion.

3 I'm going -- I'll let this one go. But if you
4 keep asking questions that call for a legal conclusion,
5 we're going to need to go off the record.

6 THE WITNESS: I'd also point out that this was
7 exactly what I was referring to in my introduction, that
8 this is outside the scope of my report.

9 BY MS. BAYLY:

10 Q. I'll just point to on page 23, this whole
11 section is in response to Mr. McCown's conclusions about
12 the violations of the incentive principle.

13 So are you -- is it your position that you do
14 not have any opinions on whether the incentive principle
15 applies in this case?

16 MS. MASSEY: Objection. Calls for a legal
17 conclusion.

18 I'm also not sure I understand the question.

19 But if you do, Daniel, you can answer.

20 THE WITNESS: Yeah. Can you clarify that please
21 or restate it?

22 BY MS. BAYLY:

1 Q. Do you offer any opinions or applicability on
2 the incentive principle to demurrage and detention
3 charges in this case?

4 A. Sorry. One more time. I just don't quite
5 follow. What's -- I'm sorry.

6 Q. So we can do it this way. So you state on page
7 23, the section -- the title is Assertion 3. "COSCO's
8 practices related to all accessorial charges involving
9 per diems to VCC violated the incentive principle which
10 made them unreasonable per se."

11 Now, I understand that this section -- that is
12 the statement -- the contention that Mr. McCown makes in
13 his report.

14 A. Yes.

15 Q. My understanding of this section of your report
16 was that you're responding to that contention. Is my
17 understanding incorrect?

18 A. No. I -- yeah, I'm providing context to -- yes.
19 I'm responding to the points he made in that section of
20 his report, correct.

21 Q. All right. Were the points he made in that
22 section of his report -- were they addressing the

1 incentive principle, to your understanding?

2 A. Sometimes indirectly, I believe, yeah. He was
3 focused on that.

4 But I think some of the points he made were, you
5 know, somewhat indirectly related.

6 Q. So your response is only to the points that he
7 made that were indirectly related to the incentive
8 principle?

9 A. Well, let me draw your attention to the final
10 paragraph of that section where he is talking about how
11 it's incumbent upon the carrier to have all the
12 necessary assets, including ships, equipment and
13 terminal space that they're contracted to provide.

14 So I was referring to the context to -- that
15 COSCO was the one responsible for the delays.

16 And I believe that was sort of the thrust of
17 that section where he was basically saying it was
18 because of COSCO.

19 But let me point out that I never saw the bills
20 of lading that VCC had, but COSCO is responsible for the
21 delays.

22 And those contents may not be -- they may be the

1 contents of COSCO, but they may not be carried on a
2 COSCO vessel.

3 And so my focus on this section was not on
4 the -- you know, the incentive principle, as he
5 described it, but on the -- you know, providing context
6 as to what was going on and specifically Mr. McCown's
7 suggestion that it was entirely COSCO's fault.

8 I was trying to point out in this section that
9 it was a clearly --

10 Q. I understand.

11 A. -- a much bigger stakeholder.

12 Q. So is it fair to say that you are not offering
13 an opinion in this case with respect to whether COSCO's
14 detention and demurrage charges violated the incentive
15 principle?

16 A. That's correct.

17 Q. Okay.

18 A. Yeah. Like I said at the outset, I'm not
19 focused on the charges themselves and that legal
20 perspective.

21 Q. Understood. So let's turn back to section 3.1.

22 And I'm going to start by taking a look -- we're

1 going to be on page 5. Let me know if everybody is
2 there.

3 MS. MASSEY: I'm sorry, could you repeat what
4 page you're on?

5 MS. BAYLY: Page 5.

6 MS. MASSEY: Okay. Thank you.

7 BY MS. BAYLY:

8 Q. Mr. Hackett, are you -- okay. Good. Okay.

9 So looking at Exhibit 1 on page 5. Can you
10 explain why this graph showing growth from 1996 to 2015
11 is relevant to this case?

12 A. Yes. So Mr. McCown had discussed sort of the
13 long-term financial performance it carries prior to the
14 period in question.

15 And so I was basically drawing a similar
16 conclusion and pointing out that essentially, the
17 profits, to some extent, are tied to the ratio of
18 freight demand and freight supply -- or vessel supply.
19 And so that's what this is showing.

20 This is showing that from '96 to about 2006, the
21 two moved in tandem.

22 After that, we saw vessel capacity outpacing

1 demand. And so freight rates, as a result, decreased.

2 And so I believe Mr. McCown pointed out that
3 carriers were being generally profitable, I believe is
4 his term.

5 He is right, you know, they were generally
6 profitable.

7 But they were certainly less profitable than
8 they had been or would be in the pandemic.

9 Q. What is the Shanghai Containerized Freight
10 Index?

11 A. Okay. So that is a measure of the spot rate.

12 And so most cargo -- three-quarters of cargo is
13 moved from Asia to North America, Europe, for example --
14 is moved under contract.

15 Now, what the spot rate is is let's say I want
16 to move a container vessel -- I'm sorry, a container
17 box, and I have a contract in place.

18 That's the rate that I -- the spot market is
19 essentially sort of telling me how much I would likely
20 be paying to move that box.

21 Now, see, there might be other agreements that
22 change it up or down.

1 But what the SCFI is is a composite index that's
2 weighted. And what it measures is the various spot
3 rates to get a cargo container from Shanghai, in this
4 case, to various other locations, the U.S. East Coast,
5 U.S. West Coast, Europe, so on and so forth.

6 And the index is weighted based on -- so what it
7 does is it provides a measure of how -- how much the
8 current market is charging to move the container outside
9 of a contract.

10 And it's used additionally to try and set those
11 contract rates.

12 When contracts are negotiated, the SCFI is one
13 of those metrics -- or maybe not the SCFI itself, but
14 it's subject to the spot rate market which goes into the
15 SCFI.

16 That's used to help guide those negotiations
17 that go on.

18 Q. Okay. So you state that approximately
19 three-quarters of containerized cargo is contracted, as
20 you just testified.

21 So the spot market accounts for only 25 percent
22 of the containerized cargo market, is that correct?

1 A. It varies over time. But in general, that's the
2 rule of thumb. Yes.

3 Q. So why did you choose to use an index that
4 reflects only 25 percent of the market?

5 A. Well, the freight rates that are negotiated
6 between a carrier and the shipper, that's a secret rate.
7 I have access to that information.

8 But what the SCFI does -- the Shanghai
9 Containerized Freight Index -- what it does, it provides
10 an assessment of how the balance of vessel supply and
11 cargo demand is at any given point.

12 And so it's a very useful metric for measuring
13 the balance that exists.

14 And yes, it's only a portion of the market. But
15 like I said, it will help guide future negotiations
16 about contracts.

17 And like I said as well, without access to every
18 piece of contract information, which is all private, you
19 just don't -- there's no other source. There is no
20 other way to get that information unless you're the
21 carrier or the shipper.

22 Q. Okay. And I think to that point, you state

1 that, "the SCFI is a useful measure of current balance
2 of supply and demand and provides an indication of what
3 carriers may tend to charge in future contract
4 negotiations."

5 So the SCFI does not reflect what carriers are
6 currently charging for contract loads, correct?

7 A. For contract loads? No.

8 But even like I said, it's also a complex index.

9 So it doesn't even reflect any given route.
10 It's a composite of many routes.

11 Q. Understood.

12 And what index did Mr. McCown compare COSCO's
13 performance to?

14 A. He compared it to the market as a whole, I
15 believe.

16 Q. Are you familiar with the CTS Global Pricing
17 Index?

18 A. Yes. Yes. Very much so.

19 Q. And what roles did that play, to your
20 understanding, in Mr. McCown's analysis?

21 A. So again, he was comparing to the market as a
22 whole.

1 The CTS -- so the CTS, Container Trade
2 Statistics, they collect information directly from the
3 carriers. And they form their own index.

4 It's, again, a useful metric. But again, it's
5 comparing to --

6 COURT REPORTER: Excuse me, he froze. It's
7 comparing to?

8 THE WITNESS: The market as a whole.

9 MS. BAYLY: Can we go off the record for a
10 second?

11 (Thereupon, an off the record discussion
12 occurred, after which the deposition
13 resumed as follows:)

14 BY MS. BAYLY:

15 Q. And we were talking about the role of CTS in Mr.
16 McCown's analysis.

17 I want to -- so what is the difference in --
18 between the CTS and the SCFI?

19 A. So the -- the SCFI is a composite, like I said,
20 of the spot rate market. And it is quite timely.

21 I think the -- my understanding of the CTS index
22 -- and I could be wrong. I believe it's information

1 collected from carriers.

2 I don't know to what extent of the market it's
3 correct. But it's market wide.

4 And I don't know -- I believe they aggregate it
5 across all routes as well. I don't know. I think they
6 weight it like the SCFI.

7 It's a data point that's -- that's, again,
8 measuring rates, not too dissimilar to the SCFI but in a
9 different way.

10 Q. And it's different because it's measuring --
11 pricing the entire market while the SCFI is measuring
12 just the spot market? Is that --

13 A. My understanding is the CTS one, I don't know if
14 it includes the spot market. Because I'm not entirely
15 sure.

16 Yeah, I haven't used -- I haven't relied on the
17 CTS. I am aware of the CTS index.

18 I have not relied on it for any data analysis in
19 the past.

20 Q. Do you understand it to include contracted
21 rates?

22 A. That's what I was saying, yes.

1 Q. Yes.

2 A. But I don't -- I'm not aware if it includes spot
3 rates.

4 I don't believe it does. But I'm not -- like I
5 said.

6 Q. So why would an index that uses spot rates be
7 more useful than an index that relies on contracted
8 rates in this analysis?

9 A. Because the contracted rates are set typically
10 once a year. And so they don't -- okay. So a
11 contracted rate may still have other variables or other
12 fees charged.

13 It might -- let's say a fuel surcharge that
14 might kick in to change, you know, the contracting rate
15 up slightly. But it's a once a year value that is set.

16 Whereas the SCFI is a much more timely
17 assessment of supply and demand. So they have different
18 purposes in my mind.

19 Q. And why is the SCFI more useful in the analysis
20 of this case than CTS?

21 A. Well, I was using it to show supply and demand,
22 like I said.

1 It's very responsive. Because it's not like
2 once a year -- so the CTS index may not be -- it may be
3 updated frequently.

4 But contracts are typically signed for one year
5 length duration. Whereas the spot market changes daily,
6 and so it's providing a very timely data point.

7 And again, it provides insight into supply and
8 demand, which is what this section was on.

9 Q. Do you have any experience yourself negotiating
10 contracted rates?

11 A. I do not.

12 Q. Okay. Did you speak to anyone at COSCO about
13 their contracted rates?

14 A. I did not.

15 MS. MASSEY: Asked and answered.

16 BY MS. BAYLY:

17 Q. Do you disagree with Mr. McCown's conclusion
18 that COSCO's pricing increased more than the pricing as
19 reflected by the CTS index during the relevant time
20 period?

21 A. I didn't -- I didn't study the CTS index.

22 What I did is I studied -- going back to

1 averages.

2 Like it doesn't make sense to me to compare a
3 carrier to an average.

4 It makes sense to compare a carrier to its
5 peers.

6 Again, there is a whole level of uncertainty
7 and -- and sort of assumptions that have to be made when
8 you're comparing an index to a whole.

9 It makes more sense to me to look at -- you
10 know, look at COSCO and look at its peers.

11 Q. When you say that it doesn't make sense to
12 compare COSCO to the industry as a whole, what are the
13 specific nuances that you think are overlooked?

14 A. Well, it's the extrapolation of a few data
15 points to create a market wide number. So it's just
16 adding uncertainty.

17 Why -- you know, in my mind, it doesn't make
18 sense to add uncertainty when you don't need to when you
19 can achieve an analysis without -- without data that
20 potentially you don't know -- even if I had the CTS
21 index in front of me, I couldn't tell you the complete
22 bit that went in, because it's an index produced by CTS,

1 right.

2 I would much rather look at the carrier level
3 numbers, where I know they're all equal, so the
4 comparable level playing field so I can make that
5 comparison.

6 So it's just -- it doesn't make sense to me to
7 use a data source where there is potential uncertainty
8 behind the data.

9 Q. Okay. So on page 6, you say by aggregating
10 numbers to the industry level, the nuance within the
11 industry is overlooked.

12 A. That's a much better way of saying what I just
13 said. Yes.

14 Q. Yeah. So I just wanted to clarify then.

15 Do you have any -- are you referring to any
16 specific nuance or do you just think generally?

17 A. I think it, you know --

18 Q. It sounds as --

19 A. I'm sorry, I didn't mean to cut you off.

20 Q. No.

21 A. I think as a maritime consultant at large, it
22 behooves me to find the best data I can to answer any

1 given problem.

2 In this case, it's -- you know, for example, you
3 point out like the nuance within the industry is
4 overlooked.

5 So let's go back to the vessel. Using vessel
6 capacity or carrier capacity as a proxy for the
7 financial performance.

8 Firstly, you know, you're making a lot of
9 assumptions that -- one's making assumptions about the
10 financial performance being directly tied to capacity,
11 so there is nuance there.

12 Secondly, by filling in the remaining portion
13 that's missing, there is a whole bunch of nuances lost
14 there.

15 Because at least, you know, a portion of that
16 unknown is a very different market than the bulk that is
17 being used to -- that Mr. McCown used for the capacity.

18 So you're making all these -- one is making
19 these assumptions to create a broad picture.

20 And while that might have purposes in some
21 instances, I believe in this sort of analysis, it makes
22 sense to use -- you know, to restrict how much

1 estimation I'm using and how much extrapolation of the
2 data points I have.

3 And why not rely on known data points rather
4 than extrapolating it up?

5 Q. Understood. Let's look at page 8 of your
6 report.

7 A. Yes.

8 Q. You state that, "in his table 1, Mr. McCown
9 notes that COSCO's margin lagged the industry in general
10 during this period but as depicted in Exhibit 4, COSCO's
11 performance was either approximately in line with many
12 other carriers, as was the case in 2019 and 2020, or was
13 in a group of carriers that were unable to match the
14 most successful in the industry, as was the case in
15 2022."

16 What do you mean when you say that COSCO's
17 performance was approximately in line with many other
18 carriers?

19 A. So if we look at Exhibit 4 -- and let's look at
20 2020.

21 So in each case, I sort of used a pale blue to
22 dark blue -- like maybe a black color for all of the

1 other carriers, an orange bar that stands out as COSCO.
2 You start alphabetically.

3 In 2020, COSCO is roughly on par with one, two,
4 three -- four other carriers.

5 Likewise, in 2022, COSCO is on par with about
6 three or four other carriers. And so that's what I
7 mean.

8 It's the -- their revenue margin is -- you know,
9 it's a step margin. So it's net profit divided by
10 revenue. It's roughly on par with a number of other
11 carriers.

12 Q. And which carriers are you referring to?

13 A. So if you look at 2020 -- sorry, 2022, for
14 example, it's -- let's start with 2020.

15 It's CMA CGM, Hapag-Lloyd, Maersk and Yang Ming.

16 In 2022, it's the other example we used, it's --
17 was that -- I think it's Maersk, Wan Hai and Zim and, to
18 a lesser extent, CMA CGM.

19 Q. And how did you select which carriers to include
20 in this chart?

21 A. This was the same as the previous way.

22 Again, I was using Alphaliner's Monthly Monitor.

1 They provide data on a number of carriers.

2 Again, it's the carriers that provide that
3 information.

4 Q. And what do you mean when you say, "COSCO was in
5 a group of carriers that were unable to match the most
6 successful in the industry in 2022?"

7 A. So if you look at the 2022 portion, you can see
8 this is again the revenue margin.

9 When I say success -- or when I use the -- what
10 was it? The most successful in the industry, that's
11 within this metric, so the revenue margin.

12 And so you can kind of see there are a number of
13 carriers that, you know, are about 20, 30 points -- 30
14 points higher. That includes the Merchant Marine and
15 ONE, for example, in 2022.

16 So those essentially have higher revenue
17 margins.

18 Q. All right. If I could take a quick look now at
19 Mr. McCown's report. Do you have that in front of you?

20 A. I do, yes.

21 Q. I'd like to look at his table 1.

22 A. Yes.

1 Q. I'm getting some feedback.

2 So understanding that you don't believe this
3 analysis should have been done using aggregate numbers,
4 do you disagree with the portrayal of COSCO's
5 performance from 2019 to 2022?

6 A. Sorry, you mean the assertion that they
7 underperformed?

8 Q. Just the reflection of their performance, the
9 information included in the first five rows of this
10 table.

11 A. No. I believe those numbers are accurate.

12 Q. Okay. Now, let's go back to your report, back
13 to Exhibit 4.

14 Did COSCO show improvement in 2021 as compared
15 to its performance in 2019?

16 A. Yes.

17 Q. I'm sorry, I skipped a question.

18 Did COSCO show improvement in its performance in
19 2020 as compared to 2019?

20 A. For here, we're talking about financial
21 performance?

22 Q. Yes.

1 A. Yes.

2 Q. And did COSCO show improvement in 2022 as
3 compared to 2019?

4 A. Compared to 2019, yes.

5 Q. Do you agree with Mr. McCown's contention that
6 the two most important factors in the actual financial
7 results of a container shipping company are container
8 volume and the pricing related to that container volume?

9 A. Actually, so that's certainly one-half of the
10 equation. I mean that's -- that's talking about money
11 in.

12 I would argue that you can have all the money
13 coming in you want. But if your money going out is
14 larger, then that's going to impact your profits.

15 So he -- you know -- and so where is that
16 sentence? Oh, I found it on page 13, paragraph 41.
17 Yeah.

18 So the two most important factors in the actual
19 financial results, I mean I would -- yeah. He is
20 writing about -- I would write the sentence the two most
21 important factors on the revenue side of actual
22 financial results.

1 But, you know, he -- he negates -- or doesn't
2 factor in the costs -- you know, fuel costs, capital
3 costs, operation costs, voyage costs.

4 So there is sort of three pillars to the
5 financial performance of carriers.

6 There is the capital cost, the operational costs
7 and the voyage costs.

8 And, you know, I think it's fair to say that the
9 container volume and the pricing of that volume -- or
10 related to that volume is for profits but actually
11 ignores the costs.

12 Q. Understood.

13 A. I'm sorry. It drives the revenue. I'm sorry.
14 It drives the revenues but ignores the costs.

15 Q. So also on page 9, you state, I think consistent
16 with what you're saying now, "this, in fact, represents
17 only a portion of the profit side of the equation and
18 fails to take into account the substantial capital and
19 operational costs, including fuel and terminal charges,
20 of the container carrier industry."

21 So do you contend that COSCO's improved
22 performance during the relative time period was a result

1 of a decrease in costs?

2 A. I mean there are many factors going on.

3 I think that the -- the substantial increase in
4 revenue was due to, you know -- and that's why I pointed
5 out the SCFI chart is supply was relatively fixed and
6 demand for cargo surged. That made the freight rates
7 increase.

8 So that would have had a significant impact on
9 their -- on their revenues.

10 But they also were operating a -- you know, a
11 fleet of large vessels.

12 And those vessels -- you know, when you're
13 looking at a carrier's performance, if you can -- if you
14 can move cargo -- let's say you have two 9,000 TEU
15 vessels or one 18,000 TEU vessel. Okay. So maybe some
16 costs are higher with running a larger vessel. The
17 total in berth fees, for example, may be higher for a
18 single vessel. But compared to two vessels, it would be
19 lower.

20 Likewise, the fuel -- it may cost more a day to
21 run one large vessel than one small vessel. But as
22 compared to the cargo as two small vessels, you have a

1 savings.

2 You also have the crew savings for larger
3 vessels versus a smaller vessel.

4 You know, COSCO's fleet of large vessels at the
5 time would have driven then the capital cost is the cost
6 -- again, the cost to build a large vessel overall is
7 greater than a smaller vessel, but then the cost of TEU
8 is reduced.

9 So the capital costs of TEU are down and the
10 operational costs -- so that's like the insurance and
11 staff are down. And the voyage costs, which is things
12 like fuel, are down by the TEU metric. So that
13 obviously goes into it too.

14 Now, I don't know to what percentage that it is
15 affecting their revenue margin, but it's a factor.

16 Q. But to clarify, you don't know to what
17 percentage their costs -- COSCO's costs affected its
18 revenue margin during the relevant period?

19 A. Precisely, no. I mean I think only the carrier
20 would know that.

21 They will release some information. They will
22 release perhaps in the annual report how much they spent

1 for fuel, for example, that kind of information.

2 But it's -- it's generally information that's --

3 overall, they may have staff numbers but --

4 Q. Did you ask COSCO for its information about
5 costs?

6 A. No.

7 MS. BAYLY: And I think we might be nearing
8 another hour.

9 Does everybody want to maybe continue until 2
10 and then take a lunch break? Is that all right?

11 THE WITNESS: Works for me.

12 BY MS. BAYLY:

13 Q. Thanks. So also on page 9, in the first
14 sentence of the last paragraph, you state, "fuel costs
15 are the most significant element of a voyage cost,
16 estimated at between 45 percent and 50 percent of total
17 voyage costs."

18 What do you mean by the term voyage cost?

19 A. Okay. So like I said, there is three areas. I
20 think it's Martin Stockford -- he wrote a pretty similar
21 book on maritime economics.

22 And he -- and I'm sure it's been done

1 beforehand. But I always hear people refer to the
2 Stockford assessment.

3 You have capital costs, operating costs and
4 voyage costs.

5 And so fuel costs fall within the other voyage
6 costs. Those are the costs that a crew generally
7 asserts during their journey. It's things like fuel.

8 Operational costs are things like your
9 insurance. You know, you're paying that on the vessel
10 regardless of whether it's at port, whether it's moving
11 across the ocean.

12 Then they have capital costs. You know, that's
13 going to be accrued -- well, it depends -- it depends on
14 whether the vessel was bought outright or whether it was
15 leased, the financing terms and how that works. But
16 basically, that's also accruing over time.

17 Basically, those are your three primary costs,
18 you know, for a carrier, at least when it comes to the
19 vessels.

20 Q. Are you familiar with the term vessel cost?

21 A. Yes.

22 Q. Is that the same as voyage cost?

1 A. I mean so it's used in different ways.

2 Vessel costs could be, you know, the capital
3 costs. It depends on how it's being used.

4 Q. And what percentage of total costs of those
5 three costs that you just discussed do voyage costs
6 account for?

7 A. It will vary based on vessel size.

8 But approximately, you know, I think the rule of
9 thumb is about a third.

10 But again going back, you know, to something
11 like a mega ship. The reason why we've seen this drive
12 towards mega ships is based upon the scale that they
13 provide.

14 And so the mega vessel -- and the economics are
15 scale. It's not just the voyage cost -- the voyage
16 cost. They're driving down the costs in all three
17 columns.

18 And that's why you have seen a push towards the
19 mega vessels.

20 There is a reason why everyone is buying them
21 and why they're getting bigger and bigger.

22 It's why you go to Costco, right? You buy a big

1 thing and it costs --

2 COURT REPORTER: Sorry. You froze up.

3 THE WITNESS: If you buy a large unit of
4 something at Costco, the per unit cost is cheaper than
5 buying those units separately.

6 BY MS. BAYLY:

7 Q. So what --

8 A. I say it's the cost savings. In shipping terms,
9 it's the cost savings of the TEU per day.

10 Q. I understand.

11 So what percentage of total costs do fuel costs
12 account for?

13 A. I know that will vary based on vessel,
14 obviously.

15 So these mega vessels operate efficiently at low
16 speeds, which means that their costs are going down.

17 But then you factor in the speed the vessel is
18 moving. The faster a vessel moves, the more the fuel
19 costs. It's not a lineal line. It's almost a squared
20 line.

21 So there's no -- there's no right answer.

22 Generally, as a rule of thumb, fuel costs about

1 one-half of voyage costs.

2 Q. Okay.

3 A. But again, it -- this is a -- this is going back
4 to aggregates and ballpark numbers.

5 It's -- it's less accurate than being able to
6 determine any given -- you know, vessel size, for
7 example.

8 Q. Do you contend that a change in fuel costs
9 accounted for COSCO's improved performance during the
10 relevant periods?

11 A. It would have been a factor, I imagine.

12 I think at the time, fuel costs -- I mean I
13 remember the price of gasoline -- you know, regular
14 vessels don't use gasoline. But if you will recall
15 during the pandemic, gasoline costs plunged as the
16 demand plunged.

17 So I don't have those numbers in front of me.

18 But I am fairly certain that the bunker fuel
19 that container vessels used also dropped. So that would
20 have had an ultimate impact on the revenue, yes.

21 Q. So you -- it's your opinion that fuel costs
22 decreased during the relevant period?

1 A. The price of fuel decreased.

2 Now, you can see in chart Exhibit 5, the speed
3 increased. And so that would have meant that the vessel
4 was burning more fuel.

5 So yeah, I don't think I can say with any
6 accuracy to what extent COSCO's or anyone else's fuel
7 costs in any given year were.

8 Maybe the annual reports state that. I am not
9 aware.

10 But again, back to the point. I mean these are
11 all component pieces of the carrier's costs.

12 Q. Are you familiar with the fuel surcharge
13 mechanism?

14 A. Yes.

15 Q. Can you describe what that is?

16 A. Yeah. So when fuel costs increase, that can
17 obviously hurt the revenue -- or, I'm sorry, the profit.
18 It can increase cost to move cargo.

19 It will pass along to the shippers a fee that's
20 meant, to some extent, to offset that increased fuel
21 cost.

22 Q. So moving on to page 10. You discussed the

1 synergies among COSCO shipping companies.

2 Can you describe what you mean by that?

3 A. Absolutely. So -- so for start, I'm not
4 describing them. That word -- the synergies was taken
5 from the 2016, I believe, report -- yeah, their 2016
6 annual report.

7 And so one of the things we've seen is that in
8 order to help balance out these fluctuations in freight
9 rates and in fuel costs and other factors that impact
10 the carrier's performance that has been an investment to
11 the terminal as well.

12 So this sort of helps diversify a shipping
13 group's profits.

14 And so they can make money from like the
15 container movement, regardless of whether or not the
16 vessels themselves are perhaps making less money due to
17 high freight costs -- I'm sorry, to high fuel costs or
18 low freight reports.

19 So it's more of a diversification.

20 So the synergies -- what that is referring to, I
21 believe -- again, this is a COSCO term.

22 But my understanding is that the various groups

1 have synergies that exist, so directing their own
2 vessels towards their own terminals to help the overall
3 group's revenues.

4 So in other words, they make money transporting
5 the container, and they make money unloading and loading
6 containers, so sort of diversifying their operations.

7 Q. So do you contend that these synergies or
8 diversification of operations, as you call them, caused
9 a decrease in COSCO's costs during the relevant time
10 period?

11 A. That's the thing, that the agreement is made
12 between carriers and terminals is not usually publicly
13 revealed.

14 You know, it's possible that, you know, COSCO
15 ports charges COSCO shipping vessels less than other
16 vessels. But I don't know. I don't have any insight
17 into that.

18 It was reported that, you know, there was
19 some -- some of these relationships, they will lower
20 rates in order to help so the profitability of other
21 sections -- or sectors.

22 So for example, APMT, it was reported that

1 Maersk was charging lower freight rates to help, you
2 know, keep the customers steady and if that could have
3 been offset by APMT's revenue.

4 Q. Did you ask COSCO for any information about how
5 these synergies affected its costs during the relevant
6 time period?

7 A. Again, I have had no outreach to COSCO in any
8 way, shape or form in this report.

9 Q. Okay. So --

10 A. Actually, yeah. That's okay.

11 Q. Did you want to correct that?

12 A. No. I'm sorry.

13 Q. -- or change it?

14 Okay. At the bottom of page 10, you state that,
15 "the cost of vessels combined with voyage costs has led
16 ocean carriers to seek economies of scale by building
17 larger vessels that decrease both the capital cost per
18 TEU and the voyage cost per TEU, both of which can
19 impact a carrier's profits over the long run."

20 Is it your opinion that building larger vessels
21 decreased COSCO's costs over the relevant time period?

22 A. Well, the way you phrase the question -- so it

1 wasn't that they built over the relevant time period.
2 But they already had them in operation during the
3 relevant time period.

4 So I think it certainly would have helped them
5 decrease their TEU cost.

6 But the point is, though, is that that means
7 that this is all to do with market share, right.

8 Like if all things being equal, it costs Carrier
9 A 10 percent less to move a container than Carrier B,
10 they can charge 10 percent less than Carrier B in order
11 to obtain that box, right.

12 So it's to do with being able to -- you know, to
13 be competitive.

14 So it's not just from a cost perspective. It's
15 also from a freight capture perspective.

16 Q. Okay. So is it your opinion that having these
17 larger vessels available and in use during the relevant
18 time period -- strike that.

19 Is it your opinion that COSCO's performance over
20 the relevant time period improved because it had larger
21 vessels in use in that time than prior to the relevant
22 time period?

1 A. Well, I think they were in use prior to the time
2 period too. But it's a factor. I mean all these things
3 are factors, right.

4 The single most important factor is, you know,
5 the freight rates are -- if you have low freight rates,
6 you're going to see overall lower profitability than if
7 you have higher freight rates. All these other things
8 are factors.

9 Q. All right.

10 A. And it's not just factors about the
11 profitability.

12 It's about factors like how -- how you can
13 capture the cargo in the first place.

14 You know, if you have these synergies, you can
15 perhaps lower your freight rate, because you know you
16 will make the money back by taking the cargo to a
17 terminal that is affiliated to the group.

18 Likewise, if you have a larger vessel where the
19 daily slot costs -- the TEU is lower, you can charge a
20 slightly lower freight rate and secure the cargo and
21 still obtain a profit.

22 So you know, this is all part of a more complex

1 broader picture.

2 Q. Understood. So looking at page 13.

3 The last sentence of the first paragraph, you
4 state, "as such, it is perhaps no surprise to see Hanjin
5 lose a higher percentage of TEU volume than the industry
6 as a whole in 2022."

7 A. I apologize. That should be COSCO. How I --
8 how I include that -- I'm amazed that I didn't spot that
9 in my numerous readings. Wow. Yeah. I'm sorry.

10 Q. So also on page 13, you state, "Mr. McCown next
11 considers revenue per TEU, once again comparing COSCO to
12 the industry at large, thereby missing important context
13 by looking at aggregated data rather than at COSCO's
14 peers individually."

15 What important context do you claim is missing
16 to the extent that you haven't discussed it already?

17 A. Well, it's the context of its peers.

18 It's how it's -- again, this comes back down to,
19 if I understand the question correctly, it's the -- by
20 comparing it to industry at large, you'll -- you know,
21 one is forced to incorporate various assumptions and
22 then extrapolate it from the data rather than looking at

1 the peers -- peer performance.

2 So again, it's -- the context is like an apples
3 to apples comparison.

4 If I go back to the example I used earlier,
5 let's say I compare -- someone asked about an average
6 experience on the West Coast ports over a given time
7 period.

8 The context of how Prince Rupert, Vancouver,
9 Seattle, Tacoma, Oakland -- their import experience is
10 lost. Because really, it's the dominance of L.A. and
11 Long Beach that's there.

12 So that's the context I'm talking about. It's
13 literally the average cost on the West Coast increased
14 by X percent.

15 Well, what you're really saying is L.A., Long
16 Beach primarily changed by X percent. You're missing
17 out on that context.

18 It's the same way as this. It's the -- by
19 adding everything together, you're unable to see how
20 individual carriers performed and what their experience
21 was.

22 So I think that's the context I'm describing.

1 It's the -- it's the comparing, you know --
2 comparing -- it doesn't make sense in my mind to look at
3 the -- you know, to make some assessments and then
4 extrapolate up and then compare COSCO's experience when
5 you can just look at COSCO's experience and compare
6 COSCO directly to their peers.

7 You know, it's sort of taking one step with --
8 and then another step, both of which involve uncertainty
9 when you just can't -- don't take those steps. Just
10 start at the beginning and just do the comparison at
11 that point.

12 Q. Are you familiar with Ocean Network Express?

13 A. Yes.

14 Q. What is that?

15 A. It was an effective merger between three
16 Japanese carriers to enter a single operation.

17 They still report their finances, I believe.
18 But they operate sort of like a joint alliance. It's
19 one alliance. But they operate as a single company.

20 Q. Do you consider Ocean Network Express to be one
21 of COSCO's peers?

22 A. I mean when I say peers, I mean all the major

1 carriers. So yes.

2 Q. And why did you not conclude -- include them --
3 or it as a comparison?

4 A. I believe that data was not included in the
5 Alphaliner Monthly Monitor.

6 MS. BAYLY: Okay. We can go off the record and
7 take a quick lunch break, if that works for everybody.

8 MS. MASSEY: Sounds good. When do you want to
9 come back, Melissa?

10 MS. BAYLY: Is 2:30 okay?

11 MS. MASSEY: 2:30 works for us.

12 (Thereupon, a lunch recess was taken, after
13 which the deposition resumed as follows:)

14 THE WITNESS: Ms. Bayly, can I clarify one of
15 the things I said at the very end?

16 MS. BAYLY: Sure.

17 THE WITNESS: You were asking about O.N.E, ONE.
18 And I said the data wasn't available. So I
19 double-checked. So the data wasn't available for '19
20 and '20. Whereas it was available for '21 and '22.

21 So just for a continuation of the series, I
22 dropped that from Exhibit 10 and 11.

1 There's incomplete data. Rather than -- I think
2 I said there was no data. It was just incomplete --
3 incomplete data series.

4 BY MS. BAYLY:

5 Q. Got you. So I think we left off on page 13.
6 Let's turn to page 15.

7 In the first paragraph, you state, "even
8 marketing decisions can play a role in a carrier's
9 freight revenue."

10 Can you explain what you mean by this?

11 A. Yeah. So this comes back to the concept of the
12 carriers being part of a bigger -- a larger group, a
13 larger entity.

14 And so there are two factors. Firstly, the
15 quote I have where it said the term initially, Maersk
16 didn't raise its rates as high as some of the other
17 carriers. And that was, you know -- according to the
18 reporting, was in relation to, you know, maintaining
19 long-term loyalty with their customers.

20 But it's also the month decision long term as
21 well for -- or a group that has carriers and terminal
22 operating. So perhaps they may have lower freight rates

1 to help direct cargo to their terminals.

2 So what they might miss out on in the freight
3 rates, they make up on the terminal side of the
4 equation.

5 So both of those would factor into those
6 marketing decisions.

7 Q. Do you have any examples of when COSCO's
8 marketing decisions played a role in its freight
9 revenue?

10 A. I mean that would be entirely internal.

11 I'm hear some noise.

12 COURT REPORTER: Yes, I hear that noise too. I
13 don't know what it is.

14 MS. MASSEY: I hear something too. Let me see
15 if it's on my end. Just a moment.

16 Okay. I think I figured it out. It should be
17 done.

18 THE WITNESS: Yeah. So this was -- marketing
19 decisions are fairly internal.

20 But you do see -- like I have that quote from
21 COSCO saying that there was synergies, right. So that's
22 referring to those marketing decisions, that, you know,

1 the whole group can make marketing decisions to help the
2 whole company -- the whole group.

3 BY MS. BAYLY:

4 Q. So is it your opinion that marketing decisions
5 caused COSCO's increased performance during the relevant
6 -- or improved performance during the relevant time
7 period?

8 A. You mean financial performance?

9 Q. Yes.

10 A. I mean I would argue that marketing decisions
11 are sort of a factor.

12 But the overall performance of any carrier at
13 any point, right -- it's part of doing business.

14 Again, I think the -- you know, this -- there
15 are many components that go into the financial
16 performance of a carrier. And I think marketing
17 decisions is one of them.

18 Q. Do you have any information about COSCO's
19 marketing decisions during the relevant time period?

20 A. I do not.

21 Q. Also on page 15, you state, "another potential
22 reason for why some carriers were able to post higher

1 average rates per TEU growth than others is in how their
2 fleets were deployed."

3 Can you explain what you mean by this?

4 A. Yes. So if we go back a step, as both Mr.
5 McCown and I pointed out, freight rates have a
6 significant impact on revenue.

7 Now, freight rates aren't even across every
8 trade. And more importantly, they move up and down
9 evenly across every trade.

10 So what we saw during this period is -- as I
11 mentioned before, in New York, we had those fiscal
12 stimulus checks. And we had a very rapid shift to work
13 from home.

14 So that meant that very quickly in the pandemic
15 -- so like by May or June, we were already seeing in
16 North America an uptick in cargo volumes.

17 That was because, you know, consumers -- among
18 things, consumers were spending more money, and so there
19 had to be more imports to meet that demand. So that
20 would have driven up the freight rates.

21 Again, it's market economics. And market
22 factors supply and demand.

1 So demand increased. Therefore, the freight
2 would increase.

3 In Europe, the, you know, different governments
4 approached it in different ways.

5 But the way the U.S. was handing out large
6 checks very early on was a difference in our area.

7 And so you didn't see the volumes returning to
8 Europe quite so quickly.

9 So that meant the freight rates on the Asia and
10 New York America routes surged as elsewhere in the
11 world.

12 Now, eventually, by the time the supply chain --
13 the supply chain crisis really became a big issue, there
14 was no vessel anywhere that could be -- you know,
15 they're pulling vessels off the dry dock.

16 They were carrying containers aboard noncellular
17 vessels.

18 So a cellular vessel is one designed to carry
19 specific containers. So they were using anything they
20 could find.

21 So by the worst point of the supply chain
22 crisis, freight rates were high everywhere.

1 But early on, it was something that was led in
2 North America. So that's what I'm referring to.

3 To answer your question, I think I may have
4 missed your question then. You had asked why deployment
5 matters. So that's why deployment matters.

6 So carriers that had more exposure early on to
7 the North American market were -- you saw those increase
8 first and so would have had a larger -- more to gain as
9 it were.

10 Q. Was COSCO one of those carriers?

11 A. Yes.

12 And you can see that in figure 13 -- I'm sorry,
13 Exhibit 1. You can see January, 2020, when sort of
14 COVID began -- this is far Eastern Europe, North
15 America.

16 And I point out in the text that North America
17 as well -- but this is combining. And so these are the
18 two, North America and Europe from Asia. So they were
19 getting rid of the single competitors. And that's where
20 we saw rates going up.

21 Q. So could you just explain to me then what this
22 chart means? Just interpret then what this chart is

1 saying about COSCO.

2 A. Sure. So if you look at the orange bar -- so
3 there are two colors in this chart, the orange and the
4 blue.

5 So the combination of the two is the total
6 amount of capacity each carrier had between the Far East
7 and North America in orange and Europe in blue.

8 So you can see -- if you compare the orange
9 bars, you can kind of see the additional capacity that
10 COSCO was operating, which means that COSCO was able to
11 take advantage initially from these higher freight
12 rates.

13 Now, if you then look at Exhibit 14, this is
14 showing two and a half years later, July of 2022. And
15 you can see that there are many other carriers that have
16 shifted capacity to that trade route and also to the
17 European trade route.

18 And you can see Maersk now has -- the collision
19 of the two. Maersk now operates more capacity than
20 COSCO overall across the two trade routes.

21 But even looking at just North America, you can
22 kind of see that the -- the additional volume that's

1 being shifted to that trade route.

2 And specifically, if you look at the other
3 category, that's the other category -- sorry, other
4 carriers -- the smaller carriers who are able to take
5 advantage of the high freight rates, like Maersk and
6 some others.

7 Q. I see. And do you have a comparison of how
8 COSCO's capacity changed from 2019 to 2020?

9 A. From 2019 -- I mean I have access to -- it's not
10 in the report.

11 It's the sort of thing that outlines -- in the
12 Alphaliner Monthly Reports, they do describe in detail
13 capacity by carrier -- you know, across the different
14 routes. And so the data is there each month.

15 Q. So is it your contention that COSCO's improved
16 financial performance over the relevant time period was
17 a result of the way that it was deployed?

18 A. Again, it was a factor.

19 There is no one thing that resulted -- you know,
20 their financial performance is a factor of many things,
21 you know, the marketing choices, fleet deployment.

22 But you know, like I said, one of the things was

1 the freight rates. That's going to drive profits as
2 well.

3 So there's no -- I'm not contending that any one
4 specific factor is driving COSCO's financial
5 performance.

6 I'm saying that it's many things.

7 Q. So do you have any evidence that each of the
8 factors we've just identified altogether caused COSCO's
9 improved financial performance over the relevant time
10 period?

11 A. No. But --

12 MS. MASSEY: Objection. Okay. Objection to
13 form.

14 You can answer, Daniel, if you understand what
15 she's trying to get at.

16 THE WITNESS: Yeah. I -- I'm not a hundred
17 percent sure.

18 But my point is is that freight rates --
19 improving freight rates leads to improving profits.
20 That is a factor.

21 But there are other factors too.

22 I did not -- I mean I don't know if it's

1 possible to figure out to what any one -- you know, any
2 of these individual components is -- I don't think I
3 could figure out the financials, what percentage each of
4 these accounts for in their overall profits at the end
5 of the day.

6 You know, there are so many factors. It's how
7 much are they paying their -- the staff aboard their
8 vessels, what are their fuel costs. Because fuel costs
9 vary around the world, depending on where they're
10 bunkering.

11 There are all these different factors. And
12 that's something that they will know internally but very
13 rarely is released at a level that you can interpret
14 into the question that you're asking.

15 You're asking -- it seems to me you're asking if
16 there's -- you know, what percentage do each of these
17 things account for. It's not -- that's something that
18 they will probably know internally.

19 Q. I know. But I'm asking if you have any evidence
20 specific to COSCO that any of these factors collectively
21 caused its improved financial performance over the
22 relevant time period.

1 A. Well, I mean that's the argument I'm making that
2 these are the factors that go into -- or these are some
3 of the factors that go into their financial performance.
4 Like I said, there are many factors.

5 So no, I don't have direct evidence that ties it
6 together.

7 But these are -- these are the factors that go
8 into financial performance. It's the cost. It's the
9 marketing. It's the deployment. It's the, like I said,
10 revenue from the freight rates.

11 Q. And could detention and demurrage and similar
12 excess oil charges also be a factor that contribute to
13 financial performance?

14 A. Yeah. I suppose it could be.

15 But as Mr. McCown points out, it was a tiny
16 percentage.

17 So you know, again, I can't say with any
18 specificity to what extent it factors into the financial
19 performance.

20 But it is a revenue item -- line item in their
21 internal accounting. It's --

22 Q. What do you mean by as Mr. McCown points out,

1 it's a tiny percentage?

2 A. He -- I'm sorry. Just give me one moment.

3 Q. Take your time.

4 A. I think it's table 9 is the one I was looking at
5 where -- and again, this is based on extrapolations.

6 But his assessment is is that D&D fees account
7 for 1.53 percent of revenue across the top 9.

8 Q. You're looking at table 9?

9 A. Yeah.

10 MS. MASSEY: That's on page 28 of the report.

11 THE WITNESS: Yeah. It's 28, yeah.

12 BY MS. BAYLY:

13 Q. Sorry. Explain to me again how you're
14 interpreting this.

15 A. Actually, let's look at table 8. It's even
16 better.

17 So table 8, Mr. McCown posits that -- he
18 inflates the revenue of the top nine carriers and has --
19 it's determined based on, I think -- I'd have to
20 double-check. I think his D&D fees are his measurement
21 to the FMC index.

22 And so at the FMC level, he's posting that D&D

1 fees in '20, '21, '22 accounts for between .85 percent
2 and 1.62 percent of their revenues.

3 So it's -- yes. You know, yes, you ask is it
4 important to their revenue. Yes. But it appears to be
5 a very small portion.

6 Yeah, it's table 8, page 26.

7 Q. Got it.

8 So I'm turning back to your report. Looking now
9 at section 3.2, and we'll start on page 17.

10 On page 17, you state that, "much of Mr.
11 McCown's second assertion is related to the difference
12 in demurrage and detention costs in the United States
13 versus the rest of the world."

14 What do you mean by that?

15 A. So I draw your -- so if I can point you to --
16 sorry. One second here.

17 So in Mr. McCown's table on page 29, he talks
18 about the Container Exchange demurrage and detention
19 costs, the \$568, \$868, \$664 and \$501.

20 So again, as I explained before, those aren't
21 actual numbers collected from shippers.

22 Those are -- it's like an index designed to be

1 -- these are the report -- Container Exchange Report, a
2 conceptual idea of the average D&D fee that would exist
3 at that 14 day point at the global level.

4 So that is based across all of the ports that
5 the Container Exchange Report incorporates.

6 Now, if you look at that same report he quotes
7 from, it has a -- and the rest of the dates are in the
8 table in the exhibit.

9 The U.S. and Canadian ports have significantly
10 higher rates at that 14 day point than the rest of the
11 world.

12 So Mr. McCown is, in his analysis, using a low
13 rate because it's based on a global number and then
14 comparing it to VCC's experience which occurred in a
15 North American instance, which is a much higher
16 percentage -- or a much higher dollar value.

17 And so he's comparing a difference -- a
18 significant difference. He is comparing a global
19 average rate to the U.S.

20 And again, I want to point out that again, the
21 Container Exchange Numbers are not actual experience
22 numbers. They are -- it is an index.

1 Yes, it's in U.S. dollars. But it's designed to
2 be an index to provide some context into the various
3 global market, whether it's the U.S. port or a European
4 port.

5 Q. Doesn't Mr. McCown also compare COSCO's rates to
6 the cost of ownership and maintenance of its containers?

7 A. Yeah. To that effect, I'm not entirely sure of
8 the relevance of that.

9 Q. Would you agree that Mr. McCown is analyzing the
10 reasonableness of COSCO's detention and demurrage fees
11 as compared to the cost of actually owning and
12 maintaining the containers?

13 A. Again, that falls outside the scope of my
14 report.

15 I wasn't looking at the reasonableness -- or how
16 the detention and demurrage fees were -- were calculated
17 or, you know, how the carriers assemble their numbers.
18 That was outside of my report.

19 Q. And how is it outside the scope of your report
20 if your report was a rebuttal to Mr. McCown's report?

21 A. Well, again, the focus of my expertise is on
22 maritime trade and transportation and carrier

1 performance and carrier marketing choices, strategic
2 planning.

3 The calculation of demurrage and detention is
4 sort of a very, very small niche part of that.

5 And so it falls outside of my area of expertise
6 to try and figure out what is -- and what goes into that
7 cost.

8 But you know, again, the -- the Container
9 Exchange report that Mr. McCown analyzed or used as a
10 reference showed that COSCO had lower rates on average
11 than other carriers, and North American rates are much
12 higher than other carriers.

13 So again, I'm relying on the -- the numbers that
14 are being charged rather than how the numbers were
15 created in the first place.

16 Q. Understood. So -- but are you offering an
17 opinion as to the reasonableness of those numbers or are
18 you just offering an opinion as to whether those numbers
19 are consistent with other carriers?

20 MS. MASSEY: Objection. Calls for a legal
21 conclusion.

22 THE WITNESS: Yeah.

1 MS. MASSEY: Answer if you have anything to add
2 outside of that.

3 THE WITNESS: I don't believe I'm doing either
4 of those.

5 Mr. McCown was pointing out that COSCO was
6 piggish.

7 And so my analysis is that, you know, focused on
8 COSCO and the facts that exist.

9 You know, the facts that exist show that at that
10 14 day point, COSCO's rates were, on average, lower than
11 other carriers and -- both in North America and globally
12 and that North American rates were much higher across
13 the globe.

14 And Mr. McCown was using average global rates
15 when making a comparison to the North American
16 experience, which in my mind doesn't make sense.

17 Again, this comes back to apples and apples
18 comparisons.

19 BY MS. BAYLY:

20 Q. So section 3.2 of your report is titled a
21 response to McCown's -- "Mr. McCown's assertion 2, which
22 is COSCO's revenue per diem for demurrage and detention

1 relative to actual underlying cost makes the
2 unsupportable VCC billings even more unreasonable."

3 Do you offer an opinion in response to Mr.
4 McCown's contention that COSCO's billing of detention
5 and demurrage charges to VCC were unreasonable?

6 A. I'm not sure I am answering the question.

7 What I'm doing is examining Mr. McCown's
8 assessment and pointing out the flaws -- what I perceive
9 to be the flaws in his assessment and to why his
10 assertion is incorrect.

11 Q. His assertion -- his assertion is that COSCO's
12 billing was unreasonable.

13 A. Uh-huh.

14 Q. Do you offer a response to that assertion?

15 A. Well, yeah. I am pretty sure the -- yes.

16 So in his section -- his attempts to show that
17 it was unreasonable, I think, omit key points of data.

18 So for example, the fact that, you know, COSCO
19 is a shipper -- I'm sorry, COSCO is a carrier that
20 billings -- well, their rates appear to be lower on
21 average than other carriers.

22 Again, it comes down to, I believe, that Mr.

1 McCown is relying on yard storage fees to increase
2 the -- what he is stating as the costs, the VCC
3 experience.

4 And he's comparing a North American experience
5 to a global experience. So I am pointing out that
6 this -- his assertion that it's unreasonable is based on
7 flawed data points.

8 Q. What about his assertion that it's unreasonable
9 based on -- that the charges billed for detention and
10 demurrage are unreasonable as compared to the -- strike
11 that.

12 In his -- the assertion that you're responding
13 to here, he says that COSCO's revenue per diem for
14 demurrage and detention relative to actual underlying
15 cost makes their charges unreasonable.

16 A. I see what you're saying. I focused on the --
17 I'm sorry.

18 Q. Go ahead. I think you're going to answer my
19 question anyway. But it's just do you have a response
20 to that?

21 A. I apologize. I keep talking over you.

22 Yeah. I focused on the first half of the

1 sentence, which is his calculation of the comparison.

2 I didn't look into the underlying costs at all.

3 That was outside the scope of my report.

4 Q. Okay.

5 A. Again, you know, I think he was trying to say

6 that the cost of the container box is the main factor.

7 But you know, this is a period when you couldn't

8 buy a box even if you wanted to. And even if you could

9 buy it, you couldn't get it to where you wanted it.

10 So again, my response here is pointing out I

11 believe that he was analyzing the wrong -- the wrong

12 data points.

13 Q. Of his report -- we will find that. We will

14 find that in his report.

15 He states that, "COSCO's per diem demurrage

16 rates at U.S. ports range from 115 times to 354 times

17 the total ownership and maintenance costs of one of its

18 40 foot containers."

19 Do you disagree with that assertion?

20 A. I believe I do.

21 Actually, I think his calculation of the rates

22 -- COSCO's per diem demurrage rates -- I don't recall

1 where he -- give me a moment, if you would.

2 Oh, yes. He was -- okay. So first of all, I am
3 not sure how he calculated that number, so that's a
4 little unclear to me.

5 I think he was using the Container Exchange
6 data.

7 But he also doesn't compare it to other
8 carriers.

9 So I don't have a frame of reference for whether
10 or not it's, you know, a realistic number, a meaningful
11 number.

12 It's a number. I don't know if it's calculated
13 accurately.

14 It's not clear to me how it's generated. And I
15 don't know how it relates to anything else.

16 Basically, it was outside the scope of my report
17 as well, you know, the demurrage rates.

18 Q. What role, in your opinion, does opportunity
19 costs play in the assessment of detention and demurrage
20 charges?

21 A. So I mean conceptually, the point of demurrage
22 and detention charges is to help the carriers move empty

1 containers back efficiently to Asia in the case of the
2 North American experience or I guess all your -- let me
3 rephrase that.

4 It's to get the carriers -- help them move the
5 containers back to where they need to go to be filled
6 again, to be brought back loaded to a market.

7 So in the sense of North America and Asia, it's
8 to facilitate the swift movement of containers off the
9 terminal and then the swift return of the container to
10 the terminal, so that it can then be returned to Asia to
11 be filled up again.

12 The opportunity cost is essentially -- you know,
13 if you have the opportunity to fill that container up,
14 it's going to be higher than if there is no opportunity.

15 So when -- during a global recession, for
16 example, and there's more vessel capacity than there is
17 cargo demand, the option to cost is much lower.

18 Whereas in a situation where freight rates are
19 high due to cargo demand outstripping vessel capacity,
20 then the opportunity cost is higher.

21 Q. So was the opportunity cost lower during the
22 COVID related supply chain crisis?

1 A. No. It would be higher.

2 Q. Higher? Why would it be higher?

3 A. Because the freight rates were high. Therefore,
4 the cost of not being able to transport a container is
5 high.

6 Q. Were the carriers able to transport all
7 containers that were available?

8 A. So there was significant rolling of the cargo.
9 So that's a term where a vessel leaving Asia wasn't able
10 to carry all the cargo that was waiting.

11 So the congestion that we're talking about
12 wasn't just in North America. It was in Asia as well.
13 There was a lot of cargo on the terminal coming out of
14 factories and warehouses in Asia.

15 And so, yeah, the opportunity to move cargo
16 existed.

17 Whether you actually could is another matter
18 entirely.

19 Q. What do you mean by whether or not you actually
20 could?

21 A. Well, if your vessel is full, you cannot load
22 the cargo -- or you can't load anymore cargo onto the

1 vessel.

2 So then it comes down to can you get your hands
3 on additional vessel capacity to move more cargo.

4 Q. So in a situation where port congestion prevents
5 the container -- a container from being loaded onto a
6 ship, is there any opportunity cost to a carrier from
7 not having that container?

8 A. Are we talking about the -- a loaded container
9 not being able to leave Asia or a -- I'm sorry -- a
10 whole container leaving North America?

11 Q. Leaving North America.

12 A. I'm sorry, your question was is there any
13 opportunity lost?

14 Q. Yes. Is there any opportunity cost of not
15 having that container available if the port congestion
16 is preventing the container from being loaded onto a
17 carrier ship?

18 A. Yes. Because at the end of the day, there is
19 still a shortage of containers. So there was still an
20 opportunity lost.

21 There was a shortage of containers in Asia. So
22 there wasn't a need to have empty containers in Asia.

1 Q. Right. But what I'm saying is if the carrier is
2 not able due to poor congestion in the U.S. to load the
3 empty container onto one of its ships, is there any
4 opportunity cost?

5 A. Yes. If there's a shortage of containers -- I
6 mean maybe not that same day. But it's all that instant
7 connected network.

8 So if there is a shortage of containers to load
9 cargo in -- so some of the manufacturing containers shut
10 down in COVID, so there was a long delay in container
11 manufacturing starting up again.

12 So yes, certainly, a shortage of containers. It
13 became very difficult to book a container for the export
14 cargo for some shippers in Asia.

15 Q. With respect to COSCO specifically, are you
16 claiming that COSCO always had capacity on its ships to
17 load all of the available empty containers in its
18 terminal?

19 MS. MASSEY: Objection. Mischaracterizes his
20 testimony.

21 Daniel, you can answer.

22 THE WITNESS: Yeah. I think it was reported

1 that vessels were leaving without, you know, fully
2 loading the empties that existed in the North American
3 market.

4 But again, this comes down to decisions that
5 were being made at the time by carriers and other
6 stakeholders in the supply chain as to what they needed
7 to prioritize.

8 And that's partly why some of the carriers
9 brought in sweeper vessels to pull out all the empty
10 containers once in an efficient manner that didn't bring
11 with it the unloading of cargo coming in things.

12 All the problems were when the vessels arrived
13 in that container, part of it has to unload all that
14 cargo, which means there is now volume in the cargo.

15 If you are not unloading that cargo in the first
16 place, there is more availability to move the empty
17 containers onto the sweeper vessels. So that's why
18 they're using sweeper vessels.

19 Q. Was COSCO using those vessels?

20 A. I don't know for sure if COSCO was or if, you
21 know, the alliance as a whole -- the actual alliance
22 shared a vessel. I don't know.

1 Q. Turning to section 3.6 of your report, looking
2 at page 36. You are discussing, "Mr. McCown's assertion
3 that terminal congestion issues that resulted in VCC's
4 demurrage and detention charges were due to COSCO's
5 failure to properly manage its terminal operations at
6 the macro level."

7 And do you disagree with this assertion?

8 A. Sorry. Where did you just read?

9 Oh, oh, the first sentence of paragraph 2. Let
10 me just read it.

11 Yes. I disagree with that -- with -- so the
12 global supply chain crisis, like I said, was an end to
13 end supply chain.

14 You know, even if the -- Mr. McCown is sort of
15 asserting that it's COSCO's failure at the terminal
16 level.

17 But the problem is is that the warehouses in the
18 U.S. were full. You didn't have enough warehouse
19 workers to help move cargo in and out efficiently.

20 You had a shortage of drivers -- truck drivers
21 to move containers around internally and between ports
22 and warehouses.

1 Dock workers at U.S. ports were ill with COVID,
2 you know.

3 These were all issues that were, you know,
4 outside COSCO's control.

5 But then on top of that, it was COSCO's terminal
6 operator that has a minor stake in one terminal -- it's
7 not a terminal operator. It's -- at least not in North
8 America.

9 Most of COSCO's -- so the COSCO group -- and
10 again, this is where we have to be careful about talking
11 about COSCO as a carrier and COSCO as a terminal
12 operator.

13 But COSCO, the terminal operator, is focused on
14 Asia. There, that terminal is primarily in Asia. They
15 have some, I believe, in Greece and a couple of other
16 locations but primarily in Asia.

17 So to say that, you know, COSCO was failing to
18 manage its terminal operations, you know, this was a --
19 this was a global crisis.

20 Every aspect of the supply chain was, you know,
21 involved in that crisis.

22 And to try to pin it on a single carrier is -- I

1 just don't think that can be justified.

2 Q. Did COSCO seek any actions to mitigate the
3 congestion at its terminals?

4 A. Yeah. I mean everyone was involved in -- yeah.
5 So there were -- carriers would work with terminals and
6 ports and the federal government and --

7 Q. I'm asking specifically about COSCO.

8 A. I would assume so. I don't know for sure.

9 I would assume that COSCO as a carrier -- as a
10 major carrier was involved, and they're a stakeholder.

11 I would find it very surprising if COSCO was not
12 considered a stakeholder and not invited to its
13 meetings.

14 Q. Are you aware of any specific actions that COSCO
15 took at the Maher Terminal, for example?

16 A. The Maher Terminal? I know -- so the terminal
17 took -- so some of the recommendations that were put
18 out -- and I believe COSCO was one of the carriers that
19 was involved in this -- or signed onto this was to
20 provide notice in advance for vessel delays.

21 So that -- you know, other members in the supply
22 chain were noticed in a timely fashion. (Technical

1 difficulties.)

2 COURT REPORTER: Excuse me, other members of the
3 supply chain?

4 THE WITNESS: This is like where the other
5 members -- where a truck comes with an entity and it
6 picks up a load on the way out. So it's basically -- it
7 means that a single truck can do two pieces of work, as
8 it were, with a single visit.

9 And that's certainly something that COSCO
10 probably was involved, I'm assuming, in the process.

11 But I have no knowledge of COSCO specifically
12 doing something. Like I said, these are all
13 interconnected.

14 You know, there are many uses of a single
15 terminal.

16 Like the Maher Terminal, it's not just COSCO.

17 So it's not as if a carrier is operating in a
18 vacuum. They're all stakeholders, and they all have to
19 get together to work -- you know, to work to help
20 increase fluidity.

21 MS. BAYLY: Can we take a quick 10-minute break?

22 MS. MASSEY: Sure.

1 MS. BAYLY: Back at 3:22?

2 MS. MASSEY: Sure.

3 (Thereupon, a recess was taken, after which
4 the deposition resumed as follows:)

5 BY MS. BAYLY:

6 Q. Would it be surprising to you to learn that a
7 carrier had chartered out tonnage during the global
8 supply chain crisis?

9 A. No. I was well aware that some of the shippers
10 took matters into their own hands. They're my carriers.

11 A lot of carriers also chartered tonnage
12 routinely.

13 When you said tonnage, you mean container
14 vessels?

15 Q. Yes.

16 A. Yeah. There are two ways for a carrier to
17 operate container vessels. They can either purchase
18 them or charter them.

19 And that's one of the things that led to
20 Hanjin's downfall. They locked themselves into very
21 high charter rates during a period of low freight rates.
22 And so that eventually led to massive profit shortfalls.

1 So yeah, I mean it wouldn't surprise me. It's
2 par for the course, as it were.

3 Carriers have, you know, their fleets
4 partially -- well, to some extent, some of them rely on
5 ownership. Some rely on chartering. Others rely on the
6 connection of the two. And the majority do both.

7 Q. And do you think they were doing both during the
8 global supply chain crisis?

9 A. I mean there was no vessels available by the end
10 of it. At the depths of the crisis, there was no
11 vessels that could be chartered that weren't chartered.

12 Vessels can be pulled out of a dry dock.
13 Vessels that don't typically carry containers were
14 carrying containers.

15 You know, carriers were trafficking anything
16 into service that they could. Again, it comes down to
17 the freight rates are high.

18 When the freight rates are high, that's the
19 key determining factor on revenue.

20 Q. Do you consider Mr. McCown to be a known expert
21 in the industry?

22 A. On the finances of carriers, he releases the

1 monthly report.

2 I don't know too much about Mr. McCown beyond
3 the reports and what I learned in this case.

4 But I think he's well known within the field,
5 yes.

6 Q. Returning to Mr. McCown's analysis of global
7 detention and demurrage income.

8 Would it have been helpful for Mr. McCown to
9 have considered COSCO's global detention and demurrage
10 income from 2019 to 2022 to compare it to total revenue?

11 A. I suppose it -- can you ask me again?

12 I think it's hard to do an analysis which to
13 compare -- say it again. COSCO's -- the revenue they
14 earned from demurrage and detention in comparison to --

15 Q. Total revenue.

16 A. -- total revenue?

17 I think if it can be done with all the carriers,
18 then that would be -- again, my approach is always peer
19 to peer.

20 Otherwise, you're comparing an, you know,
21 extrapolation. It's less meaningful.

22 If you compare -- if you can compare it for like

1 for like, then perhaps.

2 But again, I also feel like the global number is
3 much less meaningful than the North American number.

4 Because the North American number is a different
5 scale.

6 If I could draw your attention to my Exhibit 28,
7 you can clearly see that the difference in -- I'm sorry.
8 Give me a moment. It's page 35.

9 Q. Page 25?

10 A. Sorry. Page 35 and Exhibit 28. Again, these
11 are the Container Exchange numbers. These are -- these
12 are not revenue numbers. Like I said, this is an index.

13 But the point is is you can see that U.S. ports
14 and the very first tall line is Vancouver, so North
15 American points -- the charges at that two week point,
16 it's a different scale to the rest of the world.

17 So I think trying to -- you know, if you're
18 trying to draw conclusions between COSCO and other
19 carriers, it makes sense in my mind to compare COSCO and
20 other carriers in North America and COSCO -- and COSCO
21 and other carriers outside North America.

22 Because the -- and again, it's a peer to peer

1 analysis in both cases.

2 Because as soon as you -- this is why I think
3 averages here are not great. Because as soon as you
4 average all those numbers, you end up somewhere between,
5 right.

6 So that's why given that such a stark difference
7 between North America and the rest of the world, I would
8 argue that one should be comparing them separately.

9 Q. So would it have been helpful for Mr. McCown's
10 analysis or would it be helpful for an analysis of
11 detention and demurrage rates to have North America
12 detention and demurrage income to potentially compare it
13 to total revenue?

14 A. For carriers?

15 Q. For COSCO specifically.

16 A. On its own, it would come back to the same issue
17 I've had all along, which is you're comparing one
18 carrier to a -- you know, a potentially inaccurate
19 industry wide number.

20 And that's -- again, this is coming -- one would
21 be creating the industry wide number based on several
22 assumptions and then extrapolating it out and then

1 hoping it's a meaningful relationship, when I don't
2 think -- that's not the way I like to do my analyses.

3 I prefer doing, you know, peer to peer.

4 Q. So it would -- is it your opinion that it would
5 not be useful in considering the reasonableness of
6 COSCO's detention and demurrage fees to consider their
7 actual fees -- the actual income they received from
8 those fees during the relevant time period?

9 MS. MASSEY: Objection. You're calling for
10 another legal conclusion.

11 Daniel, to the extent you can answer, go ahead.

12 THE WITNESS: Again, I'm not sure of the legal
13 side of things.

14 But it was outside the scope of my report. I
15 didn't look at the reasonableness of the charges.

16 BY MS. BAYLY:

17 Q. Would it have been helpful for Mr. McCown to
18 have considered COSCO's overall capacity and volume
19 figures for the years 2019 through 2022 in order to
20 calculate capacity utilization levels and trends?

21 A. Sorry, would it be useful to look at the
22 capacity in -- again, in comparison with other carriers?

1 I think it's insightful.

2 It depends what he was -- in what context. You
3 know, it's -- I think it's always useful to look at
4 data, right.

5 So I'm not quite sure what question he was
6 trying to answer in that hypothetical.

7 Q. Understood.

8 A. And the utilization was very high during the
9 period of the pandemic.

10 So I'm not -- I'm not sure what he would -- I
11 mean Mr. McCown, I'm sure, knows that. So I'm not sure
12 what we find out by the utilization levels.

13 I don't know how to answer that question.

14 Q. That's okay. I understand your answer.

15 Okay. So have you had a chance to review the
16 amended report that Mr. McCown submitted on Friday?

17 MS. MASSEY: Objection. That's outside the
18 scope of this deposition. We already said that.

19 MS. BAYLY: Okay. I'm going to direct the
20 witness to answer unless you are going to make a motion
21 otherwise.

22 MS. MASSEY: You can -- Daniel, you can answer

1 whether or not you've had the opportunity to review it.

2 Any further questions on this matter, Melissa,
3 and we're going to go off the record.

4 THE WITNESS: I downloaded the updated report --
5 the updated expert report and took a brief look at the
6 red lines.

7 BY MS. BAYLY: Okay. So I have questions about
8 the amended report. If you're going to object --

9 MS. MASSEY: We're going to instruct the witness
10 not to answer those.

11 MS. BAYLY: So then pursuant to the rules, we'd
12 have to hold the deposition open pending your motion.

13 MS. MASSEY: Yeah. Let's do that.

14 MS. BAYLY: Okay. That -- we can go off the
15 record now.

16 (Thereupon, a recess was taken, after which
17 the deposition resumed as follows:)

18 MS. MASSEY: I wanted to get this on the record
19 and just let me be clear.

20 The purpose of this deposition is for you to
21 question Mr. Hackett about his July 21st, 2024, rebuttal
22 report.

1 And you are free to ask any question on that
2 topic that you wish.

3 However, the revised expert report that we
4 received from Jennifer on Friday, September 27th, at
5 8:07 p.m. Eastern, is not on the table.

6 I instructed my client not to answer any
7 questions about Mr. McCown's September 27th revisions.

8 If you wish to re-open the deposition, you may
9 do so over our objection.

10 Now, would you like to go ahead and ask any
11 further questions you may have about Mr. Hackett's
12 report or shall we be taking another half hour break?

13 MS. BAYLY: I'm actually going to ask some
14 questions about Mr. Hackett's ability to review the
15 amended report.

16 I understand that you will and can instruct your
17 witness not to answer.

18 But I'm going to put those questions on the
19 record.

20 BY MS. BAYLY:

21 Q. First, Mr. Hackett, did you have a chance -- I
22 know you testified that you reviewed the red line.

1 Did you have a chance to evaluate whether any of
2 your conclusions would have to be changed in response to
3 Mr. McCown's revised report?

4 MS. MASSEY: Objection. Outside the scope of
5 today's deposition.

6 Mr. Hackett, please do not respond to that
7 question.

8 BY MS. BAYLY:

9 Q. Mr. Hackett, how long would you need to evaluate
10 and respond to Mr. McCown's revised report?

11 MS. MASSEY: Objection. Outside the scope of
12 today's deposition.

13 Mr. Hackett, please do not respond.

14 BY MS. BAYLY:

15 Q. Based on your review of Mr. McCown's revised
16 report, did he add any new substantive arguments?

17 MS. MASSEY: I'm going to again object and
18 instruct Mr. Hackett not to answer this question.

19 BY MS. BAYLY:

20 Q. Would you agree that the only changes Mr. McCown
21 made to his report were corrections to the amount of
22 accessorial charges VCC contends that COSCO assessed?

1 MS. MASSEY: Objection. And if you want to keep
2 doing this, Melissa, we are going to have to go off the
3 record.

4 MS. BAYLY: I have three more questions.

5 MS. MASSEY: Okay. Nope. I'm going to object.
6 Can we go off the record, please?

7 MS. BAYLY: I'm just going to put my questions
8 on the record, and you can object, and then we can go
9 off the record.

10 BY MS. BAYLY:

11 Q. In his revised report, did he change the
12 analysis of COSCO's financial performance?

13 MS. MASSEY: I object.

14 MS. BAYLY: I understand that you're objecting
15 and instructing the witness not to answer.

16 MS. MASSEY: Yes. And I have a standing order
17 to my client not to respond to your questions.

18 BY MS. BAYLY:

19 Q. Okay. Wasn't the scope of your rebuttal report
20 limited to critiquing Mr. McCown's analysis of COSCO's
21 financial performance?

22 This is actually about his rebuttal report. So

1 I would expect he could answer.

2 MS. MASSEY: No. I'm going to go ahead and
3 instruct the witness not to answer that question.

4 MS. BAYLY: I'm asking about the scope of his
5 report.

6 MS. MASSEY: I heard the question, Melissa.

7 MS. BAYLY: And what's the basis of your
8 objection?

9 MS. MASSEY: The basis of my objection is that
10 it's outside the scope of today's deposition.

11 MS. BAYLY: I'm asking about the scope of the
12 report that you just said is the subject of today's
13 deposition.

14 MS. MASSEY: (Responding in the negative.)

15 MS. BAYLY: You have to put that on the record.

16 MS. MASSEY: You're more than welcome to, you
17 know, state your response to my objection. But my
18 objection is standing.

19 MS. BAYLY: Okay. Then I would just conclude by
20 saying you said we could make a motion to reopen the
21 deposition. That's actually not what the rules say.

22 So I'm wondering what the basis is for your

1 claim that the deposition will now be closed.

2 It will be open pending your motion and a
3 decision by the presiding officer.

4 MS. MASSEY: It will be reopened pending your
5 motion and a decision by the presiding officer.

6 It is not within the scope of today's deposition
7 for you to ask Mr. Hackett about Mr. McCown's revised
8 report that we just received on Friday or actually any
9 of Mr. McCown's report.

10 The point of the deposition of an expert is not
11 to ask an expert about your expert's report. It's to
12 ask the expert about that expert's report.

13 So we've already been very lenient in extending
14 the scope of today's deposition. We are not going to
15 continue to do so.

16 Now, unless there is something else that you
17 would like --

18 MS. BAYLY: What rule are you relying on for
19 this argument, though?

20 I'm looking at 46 CFR 502.143 (C)(2) with
21 respect to depositions.

22 And it cites to grounds for a motion to

1 terminate or limit under 502.143 (D)(2). And it says
2 that the motion can be filed with the presiding officer
3 if the objecting deponent or party to demand --
4 deposition must be suspended for the time necessary to
5 obtain an order.

6 So the deposition can be suspended if you
7 demand.

8 But we're not closing the deposition until you
9 obtain an order to that effect.

10 MS. MASSEY: We already -- we told you before
11 the deposition started that -- that Mr. Hackett was not
12 going to answer any questions on Mr. McCown's revised
13 report.

14 If you intended to ask him those questions, you
15 could have told us at that time, and we would have put
16 off doing this deposition.

17 However, you did not do that.

18 You and the complainant generally have been
19 deceitful in how you've been practicing with respect to
20 this case.

21 And we are going to go -- we can take it up with
22 the presiding officer, I think.

1 But today is over.

2 MS. BAYLY: I mean obviously, I object to that
3 characterization.

4 MS. MASSEY: Feel free.

5 MS. BAYLY: And you knew that we submitted a
6 revised report.

7 You obviously could have asked that in the
8 deposition. But we can go off the record now.

9 MS. MASSEY: Okay, Melissa. You noticed the
10 deposition.

11 COURT REPORTER: Are we off the record?

12 MS. BAYLY: Yes.

13 MS. MASSEY: So we are going to go off the
14 record now, please, Robin.

15 Mr. Hackett, you can step out and leave.

16 COURT REPORTER: What about his signature?

17 MS. MASSEY: We can handle that, Robin. We'll
18 get a read and sign.

19 MS. OLIVER: And I am objecting to the read and
20 sign, because my position is the deposition is held open
21 so --

22 MS. MASSEY: We haven't had a deposition that's

1 been noticed on the new report.

2 So with respect to today's deposition, it is
3 over.

4 MS. OLIVER: The deposition isn't noted on the
5 specific report.

6 We noticed Mr. Hackett's deposition generally.

7 COURT REPORTER: Did you want to order that, Ms.
8 Bayly?

9 MS. BAYLY: The transcript from today, yes. And
10 we'd like it to be marked confidential.

11 COURT REPORTER: Okay. And did you want a copy,
12 Ms. Massey?

13 MS. MASSEY: Yes. And we'll get that expedited,
14 please.

15 (Thereupon, the deposition of Daniel Hackett
16 was concluded at 4:10 p.m.)

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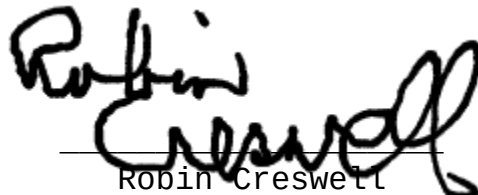
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1	DEPOSITION ERRATA SHEET
2	Our Assignment No. 102795
3	Case Caption: VCC v. COSCO Shipping
4	Deposition Date: 9/30/24
5	DECLARATION UNDER PENALTY OF PERJURY
6	I declare under penalty of perjury that I have read the
7	entire transcript of my deposition taken in the
8	captioned matter or the same has been read to me, and
9	the same is true and accurate, save and except for
10	changes and/or corrections, if any, as indicated by me
11	on the DEPOSITION ERRATA SHEET hereof, with the
12	understanding that I offer these changes as if still
13	under oath.
14	Signed on the ____ day of _____, 20__.
15	_____
16	Subscribed to and sworn before me this ____
17	Day of _____, 20__, _____.
18	_____
19	Notary Public
20	My Commission Expires:_____, 20__
21	Notary Public Registration No.
22	

1	DEPOSITION ERRATA SHEET
2	
3	Page No.____Line No.____Change to:_____
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5	Reason for change:_____
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19	SIGNATURE:_____DATE:_____
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1 C E R T I F I C A T E

2 COMMONWEALTH OF VIRGINIA
3 AT LARGE:4 I, Robin Creswell, a notary public in and for the
5 Commonwealth of Virginia at Large, do hereby certify
6 that the foregoing was reported by stenographic means,
7 which matter was held on the date and at the time and
8 place set forth on the title page hereof, and that the
9 foregoing transcript constitutes a true and accurate
10 transcript of same to the best of my ability.11 I further certify that I am not related to any of
12 the parties, nor am I an employee of or related to any
13 of the attorneys representing the parties, and I have no
14 financial interest in the outcome of this matter.15 Given under my hand and seal this 2nd day of
16 October, 2024.
Robin Creswell

Registration No. 139100

19
20 My Commission Expires April 30, 2027
21
22

EXHIBIT 23

